

Unit One: Development of Modern law of International Trade

Dear distance learner, the modern law of international trade may fairly be described as a product of World War II, or to be more precise, of the perceptions of the Allied planners of the post-war world. The first half of the twentieth century is characterized, among different writers, as a time of high tariffs, discriminatory economic arrangements, import quotas, unilateralism and bilateralism- plus a global depression and barely two decades between two devastating world wars. These factors, in one way or another, can serve as one of the grounds for the occurrence of the war. As with other aspects of post-war planning- the creation of the United Nations, the trial of war criminals, the exaction of reparations- there was a determination not to repeat the mistakes following World War I. As a result, a number of international negotiations were set in motion in order to create institutional structures for the conduct of international relations in the post-ww.

In trade field, this determination called for a regime of non-discrimination- i.e. a generally applicable regime of most-favoured-nation treatment, a prohibition of qualitative restrictions, and a commitment to reduction of trade barriers and opening of markets. Moreover, there was a perception among the post-war planners, led by Churchill and Roosevelt, that the failures of the United States to join the League of Nations and the failure of the League itself had been a disaster, and that the prospects for peace and prosperity were linked to establishment of multilateral (if possible universal) organizations that could serve both as a forum for negotiations and as a guardian of the rules. Agreement on the creation of two such organizations, the International Monetary fund and the World Bank, was reached as early as July 1944 at Bretton Woods Conference. Agreement on the United Nations Charter was reached in San Francisco in April 1945. Trade was not directly on the agenda of the Bretton Woods Conference but the need for institution governing international trade was recognized. Such effort to reach agreement on a trade organization came later on. Of course there is

no doubt that the post-war planners at all times had in mind the creation of such an organization.

Discussion on trade took place between officials of the United Kingdom and the United States from 1943 on. As with regard to international financial relations, it was always understood that the objectives were a set of rules applicable to all states, and the organization to develop and administer those rules. There were some real differences between the British and American priorities. The basic assumptions, however, were clear. Trade across national frontiers was to be encouraged; it was to be conducted primarily by private firms, not by state enterprises; and government intervention was to be subject to a code of conduct designed to limit interference with the movement of goods. These assumptions have remained the essential premises for the law of international trade ever since.

Objectives

At the end of the chapter the student will be able to

- To know how international trade law developed and how international trade organizations established;
- Be introduced to the trade negotiation rounds and the achievements;
- Be familiar with the principles of GATT 1947 and how it used to function;
- Know how GATT 1947 is different from the WTO?

1.1. The Birth of General Agreement on Trade and Tariff (GATT)

Dear distance learner, as we discussed above, it is the wartime discussions which laid the ground for modern international trade. It also laid the groundwork for the 1946-48 General Agreement on Trade and Tariff (GATT) and International Trade Organization (ITO) negotiations which was largely an American and British effort. The discussions began with an exchange of views in Washington in September and October of 1943. For the most part, the experts found themselves in complete agreement on particular

issues of substantive policy. They canvassed most of the leading problems including quantitative restrictions, subsidies, export taxes, state trading, discrimination, and tariff reduction. On each point, the answers seemed fairly clear. Quantitative restrictions, more commonly known as quotas, were to be prohibited, the only exception being those used to deal with balance of payments emergencies. Export taxes and export subsidies were to be eliminated. State trading enterprises were to be encouraged to behave like private traders. Discrimination had to be outlawed, and tariffs had to be reduced substantially. Throughout 1945, formal government to government conversations continued.

In November 1945, the United States government issued a document entitled 'Proposals for Expansion of World Trade and Employment' for consideration by an International Conference on Trade and Employment, purporting to represent a consensus resulting from the United States-United Kingdom discussions over the preceding two years. The proposals called for a detailed charter or code of conduct relating to governmental restraints on international trade, and for creation of an International Trade Organization. The proposed code affirmed the principle of unconditional most-favored-nation treatment and the prohibition of quantitative restrictions (subject to several exceptions including agriculture). It also dealt in principle with limitations on subsidies; conforming state trading to market conditions, prevention of cartels, limited resort to commodity agreements, and it contemplated exceptions for countries with balance of payment difficulties.

Over 50 countries participated in negotiations to create an International Trade Organization (ITO) as a specialized agency of the United Nations. The Organization was proposed with three major objectives; to administer the code, to provide a forum for settlement of disputes, and to perform related functions such as collection and dissemination of trade statistics and preparation of guidelines for customs valuation. The draft ITO Charter was ambitious. It extended beyond world trade disciplines, to

include rules on employment, commodity agreements, restrictive business practices, international investment, and services.

A few days after issuing the proposals, the United States issued an invitation to fifteen countries to take part in a bilateral/multilateral negotiation for the reduction of tariffs and other barriers to trade. The negotiations looked to early conclusion of a multilateral trade agreement. Three more countries were added to the list, making the participants in the coming tariff negotiations identical to the members of the Preparatory Committee for the Havana Conference to establish the ITO.

The proposal for an International Conference on Trade and Employment was taken up by the United Nations Economic Council (ECOSOC) at its first meeting in Paris in February 1946; in accordance with a resolution introduced by the United States, ECOSOC appointed a preparatory Committee of 19 countries to draft the document to be considered at such a conference. The Preparatory Committee met in London in October-November 1946, working from a Suggested Charter drafted by the United States. A first draft of a Charter for an International Trade Organization was produced at the London meeting and a second draft was produced by a technical drafting committee that met in January-February 1947 at the temporary seat of the United Nations in Lake Success, New York. The full Preparatory Committee met again in Geneva from April to August 1947 and produced a third draft, which became the basis for a Plenary Conference on Trade and Development convened by the United Nations in Havana in November 1947.

At the same time as these negotiating and drafting sessions were in progress, representatives of the countries that had been invited by the United States to negotiate a trade agreement, plus eight others that had been invited subsequently were engaged in a tariff-cutting negotiation. Typically the negotiations were one-on-one sessions focusing on products for which the roles were reserved. A total of 123 sets of such negotiations took place in Geneva in the period April-October 1947 among 23 countries, including 22

involving the United States and 101 between other pairs of countries. Altogether more than a thousand meetings were held over a period of six months, considering some 50,000 items of trade. As to some of the products, substantial reductions were negotiated; on others, low rates of duties or duty-free entry were made subject to binding obligations.

Apart from the details, these negotiations had several consequences still significant more than half a century later. First, it seems clear that the pace and volume of the negotiations could not have been maintained had they not been held all at the same time and all in the same room, spurred on by a United States that gave the executive branch negotiating authority but was due to expire in June of 1948. The Geneva negotiations of 1947 set the precedent for subsequent "Rounds"- eight in all of year-end 1999-that played a major part in the development of international trade law in the second half of the twentieth century. Second, as was understood from the initial invitation, all the "concessions", i.e. the negotiated reductions and bindings with respect to tariffs, were generalized to all the participants, in implementation of the most-favored-nation principle. Third, the concessions were recorded in a single document- the General Agreement on Tariffs and Trade (GATT), which not only comprised the schedules of tariff bindings but contained a code of conduct designed to safeguard the undertakings given and to commit the participants to a common standard of behavior with respect to international trade. The code of conduct largely paralleled the commercial policy sections of the draft of the ITO Charter as it then stood. The General Agreement was opened for signature on October 30, 1947, and entered into effect, provisionally, on January 1, 1948. The Protocol of Provisional Application of the GATT was signed by 23 countries. These original "Contracting Parties" were Australia, Belgium, Brazil, Burma, Canada, Ceylon, Chile, China, Cuba, the Czechoslovak Republic, France, India, Lebanon, Luxembourg, Netherlands, New Zealand, Norway, Pakistan, Southern Rhodesia, Syria, South Africa, the United Kingdom, and the United States of America.

Meanwhile, the Havana Conference on Trade and Employment opened on November 21, 1947, with more than twice as many participants as has negotiated at Geneva, and with an agenda that include employment, economic development, restrictive business practices, commodity agreements, as well as trade (labeled 'commercial policy') and an elaborate structure for ITO. After much debate and acrimony, the Final Act of the Havana Conference embodying the ITO Charter, was signed on March 24, 1948 on behalf of 53 states. For various reasons, however, the ITO Charter never entered into effect. Most governments waited for the United States before beginning their own ratification procedures, and the United States Congress showed little enthusiasm for the ITO. For some, the ITO Charter was too favorable to state intervention in the economy, for others it was too favorable to free trade, and for still others the creation of yet another international organization clashed with the disillusion setting in about the United Nations, as well as about some of the other organizations established at the end of the war. The United States administration was itself ambivalent about the ITO, at least to extent that support for the Havana Charter might impair support for higher-priority issues of foreign affairs such as the Marshall Plan for the reconstruction of Europe, the establishment of a program of controls on the export of strategic materials, and pursuit of the war in Korea. In December 1950, the US State Department issued a press release announcing that the proposed Charter would not be resubmitted to the new Congress. The ITO was never formally rejected, but it faded away. In other words, plans for the ITO were abandoned, when it became clear that the Charter would not be ratified by the U.S. Senate. What remained was GATT, essentially as drafted as an interim arrangement in summer of 1947, with some rectifications agreed to at Havana or just after the close of the Havana Conference. GATT 1947, conceived as a provisional agreement not requiring parliamentary approval, remained in effect from 1 January 1948 January 1995. When a World Trade Organization was eventually established almost half a century later GATT 1947 remained the basic text and the point of departure for the new agreements embodied in the WTO.

From 1948 to 1994, the General Agreement on Tariffs and Trade (GATT) provided the rules for much of world trade and presided over periods that saw some of the highest growth rates in international commerce. It seemed well- established, but throughout those 47 years, it was a provisional agreement and organization. The original intention was to create a third institution to handle the trade side of international economic co-operation, joining the two Bretton Woods institutions, the World Bank and the International Monetary Fund.

For almost half a century, the GATT's basic legal principles remained much as they were in 1948. There were additions in the form of a section on development added in the 1960s and plurilateral agreements (i.e. with voluntary membership) in the 1970s, and efforts to reduce tariffs further continued. Much of this was achieved through a series of multilateral negotiations known as trade rounds, the biggest leaps forward in international trade. Liberalization has come through these rounds which were held under GATT's auspices.

In the early years, the GATT trade rounds concentrated on further reducing tariffs. Then, the Kennedy Round in the mid-sixties brought about a GATT Anti-Dumping Agreement and a section on development. The Tokyo Round during the seventies was the first major attempt to tackle trade barriers that do not take the form of tariffs, and to improve the system. The eighth, the Uruguay Round of 1986-94, was the last and most extensive of all. It led to the WTO and a new set of agreements. Dear distance Lerner, discussion on each trade rounds will be made in detail in the subsequent parts. It would be appropriate, however, to have first an overview on GATT 1947.

1.2. An Overview of the GATT 1947

1.2.1. Basic Features of GATT 1947

Dear distance learner, as discussed above, the original General Agreement on Tariffs and Trade, referred to as GATT 1947, provided the basic rules of the multilateral trading system from 1 January 1948 until the World Trade Organization entered into force on 1 January 1995. The GATT was a set of rules, with no institutional foundation, applied on a provisional basis. As it will be discussed later on this is one of the distinguishing features of GATT from the WTO. Unlike GATT, the WTO is a permanent institution with a permanent framework and its own secretariat.

The second basic feature of GATT 1947 was that The GATT dealt only with trade in goods unlike the WTO Agreement that covers trade in goods, trade in services and trade-related aspects of intellectual property rights. Also, the dispute settlement mechanism has been considerably strengthened in the WTO.

The GATT rules were supplemented and modified by many further legal instruments adopted over the 47 years between 1948 and 1995, as a result of multilateral negotiations, protocols of accession, waivers and other decisions. Articles of GATT 1947 dealing with such matters as accession, joint action by the Contracting Parties (the signatories of the agreement) and consultations and complaints allowed the GATT to function effectively as an international organization. A further important feature of GATT 1947, however, was its "grandfather clause", included in the Protocol of Provisional Application. The Protocol of Provisional Application stated that the governments involved would apply Parts I and III of the GATT; however, Part II would apply only to the fullest extent "not inconsistent with existing legislation". It provided that the rules in Part II of the GATT 1947, which essentially dealt with non-tariff trade measures, need be applied only to the extent that they were not inconsistent with legislation in effect when a country acceded to the GATT.

Throughout its 48-year history, the GATT provided the structure for a global process of steady trade liberalization through eight "rounds" of multilateral trade negotiations sponsored by its Contracting Parties, covering progressively larger volumes of international trade. This process evolved with its own dynamics, through the initial years of the Cold War, the emergence to independence of many developing countries, the creation of the European Communities, the rise of new and important trading countries, the transition of many countries to market economies, the increasing globalization of the world economy, and into the consolidation of the multilateral trading system through the establishment of the World Trade Organization.

The process of trade liberalization achieved the reduction of tariff rates on industrial products in developed countries from an average of around forty per cent to less than four per cent; the practical elimination of quantitative restrictions; the development and strengthening of clear rules for the administration of different trade policy measures (such as safeguards, subsidies, anti-dumping duties, technical barriers to trade); and development of procedures to resolve disputes. The eighth GATT round, the Uruguay Round, carried this liberalization forward. It also initiated a process of reform of agricultural support and protection, established and launched a process for reintegration of the textiles and clothing sector into GATT, established multilateral rules in new areas of international economic interaction (such as trade in services and protection of intellectual property rights); and established a solid institutional and legal basis for the multilateral trading system through the creation of the World Trade Organization and its greatly strengthened dispute settlement system.

1.1.2. Principles of GATT 1947

The brief preamble to the GATT 1947 looks to raising standards of living, ensuring full employment and a 'large and steadily growing volume of real income and effective demand', by expanding the production and exchange of goods. The participating states

aim to accomplish these goals by entering into reciprocal and mutually advantageous arrangements directed to the substantial reduction of tariffs and other barriers to trade, and to the elimination of discriminatory treatment in international commerce. For these purpose GATT embodied five key principles. These are non-discrimination, reciprocity, enforceable commitments, transparency, and safety valves. In this section brief discussion will be made on these principles.

The five GATT principles

1. Non-discrimination

This principle of GATT incorporates two rules: Most- favoured Nation (MFN) and National Treatment Principles.

A.) Most-Favoured-Nation Treatment (MFN): is one of the key provisions of the GATT that outlawed discrimination among members and between imported and domestically produced merchandise. According to Article I, the famous "most favoured nation clause," members are bound to grant to the products of other members, treatment no less favorable than that accorded to the products of any other nation. In other words, a product made in one member country cannot be treated less favorably than a like product originating in *any other* country. Thus, no country is to give special trading advantages to another or to discriminate against it. All contracting parties undertake the obligation to apply duties and similar charges on import of goods equally, without regard, as among contracting parties, to the origin of the goods. There are a number of **exceptions** to Article I, especially that covering customs unions and free trade areas. However, MFN treatment generally ensures that developing countries and others with little economic leverage are able to benefit freely from the best trading conditions wherever and whenever they are negotiated.

B.) National Treatment is a principle incorporated under article III of GATT and states that having once passed the border, foreign goods cannot be treated less favorably than similar domestic goods in terms of both internal (indirect) taxation and non-tax policies (e.g. regulations). This means, once goods have entered a market, they must be treated

no less favorably than the equivalent domestically produced goods. Internal taxes, charges, and other regulations must not be imposed so as to discriminate between domestically produced and imported products. States are not disabled from imposing sales or consumption taxes, or regulatory and labeling requirements on imported goods, but neither in motive nor in effect there may be a distinction between the burden borne by domestic goods. There are **exceptions** to this, as to other principles, and a good many nuances, but the objective is clear, and was insisted on by the United States at Havana over substantial objection. Together with principles I and III, the national treatment principle establishes the emphasis on tariffs as the sole accepted instrument of trade protection, and the commitment against discriminatory treatment of goods based on their country of origin. It is worth pointing out that the national treatment provision applies not only to goods on which tariffs have been bound in GATT schedules, as many states advocated in Geneva and Havana, but to all goods.

2. Reciprocity

This principle is intended to limit the scope for *free riding* that may arise from MFN and to “pay” for trade liberalization, which occurs on a quid pro quo basis.

3. Enforceable Commitments

Governmental restraint on the movement of goods should be kept to a minimum, and if changed, should be reduced, not increased. Agreed-upon tariff commitments are enumerated in lists termed *Schedules of Concessions* (Art. II). All contracting parties undertake to apply to all other contracting parties the duties set forth in the Schedules submitted at the close of the tariff negotiations, i.e. to bind the accepted offers reflected in this schedules. Once Tariff ceilings are established, members concerned cannot raise tariffs above bound levels without negotiating compensation with the principal suppliers of the product concerned. If another government’s actions are perceived to have the effect of nullifying or impairing committed market access, *dispute settlement* procedure will apply.

4. Transparency

This principle implies access to information on the trade regime of signatories.

- Internal transparency: requirement to publish national trade regulations
- External transparency: multilateral surveillance facilitated by periodic country reports prepared by GATT Secretariat (and discussed by its Council)

Transparency can reduce pressure on the *dispute settlement* system. Measures can first be discussed by the appropriate GATT body before filing an appeal. It can strengthen GATT legitimacy by informing civil society what is going on in multilateral trade policy and what are the key implications.

5. Safety Valves

Government can restrict trade in specific circumstances. There are three types of provisions under GATT;

1. To attain non-economic objectives: protect public health, national security or industries so seriously injured by import competition that social/political problems arise
2. To ensure "fair competition": often in conflict with market access as its instruments are duties
 - Countervailing duties on imports that have been subsidized
 - Antidumping duties on imports that have been dumped, i.e. sold at a price below the one charged in the home market
3. To attain economic objectives
 - if serious balance-of-payments difficulties
 - or to support an infant industry

6. Tariffs Only

The accepted form of trade restraint is the customs tariff, i.e. a tax imposed by the importing state as a condition of importation of goods into its territory. The unstated assumption has always been that though the importer pays the tariff, the foreign

producer/ exporter bears the burden, in reduced market for its product in competition with producers in the importing country, or in reduced profit from sales in that country. Tariffs are generally easy to understand (compared, for instance with license scheme), and are suitable for negotiation with other contracting parties. In principle, tariffs are to be formulated as a percentage of the value of the goods imported- the so-called *ad valorem tariff*; specific tariffs, i.e. tariffs imposed per unit or other measure are not excluded; other bases of setting tariffs, i.e. measured by the value of competing products of domestic origin are prohibited (Art. VII). Most important and controversial, other forms of governmental restraints on trade, in particular qualitative restrictions (quotas) on import and exports and licensing schemes are expressly prohibited, subject to numerous exceptions (Art. XI).

7. Regular Negotiations

Contracting parties are to meet regularly to engage in negotiations looking to lower trade barriers on the basis of reciprocity within a multilateral framework (Art. XXVIII *biss*). Since the GATT was originally expected to be folded into and succeeded by the Charter of the International Trade Organization, the article calling for negotiations directed to the 'Substantial reduction of the general level of tariffs... from time to time' was not introduced into the text of the General Agreement until a Review Session held in Geneva in 1954-5. In the mean time two other rounds of multilateral negotiations had been held, in connection with the accession of additional contracting parties. The GATT text does not prescribe a specific interval between the 'rounds' of multilateral trade negotiations, nor the duration of these rounds. Moreover, there has been a substantial expansion in the subject matter considered in successive rounds. An attempt to launch a ninth round (the 'millennium Round') did not succeed in Seattle in November 1999, but decision to launch a new round of trade negotiations was approved at a Ministerial Conference held at Doha, Qatar in November 2001. There is no doubt that the periodic convening of the contracting parties of GATT for detailed negotiation of the conditions

of international trade has become a fundamental ingredient of the law of international trade.

1.2.3. Structure of the GATT

- GATT 1947 consists of the
- 1) GATT Council
 - 2) Contracting Parties
 - 3) GATT standing committees or councils
 - 4) Ad hoc committees
 - 5) Panels of Conciliation and
 - 6) The GATT Secretariat as its structure.

The highest body of the GATT was the 1) Session of Contracting Parties which met annually. GATT decisions were usually arrived at by consensus, not by vote. When voting took place, each member country had one vote and decisions were by a simple majority. Two-thirds of the votes cast, with the majority comprising more than half of the member countries, were needed for "waivers" (authorizations, in particular cases, to depart from specific obligations under GATT). Between sessions of the contracting parties, the 2) Council of Representatives, made up of representatives of all members and referred to as "the 3) GATT Council," was authorized to act on both routine and urgent matters. It usually met once a month. Major 4) GATT standing committees or councils were the Committee on Trade and Development, concerned with issues of special interest to developing countries, the 5) Textiles Committee, made up of the Multilateral Fiber Agreement (MFA) signatories, and committees concerned with the Tokyo Round agreements. 6) Ad hoc committees dealt with specific transitory questions, such as requests for accession to the GATT, verification that agreements concluded by members conformed to the GATT, or the study of issues on which members might later make a joint decision. 7) Panels of Conciliation were often convened to investigate disputes between particular members.

The 8) GATT Secretariat was headquartered in Geneva, Switzerland and constituted the administrative body of the GATT. Headed by an Executive Secretary, the Secretariat was

a clearinghouse for the work of contracting parties and was well placed to play an active part in international commercial policy decisions. Also, it collected statistics as well as evidence of regulation hindering or helping international trade and made it available as a background material to the contracting parties. Much of the evidence collected has become available for the first time on a worldwide basis. The role of the Secretariat, both as catalyst and as an initiator of policies, was thus undoubtedly large.

❖ Did GATT succeed?

Dear distance learner, generally speaking, it is possible to say that GATT was provisional with a limited field of action, but its success over 47 years in promoting and securing the liberalization of much of world trade is incontestable (min true and can't denied). Continual reductions in tariffs alone helped spur very high rates of world trade growth during the 1950s and 1960s — around 8% a year on average. And the momentum of trade liberalization helped to ensure that trade growth consistently out-paced production growth throughout the GATT era, a measure of countries' increasing ability to trade with each other and to reap the benefits of trade. The rush of new members during the Uruguay Round demonstrated that the multilateral trading system was recognized as an anchor for development and an instrument of economic and trade reform.

But all was not well. As time passed new problems arose. The Tokyo Round in the 1970s was an attempt to tackle some of these but its achievements were limited. This was a sign of difficult times to come. GATT's success in reducing tariffs to such a low level, combined with a series of economic recessions in the 1970s and early 1980s, drove governments to devise other forms of protection for sectors facing increased foreign competition. High rates of unemployment and constant factory closures led governments in Western Europe and North America to seek bilateral market-sharing arrangements with competitors and to embark on a subsidies race to maintain their holds on agricultural trade. Both these changes undermined GATT's credibility and

effectiveness. The problem was not just a deteriorating trade policy environment. By the early 1980s the General Agreement was clearly no longer as relevant to the realities of world trade as it had been in the 1940s. For a start, world trade had become far more complex and important than 40 years before: the globalization of the world economy was underway, trade in services not covered by GATT rules was of major interest to more and more countries, and international investment had expanded. The expansion of trade services was also closely tied to further increases in world merchandise trade. In other respects, GATT had been found wanting. For instance, in agriculture, loopholes in the multilateral system were heavily exploited, and efforts at liberalizing agricultural trade met with little success. In the textiles and clothing sector, an exception to GATT's normal disciplines was negotiated in the 1960s and early 1970s, leading to the Multifibre Arrangement. Even GATT's institutional structure and its dispute settlement system were causing concern. These and other factors convinced GATT members that a new effort to reinforce and extend the multilateral system should be attempted. That effort resulted in the Uruguay Round, the Marrakesh Declaration, and the creation of the WTO.

1.3. The GATT Trade Rounds

Dear distance learner, as pointed above, the GATT evolved unevenly from its almost accidental beginnings in the 1940s to a vastly greater organization and corpus of law. Eight rounds of negotiations were took place from 1947 to 1994 (see the table below). In the first five rounds of multilateral trade negotiations (1947-61), the emphasis was largely on reduction of tariffs on the basis of most-favoured-nation treatment and 'mutual exchange of benefits'. Beginning with the Kennedy Round (1964-7) and more particularly in the Tokyo Round (1973-9), the contracting parties turned their attention to crafting rules applicable to non-tariff measures that affected trade in goods, including dumping and antidumping, subsidies and countervailing duties, government procurement; and various techniques of valuation of merchandise for purposes of assessing customs duties. In the Uruguay Round (1986-93), the GATT contracting states,

by now over 100, continued the practice of negotiating rules to govern international trade, but moved well beyond trade in goods to address also intellectual property and aspects of services and trans-national investment. They also reached agreements that previously eluded them concerning so-called 'safeguards', and concerning trade in agriculture, they formally established a new World Trade Organization, and they created a system of binding dispute settlement designed to be applicable to the vast new body of law developed by the Uruguay Round and its predecessors.

The GATT trade rounds

<i>Year</i>	<i>Pace /Name</i>	<i>Subject Covered</i>	<i>Countries</i>
1947	Geneva	Tariffs	23
1949	Annecy	Tariffs	13
1951	Torquay	Tariffs	38
1956	Geneva	Tariffs	26
1960-1961	Geneva (Dillon Round)	Tariffs	26
1964-1967	Geneva (Kennedy Round)	Tariffs and anti-dumping measures	62
1973-1979	Geneva (Tokyo Round)	Tariffs, non-tariff measures, framework agreements	102
1986-1994	Geneva (Uruguay Round)	Tariffs, non-tariff measures, rules, services, intellectual property, dispute settlement, textiles, agriculture, creation of WTO, etc	123

1.3.1. The First Five Rounds (1947-61)

As pointed out in the preceding parts of this module, one of the governing themes of the GATT was that the Contracting Parties should meet regularly to negotiate about reducing tariffs and other trade barriers. The first such round, as we saw, was held in Geneva contemporaneously with the drafting of the General Agreement in April-October 1947. The two succeeding rounds (Annecy, France, 1949; Torquay, England 1950-1) combined modest tariff-cutting with negotiation of the conditions of accession of new entrants, including at Torquay the recently established Federal Republic of Germany. A fourth round of tariff-cutting was held in Geneva in 1955-6. The typical pattern in these rounds was for each pair of countries first to exchange 'request lists', and subsequently to exchange 'offer lists'. After the lists were exchanged, they were made available to all the participants, which would take them into account in their own bilateral negotiations and preparation of revised lists. If two exporting countries might benefit from a proposed concession, the importing country might make its offer subject to being 'paid' by both of the potential beneficiaries.

Each of the rounds after the first one had small, but not very significant, results in terms of duty reductions. The Fourth Round was restrained by the fact that in the Trade Agreements Extension Act of 1955, the US Congress had authorized the President to negotiate duty reductions of only 15 percent of the duties in effect on January 1, 1955 or to 50 percent *ad valorem* (tariffs imposed per unit). If the United States could not offer greater reductions, the combination of the MFN principle and the reciprocity principle meant that other states could not offer more substantial reductions either.

Just after the close of the Fourth GATT Round in May 1956, the Foreign Ministers of the Benelux countries (Netherlands, Belgium and Luxembourg), France, Italy, and the Federal Republic of Germany met in Venice to consider and approve the Speck Report commissioned a year earlier, looking to establishment of the European Common Market. If the GATT could not be the vehicle for significant tariff cuts, the above six European countries (without the United Kingdom and without the United States) could and would do so among themselves. Some observers thought at the time that the Western European

states were turning their back on the GATT concept, and that that concept had essentially failed. In the event, the creation of the European Common Market in 1958 changed, but did not weaken the international law of international trade as embodied in the GATT. On the one hand, the Treaty of Rome creating the European Economic Community on the whole conformed to the requirements for customs unions prescribed in the GATT. On the other hand, the European Community came to be a principal force within the GATT, negotiating and acting as a unit and on substantially equal terms with the United States.

The Fifth Round, named after Douglas Dillon, at the time the US under Secretary of State for Economic Affairs under President Eisenhower, came to have two aspects. In one aspect it was another effort to engage in multilateral tariff-cutting along the lines of the prior rounds, but spurred on by new United States negotiating authority, permitting duty reductions of up to 20 percent from the level of January 1958. The other aspect was a negotiation between the European Community and other GATT contracting parties pursuant to Article XXIV(6) about compensation for unbinding of duties of member states of the EEC bound in prior GATT rounds. The initial position of the EEC was that a common external tariff on a given item created by arithmetic average of the previous duties of the constituent countries, as called for (with some exceptions) by the Treaty of Rome, did not require any compensation to third countries.

Putting aside agriculture (as the contracting parties did), the Dillon Round was regarded as successful, in that the EEC was integrated into the GATT without major friction. But the actual reduction of duties was once again modest, and the process of product-by-product negotiated was tedious. The members of the EEC had utilized across-the-board adjustment of duties in the transition to complete elimination of duties, and had proposed a similar technique for use by GATT in the Dillon Round negotiations. For the United States, such a proposal was inconsistent with negotiation authority, which seemed to require individual reports by the Tariff Commission before an item of import

could be placed on an offer list, and so the idea was abandoned during the Dillon Round. Both the United States and the European Community, however, were determined to find a better way to conduct multilateral trade negotiations in the next round. The objective remained to preserve the twin principles of reciprocity and non-discrimination. This stimulated what came to be known as the Kennedy Round of Trade Negotiations.

1.3.2. The Kennedy Round

The United States government was at first divided about how to respond to the creation of the European Economic Community. From a political stand point, the United States welcomed the EEC, as a promising *way* to solve the problem of Germany in Europe, and as a way to strengthen the defense of Western democracies against the threat of communism. From an economic standpoint, however, there was fear in some quarters that the EEC might become an inward-directed, high-tariff area, unfavorable to the trading interests of the United States.

The Trade Expansion Act of 1962, in the words of President Kennedy was to be 'a new and modern instrument of trade negotiations'. The architects of the Trade Expansion Act understood that the effect of a customs union, even when it meets the requirements of Article XXIV of the GATT, may be to deprive an outsider, such as the United States (and at the time the United Kingdom) of the benefits of most-favoured-nation treatment, as well as the benefits of concessions previously negotiated and paid for.

Suppose, for instance, that prior to creation of the customs union a machine made in the United States competed in the Italian market on equal terms: with a machine originating in the Federal Republic of Germany. Once the customs union or common market in effect, the machine originating in Germany can come into Italy free of duty, whereas the machine originating in the United States could come in only over the common external tariff, and may therefore no longer be able to compete in the Italian market.

The significance of this effect, i.e. the trade diversion effect, will depend, other things being equal, on the height of the common external tariff. The response of the United States government was to seek to negotiate a reduction in that tariff. In the context of the GATT, this meant seeking to launch a new round of trade negotiations with a broad mandate to reduce duties. In the context of United States law, it meant getting away from the prior confinement to article-by-article negotiation and securing authority for across-the-board or linear negotiations. Moreover the President sought, and after some controversy, the Congress granted, the authority 'through trade agreements affording mutual trade benefits', to decrease any rate of duty by up to 50 percent of the rate existing on July 1, 1962. The authority, which determined the duration of the subsequent negotiations, was granted for five years until June 30, 1967.

Shortly after passage of the Trade Expansion Act by the United States Congress, the Contracting Parties to GATT made a tentative decision to hold a new round of trade negotiations-in principle on the basis of linear or across-the-board tariff reductions. The decision was finalized; it was recorded in a formal Ministerial Decision, in May 1963. But translating the idea of linear reductions into actual negotiating procedures while retaining the principle of reciprocity proved to be a task that occupied the participants for many months, and ultimately resulted in a Kennedy Round rather different from what the planners in Europe and the United States had foreseen.

The Kennedy Round became a hybrid of product-by-product and linear negotiations. Reciprocity remained a pervasive principle of trade negotiations. It was not defined in the Kennedy Round, or in subsequent rounds, nor has it ever been defined by a dispute settlement panel. To the extent there is an agreed definition of reciprocity, or mutual exchange of benefits, it is only that there are to be no free rides; each contracting party (putting aside developing countries) is to open its markets in for gaining access for its exporters to the markets of other contracting parties.

Over all, negotiation in the Kennedy Round came within that definition. And while the Kennedy Round took longer than expected, and was more of an economic tug-of-war as contrasted with a political statement than had been hoped, it did result in duty reductions on 20 percent of the dutiable products of the industrial countries, about two-thirds by 50 percent or more. But the shortcomings of the Kennedy Round compared with the initial expectations demonstrated how difficult it is to move away from equating reciprocity with symmetry, and how ingrained is the concern of contracting states and their representatives that they may be 'giving away' more than they are 'receiving'.

Multilateral trade negotiations from the time of the Kennedy Round, and in particular linear or across-the-board duty reductions subject to various formulas, have taken as their point of departure that the attempt to make predictions on a product-by-product basis is not only massively burdensome but is inevitably illusory. The experience of the Kennedy Round and of the succeeding rounds suggests, however, that reciprocity remains a deeply felt element in the economic relations of states, and that a perception of that term without reference to trade statistics (past and projected) is difficult to escape.

1.3.3. Tokyo Round

The Tokyo Round lasted from 1973 to 1979, with 102 countries participating. Though Article XVIII*bis* of GATT refers explicitly only to negotiations directed to reduction of tariffs and similar changes, the Kennedy Round was the last round of GATT negotiations in which tariff reduction was the major focus. By the time that the results of the Kennedy Round had become fully effective in the early 1970s, tariffs on industrial products had been reduced substantially and no longer appeared to be the major impediment to trade that they had once been. Other restraints and distortions on trade, known collectively as **non-tariff barriers (NTBs)**, had taken on increasing importance. Accordingly, the focus of the GATT, and of the negotiating rounds, shifted to the substantive rules of international trade, many of which had been only sketchily addressed in the General Agreement drafted a generation earlier.

Some of the NTBs were based on formal statutory constraints, such as 'buy national' laws and regulations for government procurement; others were less visible governmental practices such as subsidies of various kinds, including export credits and tax rebates; still others had begun as health or safety standards, but with no international scrutiny or attempt at harmonization. Perhaps most ominous was the spread of so-called 'voluntary export restraints' which seemed to be spreading without reference to the GATT, though they affected industrial sectors such as steel and automobiles.

By the early 1970s, the major trading countries, particularly the United States and the European Community had reached the conclusion that if the gains of the Kennedy Round were not to be dissipated and the momentum liberalization of international trade was not to be reversed, a new round of trade negotiations should be undertaken, with a broader and more creative agenda. A Joint Declaration, by the United States and the European Community' to the Director-General of GATT urging a new round of negotiations was issued in February 1972, and a formal Ministerial Meeting in Tokyo in September 1973 declared the 'comprehensive multilateral trade negotiations' officially open. The declaration stated that, the negotiations shall be conducted on the basis of the principles of mutual advantage, mutual commitment and overall reciprocity, while observing the most-favoured-nation clause... [Looking to achievement of] an overall balance of advantage at the highest possible level.

The Ministers' expressed that the negotiations be concluded in 1975 proved unattainable by more than three years. Among their other aims, reduction or elimination of non-tariff measures, or 'where this is not appropriate... to bring such measures under more effective international discipline' proved possible, in part, but by means of a significant departure from the initial model.

A. Separate Codes and the Question of MFN

Overall reciprocity and a well-balanced package suggested that not every agreement must favour the interest of all the negotiating parties equally, as long as the overall settlement is satisfactory to all the participants. Thus, for instance, one party might agree to open up opportunities for non-nationals to bid for its government procurement projects to a greater extent than it expected its nationals to benefit from government procurement abroad if it considered that this 'concession' would enable it to prevail on a contentious issue in regard to, say, dumping. On the other hand, it soon became clear that while the principal participants from the industrial countries (the United States, the European Community (since 1973 including the United Kingdom), Canada, and Japan) were interested in all the subjects Proposed for negotiation and legislation. Many other states had no interest in NTBs or had interests opposed to those of the major industrial countries. But the GATT had actively sought out new contracting parties, and close to a hundred states participated in the Tokyo Round, twice as many as had taken part in the Kennedy Round. The prospect of securing a series of amendments to the GATT within a reasonable time period seemed weak and might well have given influence to some states out of proportion to their participation in the international economy. The idea grew up, accordingly, to develop a number of 'codes', nominally in implementation or interpretation of provisions of the General Agreement, that would create more specific understanding and more precise undertakings with respect to particular topics. The codes would be open to all contracting parties, but no particular number of signatories would be required to bring them into effect. The codes would be binding only on the signatories, and contracting parties could pick and choose among the codes. One such code on Anti-Dumping had been signed by 18 states at the close of the Kennedy Round, though as precedent for the program contemplated in the Tokyo Round the legal status of the code was ambiguous.

The contracting parties and particularly the industrial states that sponsored and negotiated the codes-as usual predominantly the European Community and the United States-understood that a regime of non-compulsory codes to some extent undermined the claim of the GATT as a Universal organization. Moreover, at least for those codes

that conferred benefits to the signatories, notably the Government Procurement Code and the Subsidies Code, the principle of unconditional most-favored-nation treatment was to some extent replaced by a form of conditional MFN, whereby in order to gain the benefits, a state had to sign on to the code in question and to undertake to abide by the commitments set out in that code.

The advantage of the emphasis on the separate codes was that international legislation could be completed within a given time frame, and as suggested earlier, that a package deal could be put together in which advantages for one state on one subject could be used to offset a perceived unsatisfactory result for that state in another, since the understanding was that 'nothing is agreed until everything is agreed'.

In addition, the strategy of conditional MFN-no 'free rides'-was designed to offer incentives to sign on to contracting states that might be wavering. To cite the clearest example, in return for stricter definitions of subsidy and a prohibition on export subsidies on non-primary products in the Subsidies Code, the United States agreed to amend its law to require an independent finding of material injury to a domestic injury before imposing a countervailing duty. The amendment applied, however, only to signatories to the Agreement. Brazil, which had the ability to compete in the American market but maintained a vast program of subsidies, signed on, in order to make it more difficult for the United States to impose countervailing duties against its exports. So, eventually, did most of the developing countries whose exports had realistic chances in the United States. But at least for a time, the resort to separate codes left a bad taste in the GATT community, as it seemed to depart from the most-favoured-nation principle. Moreover, creation of the separate codes demonstrated in a readily visible way the disparity in influence and importance between the developed and the developing countries.

When the issue came up again in the Uruguay Round in the early 1990s, as discussed, hereafter, the opposite decision was taken, and all states that wished to be

part of the GATT/WTO system were required to sign all the agreements, except those that clearly could have no relevance for them. But from the point of view of legislation to fill in the gaps in the law of international trade left in 1947, the Tokyo Round codes were the point of departure. The Tokyo Round codes were revised in some instances significantly in the Uruguay Round, but they served as the bridge between GATT 1947 and GATTn1994.

B. Achievements and Failures of the Tokyo Round

After a slow start and various ups and downs, the Final Act of the Tokyo Round was submitted for signature on April 12, 1979. All the industrial countries signed, but at first only Argentina among developing countries did so. Later in the year, however, a number of developing countries signed one or more of the codes, after a resolution by the Contracting Parties had been adopted 'reaffirming their intention to ensure the unity and consistency of the GATT system', and 'noting that existing rights and benefits under the GATT of contracting parties not being parties to the [specialized] Agreements, including those derived from Article I [i.e. MFN], are not affected by these Agreements.

Seen a generation later, the greatest achievement of the Tokyo Round was maintenance of the 'unity and consistency' of the GATT system in the face of the strenuous differences expressed during the six-year negotiations, as well as the outside pressures involving collapse of the international monetary system and recessions and energy crises throughout both the developed and less developed world. Maintenance of unity and consistency meant bringing the Tokyo Round to a successful conclusion. The break-up of the conference without agreement on at least a major portion of the items on the agenda-could well have led to the disintegration of the still-fragile GATT. It appears that the GATT, and with it the public law of international trade, had a need to be renewed every few years, like a slow-burning fire, lest the flames go out. The same can probably be said about the World Trade Organization created in the last round held under the GATT, as set forth in the next section. The need to keep the momentum going was

certainly present during the Tokyo Round in the 1970s, as well as during the Uruguay Round in the 1980s and 1990s. The fact of creation of a large body of law, much of it technical but nonetheless important, is the major achievement of the Tokyo Round.

Against these achievements must be set the one great failure of the Tokyo Round, the failure to achieve agreement on a Code on Safeguards. A safeguard was the name applied to measures of relief against sudden or unforeseen imports of a given product, usually in the form of some kind of quantitative restraint. In some instances safeguards were applied by importing states acting alone; in other instances safeguards were applied by agreement between the importing and exporting states, or by the industries in one or both countries with the tacit approval of the respective governments. Most 'grey area' measures were made public; others were kept secret as long as possible. The GATT secretariat estimated that such arrangements outnumbered Article XIX actions by about ten to one.

Most of the participants in the Tokyo Round agreed that some kind of international discipline should be imposed on safeguards which were clearly 'managed trade' and made up a significant portion of all trade. Indeed several versions of a draft code or rather an 'Outline of an Arrangement' on safeguards were published near the close of the Tokyo Round. There appeared to be agreement that safeguard measures which could be taken only in the case of serious injury to domestic producers, but whether imports must be 'the cause', or 'the principal cause' of serious injury was left blank and the overall duration permitted listed 3 years and 8 years as alternatives. The most contentious issue, stated to be the reason for inability to reach agreement, was what came to be known as 'selectivity'. This relates with the issue whether safeguards must be imposed on an MFN basis or could be imposed against a particular source of increased or excessive imports only.

The European Community insisted on the opportunity to impose safeguards selectively; the developing countries (as well as Japan) resisted, and the United States appeared to

be in the middle, attempting without success to promote some kind of compromise. It is not clear whether inability to resolve this issue was the cause, or the excuse for failure to agree on Safeguards Code. Everyone understood, however, that this was a major unfinished issue. If there was to be another round after the Tokyo Round, safeguards would be high on the agenda.

Amid the many debates, working groups and task forces on the codes, it was almost forgotten that the Tokyo Round was also a tariff-cutting round. This time, once it was understood that agricultural tariffs would not be subjected to whatever tariff-cutting formula emerged. The principle was that the higher the initial tariff, the higher the percentage by which it would be cut, subject to an eight-year period of staging. There were of course exceptions, which gave rise to other exceptions, and indeed some of the details were not filled in until November 1979, seven months after the formal close of the Tokyo Round. But the principle of linear tariff reductions was accepted (again excepting agricultural products), and 'overall reciprocity' was understood to comprehend harmonization. In contrast to the Kennedy Round, negotiations about tariffs in the Tokyo Round were neither the main event nor the object of protracted legal conflict.

1.3.4. The Uruguay Round

As early as 1982, well before the results of the Tokyo Round had been fully implemented and tested, the United States urged that a new round of GATT negotiations be undertaken. In part the supporters of the proposal sought to counter protectionist trends in the United States and elsewhere, stimulated by large and apparently growing trade deficits vis-à-vis Japan and other East Asian countries. But proponents of a new round of negotiations had in mind an agenda significantly broader than any that had previously come before GATT. Up to now, the GATT had been focused exclusively on trade in goods—first, as we saw, on tariffs, and in the Tokyo Round on non-tariff as well. The global economy, however, consisted of much more than trade in goods. For all its imperfections, ambivalence, and

fragility, the GATT seemed to combine the right principles and the right techniques to serve as the arena for negotiation about what came to be known as the New Areas—services, intellectual property and investment. The United States now urged that these subjects be added to the agenda of the GATT, long with the unfinished subject from prior rounds, notably safeguards and agriculture.

At first the United States was unsuccessful in persuading its potential negotiating partners to launch a new round or to adopt a new agenda. Opposition, or at least reluctance, came both from the developing countries, which had felt let down in the Tokyo Round and from the European community whose trade officials feared that a new round would present a new opportunity to attack the Common Agricultural Policy. But the United States persisted, and late in 1985 a Preparatory Committee was established to draft a program for a new GATT round, for submission to a Ministerial Meeting in the following year.

The Ministerial Meeting was convened in September 1986 at Punta del Este in Uruguay, almost forty years after a conference with a comparably broad agenda had convened in Havana. The Ministerial Meeting was far from harmonious, but after five days of arguments, a Ministerial Declaration was agreed to initiating the Eighth Round of Multilateral Trade Negotiations. The Declaration stated that the ‘launching, the conduct and the implementation of the outcome of the negotiation shall be treated as part of a single undertaking’, which seemed to invite the kinds of considerations that played a crucial role as the negotiations were winding up five, six and seven years later. However, the Declaration also stated that ‘Balanced concessions should be sought within broad trading areas and subjects to be negotiated, in order to avoid unwarranted cross-sectional demands.’

Judging by the topics listed as subjects for negotiation, the Uruguay Round was to be by far the most ambitious round of trade negotiations ever, dealing not only with tariffs, as had the first six rounds, or non-tariff barriers, as had the Tokyo Round, but also with

tread-related aspects of investment regulations; of intellectual property rights (i.e. patents, trademarks, copyright and counterfeiting); and of services, including perhaps, banking, accounting insurance, shipping, and even legal services. In addition, another effort was to be made to reform trade in agriculture, and to reduce the bizarre system of subsidies and overproduction that had developed in many countries at the same time as horrifying famine prevailed in others. The Ministers also undertook once again to address the problem of safeguards, and to try to bring trade in textiles back more than nominally into the GATT framework. Also, they committed themselves to two immediate actions-so-called standstill- i.e. not to take any trade restrictive or distorting measure inconsistent with - the GATT, or to take measures in exercise of GATT rights 'that would go beyond that which is necessary' to remedy specific situations; and rollback, i.e. to eliminate such trade restrictive or distorting measures previously taken, without requesting GATT concessions in return. Interestingly enough in the light of the eventual outcome, nothing in the Ministerial Declaration addressed the creation of a new organization, to supplement or supplant the GATT. Also, the Ministers separated out negotiation on trade in services into a separate part II of the Declaration, apparently because the developing countries, led by Brazil and India, wanted to make sure at the outset that if rules were to be established to open up access to service providers and they were accused of violating these rules, retaliation would not be permitted against their exports of manufactured products. One other subject became more important in the Uruguay Round than it had ever been before, again with the United States as principal proponent. If states were prepared, as they declared at Punta del Este, to draft rules on such a large number of subjects, there must be a more definite and predictable method of enforcing the rules And resolving disputes. Without giving any indication in which direction the solution would go, the Declaration stated:

[N]egotiation shall aim to improve and strengthen the rules and the procedures of the dispute settlement process. . . [including] the development of adequate arrangement for overseeing and monitoring . . . compliance with adopted recommendations.

A. The Ups and Downs of the Uruguay Round

Negotiating groups were established on some 15 topics, concerning the various old and new subjects to be taken up in the Uruguay Round. Most of these groups met in 1987, but a few had their first meetings early in 1988. In December 1988, a Mid-term Ministerial Meeting was held in Montreal, and agreement was said to have been reached on 11 of the 15 topics being negotiated. But agreement could not be reached on four subjects- agriculture, textiles, protection of intellectual property, and safeguards. As a result, doubts began to arise whether it would be possible to complete the Uruguay Round.

In April 1989, guidelines were adopted for continuing negotiations on forth topics on which no agreement had been reached at Montreal. It seemed that the deadlock at Montreal had been broken, and that the chances were good that the Uruguay Round could be successfully concluded by the 1990 target date. In July 1989, the Trade Negotiations Committee agreed that the final Ministerial Meeting of the Uruguay Round would be held in Brussels in December 1990.

As the many negotiating groups and drafting groups continued to meet on the fifteen major items on the agenda of the Uruguay Round, it was not clear that a package deal could be achieved, but increasingly clear that partial deals such as on tariffs or dispute settlement or amendments to the Subsidies Code-were not acceptable to the major actors. In July 1990, the Group of Seven Economic Summit, meeting in Houston, said in its closing communiqué: 'The successful outcome of the Uruguay Round has the highest priority on the international economic agenda.' But reports from Houston disclosed that the Summit had been stormy, with the American delegates maintaining that the European Community was 'not engaged' in the negotiations on agriculture, and insisting that without agreement on planned reduction (if not elimination) of the subsidies of the Common Agricultural Policy, there could be no successful conclusion of the Uruguay Round. The United States sought commitments on substantial reduction in

all three elements of the Common Agricultural Policy-the levels of domestic support, import barriers (i.e. the variable levy), and export subsidies.

At the end of 1990, the attention of several of the principal participants in the Uruguay Round was directed elsewhere-notably the unification of Germany, the crisis in the Persian Gulf, and the replacement after nearly a dozen years in office of Prime Minister Thatcher of Great Britain. While the trade delegations kept meeting and exchanging drafts, it became clear that if there was to be a breakthrough, it would have to come from commitment of the political leaders.

The press reported the issue as United States versus Europe; in fact the deadlock was more complicated. Not only was Japan challenged on its support of inefficient growers of rice and soya beans; the Cairns group and developing countries generally made it clear that if they were not assured of greater access for their agricultural and other primary products in the market of the industrial countries, they would not accept other parts of the proposed package, i.e. they would not agree to open their markets to Western services, liberalize their investment regimes, or agree to grant protection to the industrial world's intellectual property rights (including patents on pharmaceutical and protection for computer software). Without these concessions from the developing countries, the United States said, the whole project of the Uruguay Round would fall apart.

For two more years, the parties negotiated about the many issues in the Uruguay Round. The warning in the Punta del Este Declaration against unwarranted cross-sectoral demands' was regularly disregarded. One party or another always asserted that its 'concession' on services, on TRIPs (Trade- related Intellectual Property Issues) or TRIMs (Trade-related Investment Measure), or Textiles would be taken off the table if agreement could no be reached on the most divisive issues, which seemed to be agricultural subsidies and trade in agriculture in general.

In November 1990, the trade ministers from 107 countries met in Brussels to attempt a final push to bring the Uruguay Round to conclusion. In this first test of economic cooperation in the post-Cold War world, the United States appeared to behave more combatively than in prior rounds, less willing, it seemed, to subordinate economic aims to security concerns. The European Community, on the other hand, with three more members than in the last round (Greece, Portugal, and Spain) as well as a reunited Germany that had problems of its own, seemed to find it more difficult than ever to make a political decision. The developing countries played a substantially greater role than in prior rounds, and efforts by the European Community to buy off members of the Cairns group by individual offers on the whole proved unavailing. In midweek of the Brussels Conference, the Latin American countries withdrew their delegates from working groups on Intellectual Property and on Services to protest the lack of progress on agriculture. The United States almost walked out as well, but decided to stay till the end of the conference. But, as the Financial Times put it, the GATT session broke off in disarray. Many observers thought the failure of the Brussels Ministerial Conference meant the end of the Uruguay Round, and perhaps of the GATT itself. But none of the participants were willing to go that far, and for two months the Director-General of the GATT, Arthur Dunkel, struggled to keep the Uruguay Round alive.

GATT working groups continued to meet throughout 1991, but no breakthrough was achieved. At year-end 1991, the Director-General issued a Comprehensive Draft Final Act, a document of 436 pages containing what he thought were either agreed texts or feasible compromises. The Dunkel Draft, as it came to be known, was impressive in demonstrating how much had been (almost) achieved, and how much would be given up if it all came to nought. In an accompanying statement, Mr. Dunkel asked the participants to provide a first appraisal of his draft at a meeting scheduled for January 1992. The meeting was held, and much of the text was tacitly accepted, but each of the major participants had major objections, and all concurred that nothing is agreed unless everything is agreed.

Agriculture, and particularly efforts to limit the subsidy programs of the European Community, turned out to be the major and continuing obstacle throughout 1992. It is interesting to note that three elements of the Dunkel Draft that eventually effected major changes in the law and organization of international trade attracted notice or public attention in the two years between the publication of the Dunkel Draft and the final agreement. Dunkel proposed (i) that the Balkanization of GATT law that had taken place in the Tokyo Round reversed, and that all agreement should be signed by all parties; (ii) that a integrated system of binding dispute settlement be instituted covering not only the General Agreement but all the associated agreement and codes, and including authority for retaliation; and (iii) that the GATT be placed on a firm organization footing by creation of what the draft called a Multilateral Trade Organization and eventually became the WTO. Of course these proposals did not emerge full-blown from the Director General's head. But they had not been the subject of the sharp and acrimonious debate devoted to subsidies, to trade in services, to agriculture and to the many others that had divided the contracting parties for more than half a decade.

1.3.5. The Final Stage

The negotiation continued throughout 1992, prodded by a new Director- General, Peter. In the United States, much of the new Clinton administration's energy in the summer and fall of 1993 was focused on the North American Free Trade agreement, which proved to be much more controversial in the United States than the Uruguay Round. After NAFTA made it through the US Congress, all the major participants made a renewed effort to complete the Uruguay Round by the deadline set by the Congress. In November 1992, the US and EU settled most of their differences on agriculture in a deal known informally as the Blair House accord. By July 1993 the Quad (US, EU, Japan and Canada) announced significant progress in negotiations on tariffs and related subjects (market access). It took until 15 December 1993 for every issue to be finally resolved and

for negotiations on market access for goods and services to be concluded (although some final touches were completed in talks on market access a few weeks later).

On 15 April 1994, the deal was signed by ministers from most of the 123 participating governments at a meeting in Marrakesh, Morocco. The delay had some merits. It allowed some negotiations to progress further than would have been possible in 1990: for example some aspects of services and intellectual property, and the creation of the WTO itself. But the task had been immense, and negotiation-fatigue was felt in trade bureaucracies around the world. The difficulty of reaching agreement on a complete package containing almost the entire range of current trade issues led some to conclude that a negotiation on this scale would never again be possible. Yet, the Uruguay Round agreements contain timetables for new negotiations on a number of topics. And by 1996, some countries were openly calling for a new round early in the next century. The response was mixed; but the Marrakesh agreement did already include commitments to reopen negotiations on agriculture and services at the turn of the century. These began in early 2000 and were incorporated into the Doha Development Agenda in late 2001.

The WTO replaced GATT as an international organization, but the General Agreement still exists as the WTO's umbrella treaty for trade in goods, updated as a result of the Uruguay Round negotiations. Trade lawyers distinguish between GATT 1994 (the updated parts of GATT) and GATT 1947 (the original agreement which is still the heart of GATT 1994). Dear distance learner, discussion on GATT 1994 will be made in chapter----- in detail.

Many of the Uruguay Round agreements set time-tables for future work. Part of this built-in agenda started almost immediately. In some areas, it included new or further negotiations. In other areas, it incorporated assessments or reviews of the situation at specified times. Some negotiations were quickly completed, notably in basic telecommunications, financial services. Member governments also swiftly agreed a deal for freer trade in information technology products, an issue outside the built-in agenda.

The agenda originally built into the Uruguay Round agreements has seen additions and modifications. A number of items are now part of the Doha Agenda, some of them updated.

Timeline of GATT and the WTO

1944: At the Bretton Woods Conference which created the World Bank and International Monetary Fund (IMF)

Dec 1945: U.S. “Proposals for the Expansion of World Trade and Employment”, inviting 15 countries to conclude multilateral agreement for mutual tariff reduction

Feb 1946: UN’s Economic and Social Council (EcoSoC) 1st meeting adopts a resolution calling for a conference to draft a charter for an International Trade Organization (ITO, complementary to IMF and World Bank)

1947: As support for ITO wanes in the U.S. Congress, the General Agreement on Tariffs and Trade (GATT) is created. The GATT treaty creates a set of rules to govern trade among 23 member countries rather than a formal institution.

1950: Formal U.S. withdrawal from the ITO concept as the U.S. administration abandons efforts to seek congressional ratification of the ITO.

1951–86: Periodic negotiating rounds occur, with occasional discussions of reforms of GATT. In the 1980s, serious problems with dispute resolutions arise.

1986–94: The Uruguay Round, a new round of trade negotiations, is launched. This culminates in a 1994 treaty that establishes the World Trade Organization (WTO).

1995: The WTO is created at the end of the Uruguay Round, replacing GATT.

2003: The WTO consists of 146 members, accounting for approximately 97 percent of world trade.

Review Questions

1. Discuss the achievements of the Tokyo round?
2. Enumerate the major principles of GATT 1947 and discuss the concepts in detail?
3. Discuss how international trade law has developed?

Unit Two: The World Trade Organization

Dear distance learner, as we have discussed in the pervious, the Final Act of the Uruguay Round was formally signed at a Ministerial Meeting in Marrakesh, Morocco on April 15, 1994. The Ministers declared the work of the Trade Negotiations Committee to be complete and the Uruguay Round concluded. They committed themselves to seek to complete all steps necessary to establish the new World Trade Organization.

The WTO began life on January 1/ 1995, but its trading system is half a century older. Since 1948, the General Agreement on Tariffs and Trade (GATT) had provided the rules for the system. It did not take long for the General Agreement to give birth to an unofficial, *de facto* international organization, GATT. Over the years, GATT evolved through several rounds of negotiations. The last and largest GATT round, was the Uruguay Round which lasted from 1986 to 1994 and led to the WTO's creation. Whereas GATT had mainly dealt with trade in goods, the WTO and its agreements now cover trade in services, and in traded inventions, creations and designs (intellectual property).

In some ways the conclusion of the Uruguay round and the establishment of the World Trade Organization constitute a new start for international law of international trade. But there is no doubt that the WTO is a continuation of the GATT system, a ratification and formalization of close to fifty years of development of rules of an institution, written and customary, and of attitudes of the participating states. To seal this fundamental point, Article XVI (1) of the Marrakesh Agreement Establishing the **World Trade Organization** states:

Except as otherwise provided under this agreement or the Multilateral Trade Agreements, the WTO shall be guided by the decisions, procedures and

customary practices followed by the CONTRACTING PARTIES to GATT 1947 and the bodies established in the framework of GATT 1947.

Thus, in a real sense, what the world agreed to in the Uruguay Round was to subject a great many aspects of international economic activities to the principles that had been agreed to half a century earlier by far fewer states and in the context of a far smaller agenda. However, as it will be discussed in detail under section of this module, not all areas of the international economy were included and not all the areas covered were the subject of equal commitments- the General Agreement on Services (GATS), for instance, is little more than a skeleton for future growth.

The GATT/WTO system as of the turn of the century may be described as having two principal elements. **First**, the traditional GATT is concerning on trade in goods, forfeited after more than seven years of struggle by a renewed commitment, and augmented (min to increase in value, size...) by twelve multilateral agreements binding on all members, plus two 'pluirlateral agreements', binding only on these states that have accepted them.

Second, separate from the GATT but embraced (include) within the WTO, all members of the WTO are parties of GATS, the General Agreement on Trade in Service. GATs is an agreement that applies to trade in service.

The WTO was born out of negotiations; everything the WTO does is the result of negotiations.

Objectives

After studying this unit, the student will be able to

- understand what the WTO is and how it functions?
- Be introduced to the basic principles of the WTO?
- Be familiar with the principles of WTO, its organizational arrangement, and the purposes aimed to be achieved by it;

- Be introduced to the major WTO Agreements;
- Know the procedures that a state should follow in the WTO accession process.

2.1. What is the World Trade Organization?

Simply put; the World Trade Organization (WTO) deals with the rules of trade between nations at a global or near-global level. There are a number of ways of looking at the WTO. It's an organization for liberalizing (min to make sth such as a law or a political or religious system less strict) trade. It's a forum for governments to negotiate trade agreements. It's a place for them to settle trade disputes. It operates a system of trade rules.

1) **Above all, it's a negotiating forum.** Essentially, the WTO is a place where member governments go, to try to sort out the trade problems they face with each other. The first step is to talk. The WTO was born out of negotiations, and everything the WTO does is the result of negotiations. The bulk of the WTO's current work comes from the 1986-94 negotiations of the Uruguay Round and earlier negotiations under the General Agreement on Tariffs and Trade (GATT). The WTO is currently the host to new negotiations, under the **Doha Development Agenda launched in 2001.** Where countries have faced trade barriers and wanted them lowered, the negotiations have helped to liberalize trade. But the WTO is not just about liberalizing trade, and in some circumstances its rules support maintaining trade barriers, for example, to protect consumers or prevent the spread of disease.

2) **It is a set of rules.** At its heart are the WTO agreements, negotiated and signed by the bulk of the world's trading nations. These documents provide the legal ground-rules for international commerce. They are essentially contracts, binding governments to keep their trade policies within agreed limits. Although negotiated and signed by governments, the goal is to help producers of goods and services, exporters, and importers conduct their business, while allowing

governments to meet social and environmental objectives. The system's overriding purpose is to help trade flow as freely as possible, so long as there are no undesirable side-effects. That partly means removing obstacles. It also means ensuring that individuals, companies and governments know what the trade rules are around the world, and giving them the confidence that there will be no sudden changes of policy. In other words, the rules have to be transparent and predictable.

3) **And it helps to settle disputes.** This is a third important side to the WTO's work. Trade relations often involve conflicting interests. Agreements, including those painstakingly negotiated in the WTO system, often need understanding. The most harmonious way to settle these differences is through some neutral procedure based on an agreed legal foundation. That is the purpose behind the dispute settlement process written into the WTO agreements.

2.2. Functions of the WTO

The Preamble to the WTO agreement essentially sets out, in the broadest terms, **the objectives** of the whole body of agreements reached at the end of the Uruguay Round. Much of the **language of the Preamble** is taken over from the GATT, with minor modifications. Thus, **principal objectives of the WTO**, as of the GATT, are raising standards of living, ensuring full employment, expanding production and trade, and allowing optimal use of the world's resources. **The WTO Preamble** adds three elements. It refers to production of and trade in goods and services (the GATT spoke only of goods); it states the objective of sustainable development, seeking both to protect and preserve the environment; and it recognizes the need for positive efforts to ensure that developing countries, and especially the least-developed countries, 'secure a share in international trade commensurate with the needs of their economic development'. The declared means of achieving these objectives is exactly the same as that laid down 47 years earlier in the GATT: 1' reciprocal and mutually advantageous arrangements

directed to the substantial reduction of tariffs and 2 other barriers to trade and to the elimination of discriminatory treatment in international trade relations.

The stated objectives are clearly those of the Marrakesh package of agreements as a whole. The role of the World Trade Organization itself is defined by **Article III** of the **WTO agreement**, which **defines five functions for it**.

1. Implementing agreements

The first, and broadest, function is 1) to facilitate the implementation, administration and operation, and further the objectives, of this Agreement and of the Multilateral Trade Agreements, and also 2) to 'provide the framework for the implementation, administration and operation of the Plulateral Trade Agreements'. The wording reflects the difference between the **multilateral agreements**, to which all member governments are committed, and the **prulateral agreements** which are under the WTO umbrella but cannot expect the same degree of support.

2. Negotiations

The WTO's second function is to be a negotiating forum. Again, a distinction is made between negotiations for which the WTO shall provide the forum, and those for which it may provide a forum. **The first category**, specifically reserved to the WTO, consists of multilateral negotiations on matters dealt with in the annexes to the agreement that is, on the subjects already covered by the GATT and the Uruguay Round. **The second category** is defined only as further negotiations concerning multilateral trade relations, as may be decided by the WTO's Ministerial Conference: should such negotiations take place, the WTO can also provide the framework for putting their results into effect.

3. Disputes and policy reviews

The **third** and **fourth functions** of the WTO are to administer the arrangements in Annexes 2 and 3 for the settlement of disputes that may arise between members and for the review of trade policies. Finally, **the WTO co-operates**, where appropriate, with the

International Monetary Fund and the World Bank with a view to achieving greater coherence in global economic policymaking.

4. Developing countries

The WTO's Preamble and Article III are buttressed (min support or strengthen) by two separate texts that were adopted by Ministers on the same day that they signed the Marrakesh agreements.

One text, of particular importance because it has a bearing on virtually every other agreement in the Uruguay Round package, is a decision on measures in favour of least-developed countries. Its central point is that these countries, as long as they remain in the least-developed category, will only be required to undertake commitments and concessions (sth granted) under the Uruguay Round agreements to the extent consistent with their individual development, financial and trade needs, or their administrative and institutional capabilities, and that the rules and transitional arrangements in the agreements should be applied to them in a flexible and supportive manner.

The decision gave least-developed countries an additional year to submit their schedules of commitments on goods and services. Other provisions require regular reviews to ensure that special and differential measures in their favour are put promptly into effect; encourage early action to reduce trade barriers facing products of interest to them; and call on developed countries to be careful of the effects any import relief measures they take may have on exports of the least-developed countries. Finally, the decision promises the least- developed countries

- 1) substantially increased technical assistance in the development,
- 2 strengthening and diversification of their production and exports,
- 3) as well as continuing review of their specific needs.

There is no comparable general text covering developing countries other than those in the least-developed category. Special and differential treatment for developing countries is instead included in most of the separate agreements and

arrangements reached in the Uruguay Round, where it usually takes the form of less stringent obligations than are imposed on developed countries.

5. Coherence

The second Ministerial text bearing on the functions of the WTO is a declaration on its role in achieving greater coherence in global economic policymaking.

Generally, the WTO, in order to achieve its overriding objective of helping trade flow smoothly, freely, fairly and predictably, it administers trade agreements; acts as a forum for trade negotiations and dispute settlement; and reviews national trade policies. It also assists developing countries in trade policy issues, through technical assistance and training programmes and cooperates with other international organizations.

2.3. Principles of the WTO trading system

The WTO agreements are lengthy and complex because they are legal texts covering a wide range of activities. They deal with: agriculture, textiles and clothing, banking, telecommunications, government purchases, industrial standards and product safety, food sanitation regulations, intellectual property, and much more. But a number of simple, fundamental principles run throughout all of these documents. These principles are the foundation of the multilateral trading system. These principles will be discussed shortly in the following sections. Dear distance learner, some of these principles are similar with principles of GATT 1947 as discussed under section of this module.

1. Trade without discrimination

A. Most-favoured-nation (MFN): treating other people equally

Under the WTO agreements, countries cannot normally discriminate between their trading partners. If you grant someone a special favour (such as a lower customs duty rate for one of their products), you have to do the same for all other WTO members. This principle is known as most-favoured-nation (MFN) treatment. It is so important that it is the first article of the General Agreement on Tariffs and Trade (GATT), which governs

trade in goods. MFN is also a priority in the General Agreement on Trade in Services (GATS) (Article 2) and the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS) (Article 4), although in each agreement the principle is handled slightly differently.

Together, those three agreements cover all three main areas of trade handled by the WTO. Some exceptions are allowed. For example, countries can set up a free trade agreement that applies only to goods traded within the group discriminating against goods from outside. Or they can give developing countries special access to their markets. Or a country can raise barriers against products that are considered to be traded unfairly from specific countries. And in services, countries are allowed, in limited circumstances, to discriminate. But the agreements only permit these exceptions under strict conditions. In general, MFN means that every time a country lowers a trade barrier or opens up a market, it has to do so for the same goods or services from all its trading partners whether rich or poor, weak or strong.

B. National treatment: Treating foreigners and locals equally

Imported and locally-produced goods should be treated equally, at least after the foreign goods have entered the market. The same should apply to foreign and domestic services, and to foreign and local trademarks, copyrights and patents. This principle of national treatment (giving others the same treatment as one's own nationals) is also found in all the three main WTO agreements (Article 3 of GATT, Article 17 of GATS and Article 3 of TRIPS), although once again the principle is handled slightly differently in each of these. National treatment only applies once a product, service or item of intellectual property has entered the market. Therefore, charging customs duty on an import is not a violation of national treatment even if locally-produced products are not charged an equivalent tax.

2. Freer trade: gradually, through negotiation

Lowering trade barriers is one of the most obvious means of encouraging trade. The barriers concerned include customs duties (or tariffs) and measures such as import bans or quotas that restrict quantities selectively. From time to time other issues such as red tape and exchange rate policies have also been discussed. Since GATT's creation in 1947/48 there have been eight rounds of trade negotiations. A ninth round, under the Doha Development Agenda, is now underway. At first these focused on lowering tariffs (customs duties) on imported goods. As a result of the negotiations, by the mid-1990s industrial countries' tariff rates on industrial goods had fallen steadily to less than 4%. But by the 1980s, the negotiations had expanded to cover non-tariff barriers on goods, and to the new areas such as services and intellectual property.

Opening markets can be beneficial, but it also requires adjustment. The WTO agreements allow countries to introduce changes gradually, through progressive liberalization. Developing countries are usually given longer to fulfill their obligations.

3. Predictability: through binding and transparency

Sometimes, promising not to raise a trade barrier can be as important as lowering one, because the promise gives businesses a clearer view of their future opportunities. With stability and predictability, investment is encouraged, jobs are created and consumers can fully enjoy the benefits of competition, choice and lower prices. The multilateral trading system is an attempt by governments to make the business environment stable and predictable. In the WTO, when countries agree to open their markets for goods or services, they bind their commitments. For goods, these bindings amount to ceilings on customs tariff rates. Sometimes countries tax imports at rates that are lower than the bound rates.

Frequently this is the case in developing countries. In developed countries the rates actually charged and the bound rates tend to be the same. A country can change its bindings, but only after negotiating with its trading partners, which could mean compensating them for loss of trade. One of the achievements of the Uruguay Round of

multilateral trade talks was to increase the amount of trade under binding commitments. In agriculture, 100% of products now have bound tariffs. The result of all this is a substantially higher degree of market security for traders and investors. The system tries to improve predictability and stability in other ways as well. One way is to discourage the use of quotas and other measures used to set limits on quantities of imports, administering quotas can lead to more red-tape and accusations of unfair play. Another is to make countries' trade rules as clear and public (transparent) as possible. Many WTO agreements require governments to disclose their policies and practices publicly within the country or by notifying the WTO. The regular surveillance of national trade policies through the Trade Policy Review Mechanism provides a further means of encouraging transparency both domestically and at the multilateral level.

4. Promoting fair competition

The WTO is sometimes described as a 'free trade' institution, but that is not entirely accurate. The system does allow tariffs and, in limited circumstances, other forms of protection. More accurately, it is a system of rules dedicated to open, fair and undistorted competition.

The rules on non-discrimination, MFN and national treatment are designed to secure fair conditions of trade. So too are those on dumping (exporting at below cost to gain market share) and subsidies. The issues are complex, and the rules try to establish what is fair or unfair, and how governments can respond, in particular by charging additional import duties calculated to compensate for damage caused by unfair trade. Many of the other WTO agreements aim to support fair competition in agriculture, intellectual property, services, for example. The agreement on government procurement (a 'plurilateral' agreement because it is signed by only a few WTO members) extends competition rules to purchases by thousands of government entities in many countries.

The WTO principles

- The trading system should be ... without discrimination, a country should not discriminate between its trading partners (giving them equally most-favored-nation or MFN status); and it should not discriminate between its own and foreign products, services or nationals (giving them 'national treatment');
- freer -barriers coming down through negotiation;
- predictable - foreign companies, investors and governments should be confident that trade barriers (including tariffs and non-tariff barriers) should not be raised arbitrarily; tariff rates and market-opening commitments are "bound" in the WTO;
- more competitive, discouraging unfair-practices such as export subsidies and dumping products at below cost to gain market share;
- more beneficial for less developed countries, giving them more time to adjust, greater flexibility, and special privileges.

2.4. The WTO Agreements

Dear distance learner, the WTO is 'rules-based'; its rules are negotiated agreements. The WTO Agreements cover goods, services and intellectual property. They spell out the principles of liberalization, and the permitted exceptions. They include individual countries' commitments to lower customs tariffs and other trade barriers, and to open and keep open services markets. They set procedures for settling disputes. They prescribe special treatment for developing countries. They require governments to make their trade policies transparent by notifying the WTO about laws in force and measures adopted, and through regular reports by the secretariat on countries' trade policies. These agreements are often called the WTO's trade rules. But it is important to

remember that the rules are actually agreements that governments negotiated. It is the Uruguay Round agreements, which are the basis of the present WTO system. Additional work is also now underway in the WTO. This is the result of decisions taken at Ministerial Conferences, in particular the meeting in Doha, November 2001, when new negotiations and other work were launched.

Six-part broad outline

The table of contents of “The Results of the Uruguay Round of Multilateral Trade Negotiations: The Legal Texts” is a daunting list of about 60 agreements, annexes, decisions and understandings. In fact, the agreements fall into a simple structure with six main parts:

- an umbrella agreement (the Agreement Establishing the WTO);
- agreements for each of the three broad areas of trade that the WTO covers (goods, services and intellectual property);
- dispute settlement; and
- reviews of governments’ trade policies.

The agreements for the two largest areas, goods and services, share a common **three-part outline**, even though the detail is sometimes quite different. They start with **broad principles**: the General Agreement on Tariffs and Trade (GATT) (for goods), and the General Agreement on Trade in Services (GATS). (The third area, Trade- Related Aspects of Intellectual Property Rights (TRIPS), also falls into this category.

Then, we have **extra agreements and annexes** dealing with the special requirements of specific sectors or issues. Finally, there are the detailed and lengthy **schedules (or lists) of commitments** made by individual countries allowing specific foreign products or service-providers access to their markets.

For GATT, these take the form of binding commitments on tariffs for goods in general, and combinations of tariffs and quotas for some agricultural goods. For GATS, the commitments state how much access foreign service providers are allowed for specific sectors, and they include lists of types of services where individual countries say they are not applying the most-favored-nation' principle of non-discrimination. Underpinning these are dispute settlement, which is based on the agreements and commitments, and trade policy reviews, an exercise in transparency. Much of the Uruguay Round dealt with the first two parts: general principles and principles for specific sectors. At the same time, market access negotiations were possible for industrial goods. Once the principles had been worked out, negotiations could proceed on the commitments for sectors such as agriculture and services.

In a nutshell

The basic structure of the WTO agreements: how the six main areas fit together -the umbrella WTO Agreement, goods, services, intellectual property, disputes and trade policy reviews.

<i>Umbrella</i>	AGREEMENT ESTABLISHING WTO		
	Goods	Services	Intellectual Property
<i>Basic principles</i>	GATT	GATS	TRIPS
<i>Additional details</i>	Other goods agreements and annexes	Services annexes	
<i>Market access commitments</i>	Countries' schedules of commitments	Countries' schedules of commitments (and MFN exemptions)	
<i>Dispute settlement</i>	DISPUTE SETTLEMENT		
<i>Transparency</i>	TRADE POLICY REVIEWS		

Through these agreements, WTO members operate a non-discriminatory trading system that spells out their rights and their obligations. Each country receives guarantees that its exports will be treated fairly and consistently in other countries' markets. Each promises to do the same for imports into its own market. The system also gives developing countries some flexibility in implementing their commitments.

GOODS

It all began with trade in goods. From 1947 to 1994, GATT was the forum for negotiating lower customs duty rates and other trade barriers; the text of the General Agreement spelt out important rules, particularly non-discrimination. Since 1995, the updated

GATT has become the WTO's umbrella agreement for trade in goods. It has annexes dealing with specific sectors such as agriculture and textiles, and with specific issues such as state trading, product standards, subsidies and actions taken against dumping.

SERVICES

Banks, insurance firms, telecommunications companies, tour operators, hotel chains and transport companies looking to do business abroad can now enjoy the same principles of freer and fairer trade that originally only applied to trade in goods.

These principles appear in the new General Agreement on Trade in Services (GATS). WTO members have also made individual commitments under GATS stating which of their services sectors they are willing to open to foreign competition, and how open those markets are.

INTELLECTUAL PROPERTY

The WTO's intellectual property agreement (TRIPS) amounts to rules for trade and investment in ideas and creativity. The rules state how copyrights, patents, trademarks, geographical names used to identify products, industrial designs, integrated circuit layout-designs and undisclosed information such as trade secrets—"intellectual property"—should be protected when trade is involved.

DISPUTE SETTLEMENT

The WTO's procedure for resolving trade quarrels under the Dispute Settlement Understanding is vital for enforcing the rules and therefore for ensuring that trade flows smoothly. Countries bring disputes to the WTO if they think their rights under the agreements are being infringed. Judgments by specially-appointed independent experts are based on interpretations of the agreements and individual countries' commitments.

The system encourages countries to settle their differences through consultation. Failing that, they can follow a carefully mapped out, stage-by-stage procedure that includes the possibility of a ruling by a panel of experts, and the chance to appeal the ruling on legal

grounds. Confidence in the system is borne out by the number of cases brought to the WTO—around 300 cases in eight years compared to the 300 disputes dealt with during the entire life of GATT (1947-94).

POLICY REVIEW

The Trade Policy Review Mechanism's purpose is to improve transparency, to create a greater understanding of the policies that countries are adopting, and to assess their impact. Many members also see the reviews as constructive feedback on their policies.

All WTO members must undergo periodic scrutiny, each review containing reports by the country concerned and the WTO Secretariat.

It is also important to note that there is another group of agreement not included in the above table which includes the two "plurilateral" agreements not signed by all members: civil aircraft and government procurement.

Dear distance learner, all the above enumerated agreements are not static; they are renegotiated from time to time and new agreements can be added to the package. Many are now being negotiated under the Doha Development Agenda, launched by WTO trade ministers in Doha, Qatar, in November 2001.

Agreements with in the GATT

With in the GATT agreement of trade in Goods there are several separate agreements regulating separate issues. Among there the principal agreements include agreement on agriculture; agreement on the application of sanitary and phytosanitary measure (SPS); agreement on technical barriers on trade (TBT) and agreement on trade related investment measures (TIMs).

Agreement on Agriculture

The original GATT did apply to agricultural trade, but it contained loopholes. For example, it allowed countries to use some non-tariff measures such as import quotas, and to subsidize. Agricultural trade became highly distorted, especially with the use of export subsidies which would not normally have been allowed for industrial products. The Uruguay Round produced the first multilateral agreement dedicated to the sector. It was a significant first step towards order, fair competition and a less distorted sector. It was implemented over a six year period (and is still being implemented by developing countries under their 10-year period), that began in 1995. The Uruguay Round agreement included a commitment to continue the reform through new negotiations. These were launched in 2000, as required by the Agriculture Agreement.

The Agriculture Agreement includes new rules and commitments. Its objective is to reform trade in the sector and to make policies more market-oriented. This would improve predictability and security for importing and exporting countries alike. The new rules and commitments apply to:

- market access - various trade restrictions confronting imports
- domestic support - subsidies and other programmes, including those that raise or guarantee farmgate prices and farmers' incomes
- export subsidies and other methods used to make exports artificially competitive.

The agreement does allow governments to support their rural economies, but preferably through policies that cause less distortion to trade. It also allows some flexibility in the way commitments are implemented.

Developing countries do not have to cut their subsidies or lower their tariffs as much as developed countries, and they are given extra time to complete their obligations. Least developed countries don't have to do this at all. Special provisions deal with the

interests of countries that rely on imports for their food supplies, and the concerns of least-developed economies.

“Peace” provisions within the agreement aim to reduce the likelihood of disputes or challenges on agricultural subsidies over a period of nine years, until the end of 2003.

In addition to this, the Agriculture Agreement prohibits export subsidies on agricultural products unless the subsidies are specified in a member’s lists of commitments. Where they are listed, the agreement requires WTO members to cut both the amount of money they spend on export subsidies and the quantities of exports that receive subsidies.

Under the Agriculture Agreement, WTO members have to reduce their subsidized exports. But some importing countries depend on supplies of cheap, subsidized food from the major industrialized nations. They include some of the poorest countries, and although their farming sectors might receive a boost from higher prices caused by reduced export subsidies, they might need temporary assistance to make the necessary adjustments to deal with higher priced imports, and eventually to export. A special ministerial decision sets out objectives, and certain measures, for the provision of food aid and aid for agricultural development. It also refers to the possibility of assistance from the International Monetary Fund and the World Bank to finance commercial food imports.

Agreement on the application of sanitary and phytosanitary measure (SPS)

Article 20 of the General Agreement on Tariffs and Trade (GATT) allows governments to act on trade in order to protect human, animal or plant life or health, provided they do not discriminate or use this as disguised protectionism.

The question is how can we ensure that our country’s consumers are being supplied with food that is safe to eat – “safe” by the standards we consider appropriate? And at the same time, how can we ensure that strict health and safety regulations are not being used as an excuse for protecting domestic producers?

A separate agreement on food safety and animal and plant health standards, the **Sanitary and Phytosanitary Measures Agreement** or **SPS**, sets out the basic rules. It allows countries to set their own standards. But it also states that regulations must be based on science. They should be applied only to the extent necessary to protect human, animal or plant life or health. And they should not arbitrarily or unjustifiably discriminate between countries where identical or similar conditions prevail. Member countries are encouraged to use international standards, guidelines and recommendations where they exist. However, members may use measures which result in higher standards if there is scientific justification. They can also set higher standards based on appropriate assessment of risks so long as the approach is consistent, not arbitrary. And they can to some extent apply the “precautionary principle”, a kind of “safety first” approach to deal with scientific uncertainty. Article 5.7 of the SPS Agreement allows temporary “precautionary” measures. The agreement still allows countries to use different standards and different methods of inspecting products. So how can an exporting country be sure the practices it applies to its products are acceptable in an importing country? If an exporting country can demonstrate that the measures it applies to its exports achieve the same level of health protection as in the importing country, then the importing country is expected to accept the exporting country’s standards and methods. The agreement includes provisions on control, inspection and approval procedures. Governments must provide advance notice of new or changed sanitary and phytosanitary regulations, and establish a national enquiry point to provide information.

Agreement on Technical Barriers to Trade Agreement (TBT)

Technical regulations and industrial standards are important, but they vary from country to country. Having too many different standards makes life difficult for producers and exporters. If the standards are set arbitrarily, they could be used as an excuse for protectionism. Standards can become obstacles to trade.

The Technical Barriers to Trade Agreement (TBT) tries to ensure that regulations, standards, testing and certification procedures do not create unnecessary obstacles. The agreement recognizes countries' rights to adopt the standards they consider appropriate, for example, for human, animal or plant life or health, for the protection of the environment or to meet other consumer interests. Moreover, members are not prevented from taking measures necessary to ensure their standards are met. In order to prevent too much diversity, the agreement encourages countries to use international standards where these are appropriate, but it does not require them to change their levels of protection as a result. The agreement sets out a code of good practice for the preparation, adoption and application of standards by central government bodies. It also includes provisions describing how local government and non-governmental bodies should apply their own regulations' normally they should use the same principles as apply to central governments.

The agreement says the procedures used to decide whether a product conforms with national standards have to be fair and equitable. It discourages any methods that would give domestically produced goods an unfair advantage. The agreement also encourages countries to recognize each others testing procedures.

That way, a product can be assessed to see if it meets the importing country's standards through testing in the country where it is made. Manufacturers and exporters need to know what the latest standards are in their prospective markets. To help ensure that this information is made available conveniently, all WTO member governments are required to establish national enquiry points.

Trade-Related Investment Measures (TRIMs) Agreement

The Trade-Related Investment Measures (TRIMs) Agreement applies only to measures that affect trade in goods. It recognizes that certain measures can restrict and distort trade, and states that no member shall apply any measure that discriminates against

foreigners or foreign products (i.e. violates “national treatment” principles in GATT). It also outlaws investment measures that lead to restrictions in quantities (violating another principle in GATT). An illustrative list of TRIMs agreed to be inconsistent with these GATT articles is appended to the agreement. The list includes measures which require particular levels of local procurement by an enterprise (“local content requirements”). It also discourages measures which limit a company’s imports or set targets for the company to export (“trade balancing requirements”).

Under the agreement, countries must inform fellow-members through the WTO of all investment measures that do not conform to the agreement. Developed countries had to eliminate these in two years (by the end of 1996); developing countries had five years (to the end of 1999); and least-developed countries seven. In July 2001, the Goods Council agreed to extend this transition period for a number of requesting developing countries.

The agreement establishes a Committee on TRIMs to monitor the implementation of these commitments. The agreement also says that WTO members should consider whether there should also be provisions on investment policy and competition policy. This discussion is now part of the Doha Development Agenda.

2.5. Organization Structure of the WTO

Dear distance learner, we have discussed above what a WTO, its principles and its various agreements shortly. Now, it will be appropriate to have a moment on the organizational structure of the WTO.

The WTO is “member-driven”, with decisions taken by consensus among all member governments. The WTO is run by its member governments. All major decisions are made by the membership as a whole, either by ministers (who meet at least once every two years) or by their ambassadors or delegates (who meet regularly in Geneva). Decisions are normally taken by consensus. Of course informal consultations within the

WTO play a vital role in bringing a vastly diverse membership round to an agreement. In this respect, the WTO is different from some other international organizations such as the World Bank and International Monetary Fund. In the WTO, power is not delegated to a board of directors or the organization's head. When WTO rules impose disciplines on countries' policies that is the outcome of negotiations among WTO members. The rules are enforced by the members themselves under agreed procedures that they negotiated, including the possibility of trade sanctions. But those sanctions are imposed by member countries, and authorized by the membership as a whole. This is quite different from other agencies whose bureaucracies can, for example, influence a country's policy by threatening to withhold credit.

Reaching decisions by consensus among some 150 members can be difficult. Its main advantage is that decisions made this way are more acceptable to all members. And despite the difficulty, some remarkable agreements have been reached. Nevertheless, proposals for the creation of a smaller executive body, perhaps like a board of directors each representing different groups of countries are heard periodically.

Highest authority: the Ministerial Conference

So, the WTO belongs to its members. The countries make their decisions through various councils and committees, whose membership consists of all WTO members. Topmost is the ministerial conference which has to meet at least once every two years. The Ministerial Conference can take decisions on all matters under any of the multilateral trade agreements.

Second level: General Council in three guises

Day-to-day work in between the ministerial conferences is handled by three bodies:

- The General Council
- The Dispute Settlement Body
- The Trade Policy Review Body

All three are in fact the same - the Agreement Establishing the WTO states they are all the General Council, although they meet under different terms of reference. Again, all three consist of all WTO members. They report to the Ministerial Conference. The General Council acts on behalf of the Ministerial Conference on all WTO affairs. It meets as the Dispute Settlement Body and the Trade Policy Review Body to oversee procedures for settling disputes between members and to analyze members' trade policies.

Third level: councils for each broad area of trade, and more

There are three more councils, each handling a different broad area of trade. These are:-

- The Council for Trade in Goods (**Goods Council**)
- The Council for Trade in Services (**Services Council**)
- The Council for Trade-Related Aspects of Intellectual Property Rights (**TRIPS Council**)

These bodies are accountable to the General Council. As their names indicate, the three are responsible for the workings of the WTO agreements dealing with their respective areas of trade. Again they consist of all WTO members. The three also have subsidiary bodies.

Six other bodies report to the General Council. The scope of their coverage is smaller, so they are "committees". But they still consist of all WTO members. They cover issues such as trade and development, the environment, regional trading arrangements, and administrative issues. The Singapore Ministerial Conference in December 1996 decided to create new working groups to look at investment and competition policy, transparency in government procurement, and trade facilitation. Two more subsidiary bodies dealing with the plurilateral agreements (which are not signed by all WTO members) keep the General Council informed of their activities regularly.

Fourth level: subsidiary bodies

Each of the higher level councils has subsidiary bodies. The **Goods Council** has 11 committees dealing with specific subjects (such as agriculture, market access, subsidies, anti-dumping measures and so on). Again, these consist of all member countries.

The **Services Council**'s subsidiary bodies deal with financial services, domestic regulations, GATS rules and specific commitments.

At the General Council level, the **Dispute Settlement Body** also has two subsidiaries: the dispute settlement "panels" of experts appointed to adjudicate on unresolved disputes, and the Appellate Body that deals with appeals.

The WTO Secretariat

The WTO Secretariat is headed by a director-general. Divisions come directly under the director-general or one of his deputies. The WTO Secretariat is located in Geneva and is headed by a director-general. Its responsibilities include:

- Administrative and technical support for WTO delegate bodies (councils, committees, working parties, negotiating groups) for negotiations and the implementation of agreements.
- Technical support for developing countries, and especially the least-developed.
- Trade performance and trade policy analyses by WTO economists and statisticians.
- Assistance from legal staff in the resolution of trade disputes involving the interpretation of WTO rules and precedents.
- Dealing with accession negotiations for new members and providing advice to governments considering membership.

2.5. How to join the WTO: the accession process

Dear distance learner, you might have come across to the information that Ethiopia is in accession process. How do you think that a county can join the WTO? Any state or customs territory having full autonomy in the conduct of its trade policies may join

("accede to") the WTO, but WTO members must agree on the terms. Broadly speaking the application goes through four stages:

First, "tell us about yourself". The government applying for membership has to describe all aspects of its trade and economic policies that have a bearing on WTO agreements. This is submitted to the WTO in a memorandum which is examined by the working party dealing with the country's application. These working parties are open to all WTO members.

Second, "work out with us individually what you have to offer". When the working party has made sufficient progress on principles and policies, parallel bilateral talks begin between the prospective new member and individual countries. They are bilateral because different countries have different trading interests. These talks cover tariff rates and specific market access commitments, and other policies in goods and services. The new member's commitments are to apply equally to all WTO members under normal non-discrimination rules, even though they are negotiated bilaterally. In other words, the talks determine the benefits (in the form of export opportunities and guarantees) other WTO members can expect when the new member joins. (The talks can be highly complicated. It has been said that in some cases the negotiations are almost as large as an entire round of multilateral trade negotiations.)

Third, "let's draft membership terms". Once the working party has completed its examination of the applicant's trade regime, and the parallel bilateral market access negotiations are complete, the working party finalizes the terms of accession. These appear in a report, a draft membership treaty ("protocol of accession") and lists ("schedules") of the member-to-be's commitments.

Finally, "the decision". The final package, consisting of the report, protocol and lists of commitments, is presented to the WTO General Council or the Ministerial Conference. If a two thirds majority of WTO members vote in favour, the applicant is free to sign the

protocol and to accede to the organization. In many cases, the country's own parliament or legislature has to ratify the agreement before membership is complete.

Review Questions

1. Discuss how and why the WTO is established?
2. Describe the organizational structure of the WTO?
3. What kind of procedures should states follow to join the WTO?
4. Discuss the functions of the WTO?
5. Discuss how decisions are made with in the WTO?

UNIT THREE: BASIC PRINCIPLES OF GATT

Dear distance learner, we have been discussing the development, structure and institutional framework of the WTO under the previous chapters. In this chapter, we will be discussing the main substantive provisions (basic principles) of the WTO. These basic principles are most-favoured-nation treatment, national treatment, quantitative restrictions.

Objectives

At the end of this unit, students will be able to understand;

- The meaning of most favoured nation treatment (MFN)
- The exceptions for MFN principle
- The principle of national treatment principle and the exceptions thereof
- Rules on quantitative restrictions and the exceptions
- Justifications for enshrining such principles under the GATT 1994.

3.1. MOST-FAVOURED-NATION TREATMENT

Most-Favoured-Nation treatment" or "MFN," which requires Members to accord the most favourable tariff and regulatory treatment given to the product of any one Member at the time of import or export of "like products" of all other Members, is one of the bedrock principles of the WTO. Under the Most-Favoured-Nation rule, should WTO Member state A agree in negotiations with state B, which needs not be a WTO Member, to reduce the tariff on the same product X to five percent, this same "tariff rate" must also apply to all other WTO Members as well. In other words, if a country gives favourable treatment to one country regarding a particular issue, it must handle all Members equally regarding the same issue. For example, if nation X has granted MFN treatment to Y, and then grants a low tariff to Z on imports from Z to X, nation X is under an obligation to accord the same low-tariff treatments also to Y and its citizens.

The idea of Most-Favoured-Nation treatment in and of itself has a long history. Prior to the GATT, an MFN clause was often included in bilateral trade agreements, and as such it contributed greatly to the liberalization of trade. However, in the 1930s, several measures that limited the functioning of the Most-Favoured-Nation principle were taken. It is said that these measures led to the division of the world economy into trade blocs. Having learned from this mistake, after World War II, the unconditional Most-Favoured-Nation clause was then included in the GATT, on a multilateral basis.

Legal Framework

MFN treatment is stipulated in GATT Articles I, XIII, and XVII.

Article 1 of the General Agreement on Tariffs and Trade states that:

“with respect to customs duties and charges of any kind imposed on or in connection with importation or exportation or imposed on the international transfer of payments for imports or exports and with respect to the method of levying such duties and charges, and with respect to all rules and formalities in connection with importation and exportation and with respect to all matters referred to in paragraphs 2 and 4 of Article III, any advantage, favour, privilege or immunity granted by any contracting party to any product originating in or destined for any other country shall be accorded immediately and unconditionally to other like product originating in or destined for the territories of all other contracting parties.”

As can be understood from the provision, the MFN principle has mainly a three-tier test.

These are:

- Whether the governmental measure at issue confers a **trade advantage** of the kind covered by Article I:1 of the GATT 1994
- Whether the products concerned are “ **Like Products**”
- Whether the advantage at issue is granted **immediately and unconditionally** to all like products originating in other WTO members.

With regard to the first test- trade advantage, Panels and the Appellate Body have interpreted the term “advantage” broadly to encompass not only tax/customs advantages, but also laws, regulations and requirements that affect importation and exportation and alter the scales of competition.

The Second test of MFN treatment is related to “like products.”

GATT Article I:1 provides for WTO Members to accord Most-Favoured-Nation treatment to like products of other WTO Members regarding tariffs, regulations on exports and imports, internal taxes and charges, and internal regulations. In other words, "like" products from all WTO Members must be given the same treatment as the most advantageous treatment accorded the products of any state. Should an importing country flagrantly accord differential treatment to "like products" of the exporting country, i.e. by setting different tariff rates, it would be clearly a violation of GATT Article I:1.

However, Article I:1 violations can also occur even when there is no ostensible discrimination against the product of a Most-Favoured-Nation, such as when an importing country accords differential treatment among products that are considered to be "like products," which ultimately results in the de facto discrimination against products of specific contracting parties. For instance, a country may apply a different tariff rate to a particular variety of raw coffee bean, but if that variety and other varieties of coffee beans were considered to be "like products," using criteria such as consumer tastes and end-use, the differential tariff may have an effect on imports from only specific countries. This may be considered in violation of the MFN rule. For example, A 1982 GATT panel found in favour of Brazil that Spain had not lived up to GATT MFN obligation when it subdivided its customs classification of coffee and applied a much higher duty on those types of coffee imported from Brazil. The panel stated that the coffees were so nearly the same that they were “like products”, and that this must be

treated non discriminatorily even though no tariffs were binding by Spain on the product.

In contrast, the concept of like products was strictly interpreted in Japan's SPF (spruce, pine, and fir) case. The panel in that case recognized that each WTO Member might exercise considerable discretion as to tariff classifications and that the legality of such classifications would be established to the extent that it did not discriminate against the same products from different WTO Member.

Dear distance learner, there is no clearly defined scope of the concept of “like products.” The decisions passed by different panels seem to suggest that the concept is going to be interpreted on case by case basis. There is no uniform interpretation. It is to be interpreted in context. In Japan-Alcoholic Beverages II, the Appellate Body likened the concept of likeness to an accordion:

The accordion of likeness stretches and squeezes in different places as different WTO provisions of the WTO Agreement are applied. The width of the accordion in any one of those places must be determined by the particular provision in which the term is encountered as well as by context and the circumstances that prevail in any given case to which that provision may apply.

The above explanation by the Appellate Body indicates that there is no simple and straight forward meaning for likeness. We can rightly decide whether two products are like or not only based on the circumstances that prevail in a given case.

However, the following factors have been taken into account by Panels in deciding whether two products are like or not:

- The properties, nature and quality of the products
- The end-uses of the products
- Consumers' taste and habits

- The (International) tariff classification of the products.

The third test of MFN treatment- immediately and unconditionally has been interpreted broadly to mean that a member cannot demand reciprocal treatment as a condition for extending MFN treatment. Likewise, Extension of MFN treatment cannot be made conditional on a member having or passing a specific legislation or undertaking a certain action. Hence, the advantage should be accorded to other WTO members without requiring any similar advantage in return. The advantage to be given is not based on reciprocity.

3.1.1. EXCEPTIONS

The MFN treatment is subject to some kind of exceptions. Countries may be allowed to derogate from MFN principle if the situation falls under one of the following exceptions.

- **GATT Article I:2-4 (historical preferences)**

The debate between British and American negotiators, going back to the wartime discussions, was resolved by qualifying Article I, the fundamental MFN Article, by explicit authorization to maintain the imperial or Commonwealth preferences as well as comparable arrangements for overseas territories or affiliated states of France, Belgium, and the Netherlands. It was understood that permitting continuation of these preferences was a significant inroad into the principle of most-favoured nations treatment. In the early post-war years, however, the desire of the principal colonial powers to preserve by economic means some of the ties that were dissolving, and likely to dissolve further, at the political level, proved strong enough to persuade the drafters of the GATT to permit this substantial undercutting of the MFN principle.

Article I stated, however, that the margin of preference could not be increased from the margin prevailing at the start of the Geneva conference, April 10, 1947. The failure of United States negotiators to secure elimination of Commonwealth and other preferences was one of grounds raised by critics of the proposed ITO Charter.

- GATT Article IV(C) (cinematographic films)
- Regional Integration (GATT Article XXIV)

One of the most striking developments in trade relations in recent years has been the worldwide proliferation of regional agreements under which groups of countries have agreed to reduce trade barriers among themselves. By their very nature, such arrangements favour imports from members of the grouping, and discriminate against imports from other countries. This departure from the MFN principle is permitted by Article XXIV of the GATT.

Regional integration liberalizes trade among countries within the region, while allowing trade barriers with countries outside the region. Regional integration therefore may lead to results that are contrary to the Most-Favoured-Nation principle because countries inside and outside the region are treated differently. This may have a negative effect on countries outside the region, and thus lead to results contrary to the liberalization of trade. That is why Article XXIV contains strict criteria for the formation of those regional groupings which are recognized by the GATT.

The rules of Article XXIV are designed to ensure that countries which form regional agreements move to genuinely free trade among themselves, and provide adequate compensation for any damage done to the trade interests of other WTO members. The rules distinguish between two technically different forms of arrangement, the customs union and the free trade area. Both involve the removal of trade barriers among their members. However, the member countries of customs unions all charge the same rates of import duty on imports from non-members(Article XXIV: 8(a)(ii)), while members of free trade areas retain their own national tariffs. Article XXIV requires that customs unions set their common import duties and other regulations affecting imports into the union at a level not higher or more restrictive on the whole than the overall level (general incidence) of those of the original members before the union was formed(Article XXIV: 5(a)).

To qualify as either a customs union or free trade area, members must remove duties and other restrictions affecting 'substantially all the trade' among them (Article XXIV:8(a)(i) and 8(b)). Other rules require a detailed plan and schedule to show how the members will move to free trade, and that these be examined to confirm that Article XXIV's requirements have been met (Article XXIV:7). Other rules require a detailed plan and schedule to show how the members will move to free trade, and that these be examined to confirm that Article XXIV's requirements have been met. The Uruguay Round understanding on Article XXIV¹ clarifies, or at least touches on, most but not all of these points, and may in consequence make it easier to reach agreement on whether regional agreements meet the Article XXIV rules.

The preamble to the understanding largely re-states the accepted arguments for regional trading arrangements. However, it strengthens, by implication at least, the requirement that substantially all trade be included in the elimination of barriers between members, by recognizing that the arrangement's contribution to the expansion of world trade will be increased if the removal of duties and other restrictions extends to all trade, and diminished if any major sector of trade is excluded.

A more binding clarification in the understanding concerns the Article XXIV:5 requirement that the general incidence of a customs union's common duties and trade regulations be no higher than those existing before it was formed. The text sets out a methodology for evaluating whether this general incidence is in fact higher or not. The evaluation is to be based on an overall assessment of weighted average tariff rates and of duties collected, and the assessment in turn is to be based on detailed import statistics. The comparison is to take account of the duties and charges actually applied (meaning that for this purpose it is not relevant that bindings in the tariff schedules of the members might have allowed higher tariffs to be charged).

Preferential trading arrangements are not accepted because they permit selective tariff reduction without seeking the goal of complete tariff liberalisation or without extending the benefits of the various agreements to other GATT contracting parties. These arrangements are invariably trade diverting as they lead to the movement of trade from countries with a comparative advantage in the production of the goods on the world market to the countries whose prices are lower due to the preferential trade arrangements. These arrangements are also in conflict with the MFN principle as they would permit preferences between contracting parties that are not extended to other contracting parties of the GATT immediately and unconditionally.

Article XXIV makes no mention of common markets or economic unions. This does not mean that they are unacceptable in terms of the GATT, however. With the common market, the contracting parties permit free movement of labour and capital within their respective territories. Within the economic union, the common market members work towards the harmonisation of their economic policies. The Treaty on European Union (1992) is an excellent example of the movement towards the harmonisation of the economic policies of the various contracting states. In many ways the harmonisation of the economic policies within an economic union can be seen as an extension of the WTO principle of predictable and growing access to markets. Although the internal policy of the economic union will differ from that of its external policy, the principles applied in each case will be complementary. The common internal policy pursued by the European Union is in many ways a reflection of the harmonisation sought by the WTO on the world market.

The common market and the economic union are both extensions of the customs union which is mentioned in Article XXIV. Although the relationships between the contracting states of both the common market and the economic union are changed and are taken to a greater level of cooperation, the external policy of these regional groupings remains the same as that of a customs union. In both the common market and the economic

union, the contracting states are required to adopt a common external tariff which is not higher than that of the tariff rates applied by the individual states before the formation of the relevant regional grouping. No argument can therefore be raised against either the economic union or the common market on this basis.

- **Non-Application of Multilateral Trade Agreements between Particular Member States (Article XXXV of GATT)**

The Marrakesh Agreement Establishing the World Trade Organization (the "WTO Agreement") provides that "[t]his Agreement and the Multilateral Trade Agreement in Annexes 1 and 2 shall not apply as between any Member and any other Member," when either of the following conditions are met: (a) at the time the WTO went into force, Article XXXV of GATT 1947 had been invoked earlier and was effective as between original Members of the WTO which were contracting parties to GATT 1947 or; (b) between a Member and another Member which has acceded under Article XII only if the Member not consenting to the application has so notified the Ministerial Conference before the approval of the agreement on the terms of accession by the Ministerial Conference.

In the case of non-application, benefits enjoyed by other Members are not provided to the country of non-application, which leads to results that are contrary to the most-favoured-nation principle. These Article XXXV provisions were created to deal with problems arising from accessions. Ideally, the most-favoured-nation rule would be applied stringently so that when country B accedes to the Agreement, it is required to confer most-favoured-nation status on all other Members, and they, in turn, are required to confer most-favoured-nation status on country B. However, country A, which is already a Member of the WTO, may have reasons for not wanting to confer the rights and obligations of the WTO on new Member B. The WTO only requires the consent of two-thirds of the existing membership for accession, so it is conceivable that country A

might, against its will, be forced to give most-favoured-nation status to country B. WTO Article XXXV is a way to respect country A's wishes by preventing a WTO relationship from taking effect between countries A and B. On the other hand, WTO Article XXXV provides a way for the accession of country B, even if more than a third of the membership, like country A, has reasons for not wanting a WTO relationship with country B (in which case they will object to the accession itself) by allowing for non-application. In January 1995, the United States notified the General Council that it would not apply the Agreement and the Multilateral Trade Agreements in Annexes 1 and 2 to Romania, yet, in February 1997, the United States withdrew its invocation.

- **GATT Article XX (General Exception)**

Subject to the requirement that such measures are not applied in a manner which would constitute a means of arbitrary or unjustifiable discrimination between countries where the same conditions prevail, or a disguised restriction on international trade, nothing in this Agreement shall be construed to prevent the adoption or enforcement by any contracting party of measures:

(a) necessary to protect public morals;

(b) necessary to protect human, animal or plant life or health;

(c) relating to the importation or exportation of gold or silver;

(d) necessary to secure compliance with laws or regulations which are not inconsistent with the provisions of this Agreement, including those relating to customs enforcement, the enforcement of monopolies operated under paragraph 4 of Article II and Article XVII, the protection of patents, trade marks and copyrights, and the prevention of deceptive practices;

(e) relating to the products of prison labour;

(f) imposed for the protection of national treasures of artistic, historic or archaeological value;

(g) relating to the conservation of exhaustible natural resources if such measures are made effective in conjunction with restrictions on domestic production or consumption;

(h)---(j)

GATT Article XX sets out fields of regulation in which WTO members are free to employ trade measures that would otherwise be inconsistent with GATT obligations. This limited freedom to use trade measures can be exercised at the national level or in other international agreements. Article XX thus plays a central role in determining “where decisions should be made...for different subjects” and, as a result, provides a key to understanding how decision making authority is to be allocated among national governments and international institutions.

A relatively small number of disputes have arisen over the years regarding the application of Article XX exceptions to trade measures to achieve health or environmental goals.

Article XX plays the key role of determining when trade measures—that are otherwise inconsistent with GATT obligations—may be used to implement policy choices made in other fields of regulation. In this respect, Article XX plays a role in the allocation of decision making power. In Article XX, the line shifts with the nature of the subject matter in question—the connection between the measure under consideration and the state interest that is required varies according to the policy category. Thus, the threshold for determining whether a given measure falls into the range of subjects listed in Article XX varies with the language used in each paragraph.

In *Reformulated Gasoline*, the Appellate Body confirmed this view: In enumerating the various categories of governmental acts, laws or regulations which WTO Members may carry out or promulgate in pursuit of differing legitimate state policies or interests outside the realm of trade liberalization, Article XX uses different terms in respect of different categories:

“necessary” - in paragraphs (a), (b) and (d);

“essential” - in paragraph (j);

“relating to” - in paragraphs (c), (e) and (g);

“for the protection of” - in paragraph (f);

“in pursuance of” - in paragraph (h);

and “involving” - in paragraph (i).

It does not seem reasonable to suppose that the WTO Members intended to require, in respect of each and every category, the same kind or degree of connection or relationship between the measure under appraisal and the state interest or policy sought to be promoted or realized.

For instance, Under GATT 1947, the words “relating to” in paragraph XX(g) were interpreted as exempting a broader range of measures from the strict application of the trade rules than does the word “necessary” in paragraph XX(b). The Appellate Body has confirmed this line of interpretation, stating that the term “necessary” in paragraph XX(b) requires a higher level of scrutiny than the term “relating to” in paragraph XX(g). Thus, the threshold for establishing provisional justification for a measure under paragraph XX(g) (relating to) is lower than under paragraph XX(b) (necessary).

Apart from the requirements in each paragraph, it is a must to pass the test provided in the chapeau of the provision in order to take a measure. The chapeau of Article XX provides *“Subject to the requirement that such measures are not applied in a manner which would constitute a means of arbitrary or unjustifiable discrimination between countries where the same conditions prevail, or a disguised restriction on international trade nothing in this Agreement shall be construed to prevent the adoption or enforcement by any contracting party of measures...”* The measures to be adopted by member countries should not be arbitrary or unjustifiable discrimination. The whole essence of the chapeau is that the measures should not be used for protectionist purposes. There should be sound reasons to take measures which are intended to meet the targets specified in each paragraph.

Hence, for a measure to be permissible under Article XX both requirements under the chapeau and in each of the paragraphs should be fulfilled.

- **GATT Article XXI (Security Exception)**

Nothing in this Agreement shall be construed:

(a) to require any contracting party to furnish any information the disclosure of which it considers contrary to its essential security interests; or (b) to prevent any contracting party from taking any action which it considers necessary for the protection of its essential security interests

(i) relating to fissionable materials or the materials from which they are derived;

(ii) relating to the traffic in arms, ammunition and implements of war and to such traffic in other goods and materials as is carried on directly or indirectly for the purpose of supplying a military establishment;

(iii) taken in time of war or other emergency in international relations; or

(c) to prevent any contracting party from taking any action in pursuance of its obligations under the United Nations Charter for the maintenance of international peace and security.

Article XXI of GATT 1994 permits WTO members to breach their GATT obligations for national security reasons. The broadest and most controversial of the exceptions included in Article XXI states that the GATT will not prevent a WTO member “from taking any action which it considers necessary for the protection of its essential security interests . . . taken in time of war or other emergency in international relations.” This exception confers a potentially broad grant of authority, because the GATT does not define critical terms such as “considers necessary,” “essential security interests,” “time of war,” and “emergency in international relations.” Consequently, the scope of the “war” and “emergency” exception in Article XXI is not readily discernible. Similarly, the

fact that a WTO member may take any action to protect “essential” interests that “it considers necessary” leaves open the question of whether the use of Article XXI is subject to review by a WTO panel.

The plain text of Article XXI suggests that a WTO panel would not have the necessary jurisdiction to decide an Article XXI disputes. Article XXI differs from other textually defined exceptions to the GATT, because it appears to permit the WTO member itself to define the scope of the exception. The exception states that the GATT does not prevent a WTO member “from taking any action which *it considers* necessary for the protection of its essential security interests.” Thus, the self-defining nature of the national security exception suggests a subjective standard for assessing the necessity of a measure under Article XXI. In contrast, other GATT exceptions suggest an objective standard—a standard under which WTO judicial bodies may define “necessary” and examine measures against this definition.

Despite the evidence favoring a self-judging interpretation of Article XXI, WTO judicial bodies will likely exercise jurisdiction to review disputes involving the national security exception. The evidence favoring such jurisdiction includes textual interpretations of Article XXI that limit the self-judging language, WTO interpretations of similar self-defining language in other WTO agreements, and historical interpretations of Article XXI. Even though much has been made of the discretionary language in Article XXI, the language may not preclude WTO jurisdiction.

- **Enabling Clause (1979 Decision)**

The Enabling Clause is an extension of the Provisions for the Special and Differential Treatment for Developing and Least-developed Countries. The Enabling Clause falls under the decision on "Differential and More Favourable Treatment, Reciprocity and Fuller Participation of Developing Countries" which was adopted in 1979 during the Tokyo Round. In terms of this provision the least-developed countries are required to undertake commitments and make concessions only to the extent consistent with their

individual development, financial and trade needs or their institutional and administrative capabilities. These countries are therefore exempted from the principle of reciprocity. As a result of the one-sided commitment of the developed countries alone, the provision is in direct contrast to the MFN principle. The Enabling Clause provides a continuation of the exceptions extended to least developed countries and makes provision for least-developed countries to enter into regional trade arrangements without neglecting their developmental needs.

Provision 1(c) of the Enabling Clause allows for the establishment of regional and global arrangements amongst less-developed contracting parties wherein there is a mutual reduction or elimination of tariffs. Another aim of these regional groupings is the mutual reduction or elimination of non-tariff measures on products imported from other contracting parties. A footnote to this provision provides for such differential and more favourable treatment to take account of the following requirements:

- a) the regional groupings should be designed to facilitate and promote the trade of developing countries and not to raise or create undue difficulties for the trade of any other contracting parties;
- b) the provisions should not constitute an impediment to the reduction or elimination of tariffs and other restrictions to trade on a MFN basis; and
- c) where MFN treatment is accorded by the developed contracting parties to developing countries, it should be designed and if necessary, modified to respond positively to the development, financial and trade needs of developing countries.

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From provision 1(c) it can be inferred that while special and differential treatment from developed economies to developing economies is allowed, this treatment should accommodate the economic needs of these countries and contribute towards the empowerment of the developing countries in areas such as development, finance and trade.

The contracting parties recognized that achieving the aims of the GATT 1947 Agreement should be facilitated by the progressive development of their economies. The move towards progressive development is of particular importance to contracting parties in the early stages of development or whose economies could only support low standards of living. It is therefore necessary for these contracting parties to take protective and other measures affecting imports in order to implement economic development programs and policies which are designed to raise the standards of living in their countries. These measures must be justified in so far as they assist in attaining the GATT Agreement's objectives. The contracting parties were therefore given additional facilities which allowed them to:

- a) maintain sufficient flexibility in their tariff structure which would give these countries the tariff protection necessary to establish industries necessary for development; and
- b) apply quantitative restrictions for balance of payment purposes. This should be done in a manner which would take full account of the continuing high level of demand for imports which were likely to be generated by their economic development program.

The greatest scope for regional integration schemes involving developing countries is provided in footnote 2 of the Enabling Clause. This footnote states that: "it remains open for the Contracting Parties to consider on an ad hoc basis under the GATT provisions for joint actions any proposals for differential and more favourable treatment ..."

Accordingly there may be deviations from the MFN principle on the basis of differential and more favourable treatment for developing countries. The joint action mentioned in footnote 2 of the Enabling Clause refers to Article XXV (5) which allows Member States to waive their WTO obligations. These obligations may be waived where the parties' decision is approved by a two-thirds majority of votes cast. The requisite majority should be comprised of more than half of the contracting parties. The Enabling Clause would thus provide those developing countries who wish to create a regional trade area greater flexibility than provided for in Article XXIV and its Understanding.

In short the following summary can be made regarding enabling clause. i) Under the 1979 Enabling Clause, developed countries can provide generalized non-reciprocal preferences to all developing countries or to all least developed countries (LDCs). The Everything But Arms preference programme provided to Least Developed Countries (LDCs) by the EU falls under this exception. Everything But Arms is a preferential programme of quota-free and duty-free access to the EU market on nearly all items for least developed countries. Alternatively, the preferences must apply to all developing countries that meet certain criteria. Eg. the EU's GSP + programme whereby countries that meet the criteria set by the EU have preferential access to the EU market in certain products.

ii) In addition, under the Enabling Clause, developing countries can also freely and without constraint provide each other with preferential market access. That is, the Enabling Clause gives cover to South-South free trade agreements or customs unions. Many of the regional customs unions such as the trade arrangements in goods within Mercosur (in South America), or the Economic Community of West African States (ECOWAS) have been notified under the Enabling Clause.

- **Marrakesh Agreement Article IX: 3(Waiver)**

Waivers from the MFN are also possible, though difficult to obtain. The Fourth Lome Convention between the European Union (EU) and the African Caribbean and Pacific(ACP) countries was granted a waiver at the 2001 Doha WTO Ministerial Conference. Since the Uruguay Round's Understanding in Respect of Waivers of Obligations under the GATT 1994 and Article IX: 3-4 of the Marrakech Agreement, members requesting a waiver must justify it with sound economic analysis and arguments, undergo a complex process of requesting WTO authorisation, and abide by stringent conditions for maintaining the waiver if it stretches over several years, including annual reviews by the WTO. The waiver obtained by the ACP countries at the

Doha Ministerial Conference came at a high price – ACP countries essentially agreed to the Doha Round in exchange for this waiver. The EU also had to give some market access to certain non-ACP countries (eg. In tuna) before the waiver was granted.

3.2. NATIONAL TREATMENT PRINCIPLE

Dear distance learner, the second important principle under the WTO Agreements is the national treatment rule. National treatment (GATT Article III) stands alongside MFN treatment as one of the central principles of the WTO Agreement. Under the national treatment rule, Members must not accord discriminatory appropriate treatment between imports and like domestic products (with the exception of the imposition of tariffs, which is a border measure). This rule prevents countries from taking discriminatory measures on imports on the one hand, and to prevent countries from offsetting the effects of tariffs through non-tariff measures. An example of the latter could be where Member A reduces the import tariff on product X from ten percent to five percent, only to impose a five percent domestic consumption tax only on imported product X, effectively offsetting the five percentage point tariff cut. The purpose of the national treatment rule is to eliminate “hidden” domestic barriers to trade by WTO Members through according imported products treatment no less favourable than that accorded to products of national origin. The adherence to this principle is important to maintain the balance of rights and obligations, and is essential for the maintenance of the multilateral trading system.

GATT Article III provides:

- 1. The contracting parties recognize that internal taxes and other internal charges, and laws, regulations and requirements affecting the internal sale, offering for sale, purchase, transportation, distribution or use of products, and internal quantitative regulations requiring the mixture, processing or use of products in specified amounts or proportions, should not be applied to imported or domestic products so as to afford protection to domestic production.*

2. *The products of the territory of any contracting party imported into the territory of any other contracting party shall not be subject, directly or indirectly, to internal taxes or other internal charges of any kind in excess of those applied, directly or indirectly, to like domestic products. Moreover, no contracting party shall otherwise apply internal taxes or other internal charges to imported or domestic products in a manner contrary to the principles set forth in paragraph 1.*
3. *With respect to any existing internal tax which is inconsistent with the provisions of paragraph 2, but which is specifically authorized under a trade agreement, in force on April 10, 1947, in which the import duty on the taxed product is bound against increase, the contracting party imposing the tax shall be free to postpone the application of the provisions of paragraph 2 to such tax until such time as it can obtain release from the obligations of such trade agreement in order to permit the increase of such duty to the extent necessary to compensate for the elimination of the protective element of the tax.*
4. *The products of the territory of any contracting party imported into the territory of any other contracting party shall be accorded treatment no less favourable than that accorded to like products of national origin in respect of all laws, regulations and requirements affecting their internal sale, offering for sale, purchase, transportation, distribution or use. The provisions of this paragraph shall not prevent the application of differential internal transportation charges which are based exclusively on the economic operation of the means of transport and not on the nationality of the product.*
- 5)--- 10).

GATT Article III requires that WTO Members provide national treatment to all other Members. Article III:1 stipulates the general principle that Members must not apply internal taxes or other internal charges, laws, regulations and requirements affecting imported or domestic products so as to afford protection to domestic production.

The first sentence of Article III: 2 of GATT talks about tax discrimination of like products. It provides that the products of the territory of any member imported into the

territory of any other member shall not be subject, directly or indirectly, to internal taxes or other internal charges of any kind in excess of those applied, directly or indirectly, to like domestic products. Concerning this issue, in *Canada-Periodicals*, it was held that the following conditions have to be satisfied: i) whether the imported and domestic products are like products; and ii) whether the imported products are taxed in excess of the domestic products.

The second sentence of Article III (2) deals with directly competitive or substitutable products. Article III: 2 : Moreover, no member shall otherwise apply internal charges to imported or domestic products in a manner contrary to the principles set forth in paragraph 1. Ad Art. III: 2 : A tax conforming to the requirements of the first sentence of para 2 would be considered to be inconsistent with the provision of the second sentence only in cases where competition was involved between, on the one hand, the taxed product and, on the other hand, a directly competitive or substitutable product which was not similarly taxed. Regarding this sentence- directly competitive and substitutable products, it was held in the *Japan-Alcoholic beverages II* case that the following elements have to be satisfied for the provision to have effect:

- i) Whether the imported and domestic products are directly competitive or substitutable
- ii) Whether these products are not similarly taxed
- iii) Whether dissimilar taxation is applied so as to afford protection to domestic producers.

Article III: 4: Article III:4 of the GATT sets out the National Treatment obligation with respect to non-fiscal laws, regulations and requirements. Such non-fiscal measures must accord no less favorable treatment to imports than to “like” domestic products. The determination of whether a measure is in violation of Article III:4 entails two distinct steps. The first is to ascertain whether the imported product and the domestic product are “like.” The analysis of likeness under Article III:4 entails a weighing and evaluation

of the same kinds of factors as is the case for fiscal measures—including physical characteristics, end uses, and consumer habits—with the possibility that other factors may, in certain cases, also be probative of likeness (*EC-Asbestos*). If indeed the domestic and the imported product are determined to be “like”, the adjudicator will proceed to the second step of determining whether the regulatory distinction between the two products results in less favorable treatment of imports (*EC-Asbestos*; *Korea-Beef*). As the Appellate Body has emphasized, not all regulatory distinctions between “like” products are impermissible under Article III:4, but rather only those which result in less favorable treatment for the *group* of imported products in comparison to the *group* of like domestic products. Thus, the adjudicator will consider whether the regulatory distinction in question is, *overall*, disadvantageous to imports. The fact that a facially neutral regulatory distinction results in some one imported product being treated worse than some one domestic product will not be enough to establish “less favorable treatment.” Instead, there must be in the structure and design of the regulatory scheme some systematic bias or orientation in favor of “like” domestic products.

Prominent examples of non-fiscal regulatory measures may include minimum price and quota measures. Although there may be some issue as to whether minimum price schemes are “subsidies” within the WTO definition (and thus they might be subject to subsidies disciplines), it is likely that, where imposed on both domestic and imported energy, minimum price and quota measures would be considered as internal laws, regulations and requirements within the meaning of Article III:4. In the *Canadian Beer* case, a GATT panel addressed a measure that established a minimum price for the sale of beer in government retail monopoly stores. The panel declined to rule that minimum price requirements as such violate Article III:4 of the GATT in providing less favorable treatment to lower cost foreign producers of like products. It did find, however, that Canada violated Article III:4 in the way in which it determined the applicable minimum price, based on the cost structure of domestic beer producers; by the use of a formula

linked to domestic producers' costs, the very design and structure of the scheme discriminated against foreign producers.

3.2.1. EXCEPTIONS TO NATIONAL TREATMENT RULE

Although national treatment is a basic principle under the GATT, the GATT provides for certain exceptions as follows.

- **Government Procurement**

GATT Article III:8(a) permits governments to purchase domestic products preferentially, making government procurement one of the exceptions to the national treatment rule. This exception is permitted because WTO Members recognize the role of government procurement in national policy. For example, there may be a security need to develop and purchase products domestically, or government procurement may, as is often the case, be used as a policy tool to promote smaller business, local industry or advanced technologies.

While the GATT made government procurement an exception to the national treatment rule, the Agreement on Government Procurement resulting from the Uruguay Round mandates signatories to offer national treatment in their government procurement. However, WTO Members are under no obligation to join the Agreement on Government Procurement. In fact, it has mostly been developed countries that have joined the Agreement. Therefore, in the context of government procurement, the national treatment rule applies only between those who have acceded to the Agreement on Government Procurement, and for others, the traditional exception is still in force.

- **Domestic Subsidies**

GATT Article III:8(b) allows for the payment of subsidies exclusively to domestic producers as an exception to the national treatment rule, under the condition that it is not in violation of other provisions in Article III and the Agreement on Subsidies and Countervailing Measures. The reason for this exception is that subsidies are recognized

to be an effective policy tool, and is recognized to be basically within the latitude of domestic policy authorities. However, because subsidies may have a negative effect on trade, the Agreement on Subsidies and Countervailing Measures imposes strict disciplines on the use of subsidies.

- **GATT Article XVIII:C**

Members in the early stages of development can raise their standard of living by promoting the establishment of infant industries, but this may require government support and the goal may not be realistically attainable with measures that conform to the GATT. In such cases, countries can use the provisions of GATT Article XVIII:C to notify WTO Members and initiate consultations. After consultations are completed and under certain restrictions, these countries are then allowed to take measures that are inconsistent with GATT provisions excluding Articles I, II and XIII. Unlike the trade restrictions for balance of payment reasons in GATT Article XVIII:B, the Article XVIII:C procedure allows both border measures and violations of the national treatment obligations in order to promote domestic infant industries. In the case concerning Malaysia 's import permit system of petrochemical products, Malaysia resorted to GATT Article XVIII:C as a reason to enforce import restrictions on polyethylene. Although Singapore filed a WTO case against this Malaysian practice, Singapore then withdrew its complaints and therefore neither a panel nor the Appellant Body had an opportunity to rule on the case.

- **Other Exceptions to National Treatment**

Exceptions peculiar to national treatment include the exception on screen quotas of cinematographic films under Article III:10 and Article IV. The provisions of GATT Article XX on general exceptions, Article XXI on security exceptions, and WTO Article IX on waivers also apply to the national treatment rule. Dear distance learner, for further detail on these exceptions, see the relevant sections of MFN Principle.

3.3. Quantitative Restrictions

Article XI: General Elimination of Quantitative Restrictions

1. *No prohibitions or restrictions other than duties, taxes or other charges, whether made effective through quotas, import or export licences or other measures, shall be instituted or maintained by any contracting party on the importation of any product of the territory of any other contracting party or on the exportation or sale for export of any product destined for the territory of any other contracting party.*
2. *The provisions of paragraph 1 of this Article shall not extend to the following:*
 - (a) *Export prohibitions or restrictions temporarily applied to prevent or relieve critical shortages of foodstuffs or other products essential to the exporting contracting party;*
 - (b) *Import and export prohibitions or restrictions necessary to the application of standards or regulations for the classification, grading or marketing of commodities in international trade;*
 - (c) *Import restrictions on any agricultural or fisheries product, imported in any form,* necessary to the enforcement of governmental measures which operate:*
 - (i) *to restrict the quantities of the like domestic product permitted to be marketed or produced, or, if there is no substantial domestic production of the like product, of a domestic product for which the imported product can be directly substituted; or*
 - (ii) *to remove a temporary surplus of the like domestic product, or, if there is no substantial domestic production of the like product, of a domestic product for which the imported product can be directly substituted, by*

making the surplus available to certain groups of domestic consumers free of charge or at prices below the current market level; or

- (iii) to restrict the quantities permitted to be produced of any animal product the production of which is directly dependent, wholly or mainly, on the imported commodity, if the domestic production of that commodity is relatively negligible.*

Any contracting party applying restrictions on the importation of any product pursuant to subparagraph (c) of this paragraph shall give public notice of the total quantity or value of the product permitted to be imported during a specified future period and of any change in such quantity or value. Moreover, any restrictions applied under (i) above shall not be such as will reduce the total of imports relative to the total of domestic production, as compared with the proportion which might reasonably be expected to rule between the two in the absence of restrictions. In determining this proportion, the contracting party shall pay due regard to the proportion prevailing during a previous representative period and to any special factors which may have affected or may be affecting the trade in the product concerned.

Article XI of GATT generally prohibits quantitative restrictions on the importation or exportation of any product by stating “ no prohibitions or restrictions other than duties, taxes or other charges shall be instituted or maintained by other member ...”. One reason for this prohibition is that quantitative restrictions are considered to have a greater protective effect than tariff measures and are most likely to distort free trade. When a trading partner uses tariffs to restrict imports, it is still possible to increase imports as long as foreign products become price competitive enough to overcome the barriers created by the tariff. When a trading partner uses quantitative restrictions, however, it is impossible to export in excess of the quota no matter how price competitive the foreign products may be. Thus, quantitative restrictions are considered

to have such a greater distortional effect on trade than tariffs that their prohibition is one of the fundamental principles of the GATT.

However, the GATT provides exceptions to this fundamental principle. These exceptional rules permit the imposition of quantitative measures under limited conditions and only if they are taken on policy grounds justifiable under the GATT such as critical shortages of foodstuffs (Article XI:2) and balance of payment (Article XVIII:B). As long as these exceptions are invoked formally in accordance with GATT provisions, they cannot be criticized as unfair trade measures.

Legal Framework

I) GATT provisions regarding quantitative restrictions

Quantitative import and export restrictions against WTO Members are prohibited by GATT Article XI:1. GATT provisions, however, provide some exceptions for quantitative restrictions applied on a limited or temporary basis. The following describes, in detail, quantitative restrictions explicitly provided for in the WTO Agreement.

Exceptions provided in Article XI

- Export prohibitions or restrictions temporarily applied to prevent or relieve critical shortages of foodstuffs essential to the exporting WTO Members (Paragraph 2 (a)),
- Import and export prohibitions or restrictions necessary to the application of standards or regulations for the classification, grading or marketing of commodities in international trade (Paragraph 2 (b)); and
- Import restrictions on any agricultural or fisheries product, necessary to the enforcement of governmental measures which operate to restrict production of the domestic product or for certain other purposes (Paragraph 2 (c)).

Exceptions provided in other Articles

Exceptions for Non-Economic Reasons

- General exceptions for measures such as those necessary to protect public morals or protect human, animal or plant life or health (Article XX);
- Exceptions for security reasons (Article XXI).

Exceptions for Economic Reasons

- Restrictions to safeguard the balance of payments (Article XII regarding all WTO Members; Article XVIII:B regarding developing WTO Members in the early stages of economic development);
- Quantitative restrictions necessary to the development of a particular industry by a WTO Member in the early stages of economic development or in certain other situations (Article XVIII:C, D);
- Quantitative restrictions necessary to prevent sudden increases in imports from causing serious injury to domestic producers or to relieve producers who have suffered such injury (Article XIX);

Article XIX of the General Agreement provides for emergency action on imports of particular products, and contains the basic principles upon which the WTO Agreement on Safeguards was negotiated during the Uruguay Round. It is intended to address a situation where, as a result of unforeseen developments and the effect of obligations under the GATT, including tariff concessions, a product is being imported into a country in such increased quantities and under such conditions as to cause or threaten serious injury to domestic producers of like or directly competitive products. In these circumstances, the importing Member will be free to suspend the obligation or withdraw or modify the concession provided it fulfils certain requirements, i.e.:

- the suspension of the obligation, or the withdrawal or modification of the concession, shall be temporary, that is, "...to the extent and for such time as may be necessary to prevent or remedy such injury..."

- action can only be taken after written notification and opportunity for consultation with the WTO (in practice, with its Committee on Safeguards) and with the Members having a substantial interest as exporters of the product concerned. In critical circumstances, where delay would cause damage difficult to repair, action can be taken provisionally without prior consultation, on condition that consultation take place immediately afterwards.
- if no agreement is reached during consultations, the Member proposing the action shall be free to do so, and the affected Member or Members shall also be free to suspend the application of substantially equivalent concessions or other obligations under the Agreement to the trade of the party taking the action. The suspension of substantially equivalent concessions or other obligations has to be notified previously to the WTO, and not be disapproved by it.

The Agreement on Safeguards contains further elaboration of the rules embodied in Article XIX. Hence, please see the relevant section on safeguards for further explanation.

- Quantitative restrictions imposed with the authorization of the Dispute Settlement Body as retaliatory measures in the event that the recommendations and rulings of a panel are not implemented within a reasonable period of time (Article XXIII:2); Dear distance learner, refer to the section on dispute settlement understanding for further elaboration on retaliatory measures.
- Quantitative restrictions imposed pursuant to a specific waiver of obligations granted in exceptional circumstances by the Ministerial Conference.
- Import Restrictions for Balance of Payments (BOP) purposes

Under GATT Articles XII or XVIII:B, a WTO Member may restrict imports in order to safeguard BOP if the IMF finds that such country is experiencing BOP difficulties (Article XV:2). When a country is designated to be an "IMF Article VIII country," it is not

generally allowed to institute foreign exchange restrictions. Members have rarely been found to be experiencing BOP difficulties. While Article XII can be invoked by all Members, Article XVIII:B can be invoked only by Members whose economy can only support low standards of living and is in the early stages of development.

The GATT allows countries in balance-of-payments difficulty to introduce trade restrictions as one of the major exceptions to the basic principles of tariff bindings and 'tariffs only'. The GATT articles concerned 'XII and XVIII:B' will probably not work very differently under GATT 1994 than under GATT 1947. Nevertheless, the understanding reached in the Uruguay Round on these articles is quite significant, particularly as regards the kind of restrictions that countries may be authorized to introduce. Article XII, the only balance-of-payments provisions available to developed countries, allows import restrictions to the extent necessary either to forestall an imminent threat of, or to stop, an imminent decline in its reserves or to rebuild reserves that are very low. Article XVIII:B, available only to developing countries, eases these conditions somewhat by not requiring a threat to be imminent and by specifying that reserves be inadequate rather than very low. Both Articles provide that in these circumstances the general level of imports may be controlled through restrictions on the quantity or value of imports. In recent years, developed countries have almost ceased to resort to Article XII, and the use of import surcharges or similar price-based measures has been recognized to be preferable to quantitative restrictions. The new balance-of-payments understanding gives a formal endorsement to the latter change that is almost equivalent to amendment of both articles: WTO members confirm their commitment to price-based measures such as import surcharges or import deposit requirements as having the least disruptive effect on trade. These are to be accepted in spite of the fact that they may involve imposing duties at levels higher than the maxima bound by the member concerned in its goods schedule. Members shall seek to avoid imposing new quantitative restrictions. Other provisions affecting measures taken under the balance-of-payments articles are also strengthened. Members accept the obligation to announce publicly time schedules

for phasing out restrictive import measures, or to provide justification where this is not possible. They confirm that restrictions applied for balance-of-payments reasons may only be applied to control the general level of imports: while essential imports. May be excluded from such restrictions, this term is defined in such a way as to prevent it from becoming a loophole for the protection of particular sectors.

The understanding also tightens up rules for the consultations, in the WTO Balance-of-Payments Committee, which countries invoking Articles XII or XVIII:B are required to undergo. Among the changes made is a requirement that such consultations must begin within four months of restrictions being imposed or increased. The agreement retains a distinction, developed in GATT practice, between full and simplified consultations. However, simplified consultations are now available as the normal procedure only for least-developed countries. They may also be used, though not more than twice in succession, for developing countries which are pursuing liberalization efforts already approved by the Committee, or whose policies will be reviewed by the Trade Policy Review Body in the same year.

Review Questions

1. What is the Most favoured nation treatment principle?
2. Country A which is a member to the WTO lowers its tariff to products that originate from B (non-memeber to the WTO). Do you think country A has an obligation to lower its tariff to other WTO members? Why or why not?
3. Discuss the Enabling Clause.
4. What do you think is the rationale for allowing countries in a customs union to enjoy exceptions to the MFN principle?
5. What is the principle of national treatment?
6. Discuss the exceptions for national treatment principle.
7. Comapare measures on national treatment and on quantitative restrictions.
8. One of the exceptions for rules on quantitative restrictions is import restrictions for Balance of payments. Discuss this exception.

Unit Four: Responses to ‘Unfair’ Trade Practices: Subsidies and Dumping

Binding tariffs and applying them equally to all trading partners (most-favoured-nation treatment, or MFN) are key elements to the smooth flow of trade in goods. The WTO agreements uphold the principles, but they also allow exceptions in some circumstances. The following are among the exceptions;

- actions taken against dumping (selling at an unfairly low price)
- subsidies and special countervailing duties to offset the subsidies

These two principles will be discussed in detail in this chapter.

Objectives;

At the end of this chapter, the student will be able to

- understand the concepts of dumping and anti-dumping;
- acquainted with the acts that constitute dumping;
- know the actions that can be taken by a state as an anti-dumping measure;
- be familiar with GATT/WTO's dumping and anti-dumping rules;
- Able to know the concepts of subsidies and countervailing measures;
- Familiar with WTO agreements that relate with subsidies and countervailing measures;
- Know the elements that should be fulfilled to take countervailing measures;
- Understand the benefits that these principles render and how they function.

4.1. Antidumping and Anti-dumping Duties

Dear distance learner, dumping as a technical term in the law of international trade is quite different from the lay person's understanding of the term. The popular definition of dumping embraces any sales by producer or merchant at low prices dispose of surplus-if possible after costs of production of the entire time have been recovered. In the language and law of international trade, however, the definition of dumping is more

limited and technical. Article VI of the GATT, modeled on the United States Anti-Dumping Act of 1921, defines dumping as an export of product by a producer or seller in country "X" to importers in country "Y" 'at less than its normal value, i.e. at less than the price at which the product in question is sold when destined for consumption in country "X". If there are no such sales, that is if a comparable domestic price in country "X" cannot be established, normal value is to be determined by reference to the highest price in sales to a third country, or by reference to cost of production in country "X" plus a reasonable addition for selling cost and profit. In other words, if a company exports a product at a price lower than the price it normally charges on its own home market, it is said to be dumping the product.

In three successive Anti-dumping Codes or agreements, concluded in the Kennedy, Tokyo, and Uruguay Rounds, the basic definition has been refined and elaborated somewhat, as discussed hereafter, but not essentially altered. Dumping in international trade law always depends on a comparison-between the price at which the product is offered in the importing country and the home-market price or a surrogate for that price. Thus a producer that lowers its year-end prices on its entire line may be dumping in the eyes of the public, but if there is no discrepancy between domestic and export prices, (making allowances for cost of packing, shipping, insurance, etc.), there is no dumping in the technical sense.

The definition does not involve conduct by the government of country "X" -it is thus quite different from the grant of subsidies, though the two subjects are often discussed together. Moreover, dumping does not-at least not necessarily-involve predatory pricing, i.e. pricing with a view to destroying a competitor and thereafter raising prices. Nothing about motive appears in the GATT definition of dumping or in the corresponding definitions in the law of member states.

Dumping, according to the GATT, 'is to be condemned'-but only if it causes or threatens material injury to an established industry in the territory of a member state, or materially retards the establishment of a domestic industry in that state. Much of the law of dumping and anti-dumping devoted to the meaning of 'injury' in this context, and to the procedures for making the determination of injury. The proponents of anti-dumping legislation, both international and domestic, regard dumping as unfair trade, and view anti-dumping proceedings as a way to restore fairness to export-import system. Opponents view anti-dumping legislation, or at least anti-dumping proceedings, as a form of disguised protectionism. The interest of consumers in lower prices and perhaps dominant concern in antitrust or competition law-rarely enters into the discussion or implementation of anti-dumping law.

While the GATT speaks of condemnation, it does not provide for punishment. The traditional remedy when both dumping and injury have found is an anti-dumping duty, designed to bring the price paid by the importer up to the 'normal value'. In technical terms, an anti-dumping duty added to the challenged price is supposed to be equal to the 'margin of dumping'. Thus suppose the 'normal value' of a product of Country "X" is determined to be 100 dollars, but it is sold in Country "Y" (after the various adjustments have been taken into consideration) for 80 dollars. The margin of dumping is 20 dollars, and assuming injury has been found, the anti-dumping duty should be set at 20/80 or 25 percent *ad valorem*, in order to bring the price to the importer in Country "Y" back to 100 dollars.

The details of dumping and anti-dumping law are complicated and not always consistent with the underlying theory. In fitting this subject into the GATT/WTO system as a whole, it is important to note that anti-dumping measures (as well as anti-subsidy measures) consistent with Article VI of GATT are among the few instances in the GATT/WTO system where departure from most-favoured-nation treatment is permitted-indeed required, and where duties bound under Article II may be unbound. States are not themselves liable in case of dumping by firms established in their territory.

But if country “X” considers that country “Y” has improperly imposed anti-dumping remedies on country “X” exports, it has the right to invoke the WTO dispute settlement process against country “Y”.

Historically, antidumping duties have been distinguished from other forms of administered protection by the trade problem they were used to remedy. Antidumping duties were government’s remedy for “unfair” trade and were intended to offset the price undercutting of foreign exporters engaged in anticompetitive practices. In the early twentieth century, the U.S. instituted an antidumping law to protect its domestic firms from German cartels that sold their excess output at low prices in the U.S. market. Although low prices for imported goods improve the well-being of a country and should be welcomed by the government, in some cases they could present a problem. If a foreign firm is engaging in predatory pricing—setting prices low in order to drive competitors out of business—this could lower the welfare of a country in the long run. This can happen if the foreign firm becomes a monopolist and uses its monopoly power to charge consumers extremely high prices. GATT’s Antidumping Code allows countries to violate the nondiscrimination rule and impose an additional tariff—an antidumping duty—on imports from a firm that is dumping. Thus, one could view GATT’s antidumping rules as an effort to improve worldwide welfare by preventing the harmful practice of predatory pricing. However, although most economists would agree that an anticompetitive practice like predatory pricing is harmful, there is almost no evidence of this type of practice in alleged incidences of *dumping*. Rather, in almost all modern cases of dumping, foreign firms are either engaging in international price discrimination or temporarily pricing below their average cost of production. In fact, GATT now defines dumping as either international price discrimination, that is, charging different prices for a good in different countries because demand for the good is different in the different countries—or as pricing below the average cost of production. Prior to the Uruguay Round reforms, antidumping duties had no effective time limit. Once an antidumping duty was put in place, it could remain in place for

years. Today, antidumping duties are subject to “sunset reviews” every five years. During a sunset review, a duty is removed unless there is evidence that the targeted country continues to dump and this dumping is hurting domestic firms in the importing country. One peculiarity of GATT’s Antidumping Code is that it encourages the use of *price undertakings* in place of an antidumping duty. Economists view price undertakings with suspicion because they look a lot like government-sanctioned collusive pricing. It is hard to justify on economic welfare grounds. Although the rhetoric that surrounds the use of antidumping duties focuses on whether foreign firms are behaving “fairly,” the important question is not whether dumping is fair but whether dumping is harmful. Thus, to understand how antidumping policy affects the world trading system, economists first ask why firms engage in practices like pricing below the average cost of production. With antidumping investigations into goods as varied as fresh-cut flowers, semiconductors, and countless varieties of steel, economists have tried to explain the phenomenon of dumping and the government’s policy response in terms of the different modes of competition in the markets for dumped goods.

4.2. Dumping and Anti-dumping: economic arguments

Jacob Viner, the American economist who first developed the rationale for dumping legislation, defined dumping as ‘price discrimination between national markets’. In fact, if a firm in country “X” charges more for its product in country “Y” than in its home market (because there is less competition in country “Y” or the demand is higher or less elastic), no international wrong is committed, no breach of GATT or of the domestic law of either country “Y” or country “X” has taken place. The result that country “Y” consumers may have paid too much does not by itself (i.e. absent abuse of monopoly power or concerted price fixing) engage the international community. It is only when country “X” firm sells at higher price at home than in country “Y” that the classical definition of dumping is met. Yet it is not country “X” but country “Y” that is deemed to have grounds to complain, and the complaint can be cured if country “X” firm lowers its

home market price as well as if it raises the price at which the product is sold in country "Y".

This simple analysis has led many observers to view the dumping/ anti-dumping law as a special kind of protectionism, dispensing with the constraints of most-favoured nation treatment and of bound duties generally applicable. The emphasis on injury as a condition to imposition of anti-dumping measures, while mitigating the effect of 'condemnation' of price discrimination, supports the view that anti-dumping laws are essentially protectionist, made more important as the traditional barriers to trade come down.

The defenders of anti-dumping legislation, national and international, respond that dumping is basically unfair, because it distorts or mask the elements of comparative advantage that ought to determine movement of goods and services across international frontiers. In a market not segmented by national boundaries, such as the United States or (largely) the European Union*, dumping could not long occur, because if, say, a French producer sells its product in Spain to an independent importer for less than it sells the like product in France, the lower-priced product sold in Spain will find way back to France to undercut the higher home-market price. Thus in long run there is no possibility for the sales by the producer in France 'subsidize' the sales in Spain. The same is not true, however, if say a Japanese producer sells its product for less in Spain than in its home country, because import barriers in Japan preclude the Spanish importer or arbitrageur from penetrating the Japan market. Accordingly, the proponents of anti-dumping measures contend that some of the higher yield in the home market is used to support increased production designed to be sold at lower price in the export market, leading to higher market share for the foreign producer not justified by lower costs or greater efficiency.

* Members of the European Union have common market.

Recently, the proponents of anti-dumping measures started to base their argument to some extent on cost, rather than price in the home market. It may well constitute rational decision making for the producer in exporting country to keep its mill or factory at full production in times of falling prices or decreased demand and to sell abroad at reduced prices that cover its variable costs but not all of its fully allocated costs. To proponents of anti-dumping legislation, however, such conduct is unfair trade, an attempt to export recession and to pass on the burdens of adjustment. The argument is strengthened when there is a substantial difference in the way certain costs are treated in different countries. Suppose, for instance, that in country 'X', workers are essentially lifetime employees who cannot be laid off, so that labour is a fixed cost. In country 'Y', in contrast, workers are taken on and laid off in response to current market condition. Also, suppose in country 'X' capital is largely raised by loans, while in country 'Y' capital consists equally of loans and shares of stock. At the outset, the two firms have precisely equal costs. But suppose demand declines. The country 'X' producer could rationally decide to continue production as long as its price remains over \$250. Country 'Y' producer cannot afford to lower its price below \$530. If country 'X' producer now sells its excess output in country 'Y' at say \$280, it can expect to achieve a growing share of the country 'Y' market, injuring producers in country 'Y', that are already, by hypothesis, suffering injury as a result of decreased demand. Even if country 'X' producer reduces its home-market prices by the same amount as its export price, so that the classic definition of dumping as price discrimination is not met, has country 'X' producer engaged in unfair trade?

Proponents of anti-dumping measures answer this question 'yes'. They argue that a regime of fair trade requires the producer to cover all its costs, not just over the long run but over a reasonable period of time, such as three months. Different assignment of certain costs as fixed or variable should not alter the underlying conditions of competition, which in the example given started out even.

The opposite argument is that selling below average cost is rational economic behavior that both country 'X' and country 'Y' firms can be expected to engage in. Indeed country 'Y' firm has benefited from the ability to safely leave the market well before country 'X' firm can do so. Different attitudes concerning the tenure of workers are related to issues such as unemployment compensation, pensions, and social security that cannot be factored into the relatively mechanical calculations called for by anti-dumping law.

One other argument is relevant to the debate about dumping and anti dumping. Predatory pricing, in the sense that the foreign producer lowers its prices in the importing country with the motive of putting the domestic firms out of business and thereafter exacting monopoly prices, can hardly ever be shown, and even if the motive could be demonstrated, the objective would be very difficult to achieve in most countries. However, the proponents of anti-dumping measure contend, a form of dumping is possible in which country 'X' producer, without aiming to put its country 'Y' competitors out of business, aims to achieve a foothold in country 'Y' market and hereafter to expand its market share, without attention initially to profits. The foreign producer may well believe that over time superior quality or more imaginative merchandising will gain a significant market share at a price that will cover all costs and yield satisfactory profits. But the way to break into the market is through initially offering a price that does not cover fully allocated costs. The question is at what stage aggressive competition, which may occur in national markets as well as in international trade, becomes unfair competition, to be met with anti-dumping measures if carried out in trade between countries.

Overall, many economists and legal academics have remained unconvinced by the arguments in favour of anti-dumping laws. The officials and politicians charged with drafting and implementing the law of international trade, however, have viewed prevention of 'unfair trade' and preservation of the 'level playing field' as necessary to gain public support for the more general provisions of a liberal trading system. Neither the original negotiation in Geneva and Havana that led to the GATT nor do the three

legislative rounds (the Kennedy Round, the Tokyo Round, and the Uruguay Round) seem to have questioned the basic proposition that states should be entitled to defend against dumping by imposing anti-dumping duties. All the negotiations of three successive Anti-Dumping Codes (1967), (1979), and (1994) have revolved around elaborating both as to the substantive standards and to the procedures to be employed by the respective national authorities.

Why Firms Dump?

Several papers explain dumping in the context of competitive markets. These papers focus on explaining why competitive firms dump. In Ethier (1982), competitive firms with implicit labor contracts will dump during periods of slack world demand. Essentially, these firms have high fixed costs that lead them to price below their average total cost when demand is weak. Staiger and Wolak (1992) show that a foreign monopolist that faces weak demand in its own market will dump into a perfectly competitive domestic market. In this model, a foreign firm with excess capacity will sell at a price below average total cost in its export market in order to protect its monopoly profits in its own market. Unfortunately, neither Ethier's paper nor Staiger and Wolak's explains how antidumping policy affects the welfare of the importing country. However, another paper that examines dumping in competitive markets, Clarida (1993), finds that antidumping policy reduces an importing country's welfare. In this model, competitive firms dump, that is, sell below average cost, as they learn about their own production technologies during a period of high world demand.

Some writers that conducted researches on dumping in competitive markets suggest that antidumping policy is harmful and cannot provide an economic rationale for its existence. The literature on dumping in imperfectly competitive markets is somewhat more successful in providing a rationale for why GATT includes an antidumping provision. Markets where there are a small number of large producers—like automobiles—are said to be imperfectly competitive. Dixit's (1988) seminal paper on

dumping in an imperfectly competitive market shows that, in general, when dumping is defined as international price discrimination, it actually benefits the importing country. More specifically, the benefits to consumers of being able to buy goods at low, dumped prices outweigh the losses to domestic producers. Thus, as a general rule, antidumping policy reduces the welfare of importing countries when markets are imperfectly competitive. However, two papers, Gruenspecht (1988) and Crowley (2002) utilize an alternative definition of dumping—pricing below the average cost of production— and find that this kind of dumping can hurt an importing country. Thus, antidumping duties can help. These papers provide one explanation for why GATT allows antidumping duties. Gruenspecht (1988) focuses on dumping by firms in industries with steep learning-by-doing curves in production. That is, he models industries like semiconductors where production costs fall as a firm's experience in making the product increases. He shows that an importing country benefits from an antidumping law. In his model, antidumping duties can improve the welfare of a large importing country by increasing the size of the market available to sales by the home firm. Higher production yields greater productivity gains that improve the home country's welfare. Crowley (2002) focuses on industries in which firms must pay large sunk costs to install capacity, for example, an industry like steel. She shows that when demand for the good fluctuates, foreign firms will dump their output when demand in their own market is weak. In response to this, the importing country can improve its welfare by imposing a temporary antidumping duty until demand in the foreign country returns to a normal level. In this case, the antidumping duty shifts some of the foreign firm's profits back to the home country. Finally, the paper by Fischer and Prusa (1999) provides a rationale for antidumping law. A small country that faces international price fluctuations can use an antidumping duty as a form of insurance against harmful movements in its terms of trade.

Dear distance learner, do you think that anti-dumping measures will be beneficiary for list developed countries like Ethiopia (assuming that the country is member to the WTO) what import most products from abroad especially china?

4.3. Legislating the International Law of Dumping and Anti-Dumping (1947-94)

Article VI of the GATT established the framework for the law of dumping and anti-dumping, which has remained unchanged for decades. Article VI accepts the proposition that dumping is unfair trade, it defines the term, and it commits the determination of dumping to the authorities of the importing state. Further, Article VI states that the remedy against dumping is an anti- dumping duty, which is to be imposed only upon a finding of injury caused by the dumped imports. Beyond these bare bones, however, Article VI left a great deal to interpretation by individual states.

In 1959 the GATT Contracting Parties appointed a Group of Experts on Anti-Dumping and Countervailing Duties, and the reports of that group set the stage for placing dumping on the agenda of the Kennedy Round of trade negotiations (1964-7). As it turned out, the work of the Group on Anti- Dumping Policies produced the first of the codes negotiated under the auspices of GATT. The Code contained provisions concerning the determination of dumping, determination of injury, definition of industry, initiation and conduct of investigations, evidence, price undertakings, duration of anti- dumping duties, and provisional measures, plus a general article obligating each party to the Agreement to ensure the conformity of its laws, regulations, and administrative procedures with the provisions of the Code. Further, the Code provided for establishment of a Committee on Anti-dumping Practices to which parties to the Code could complain about implementation of anti- dumping laws by other parties. Like all of the 'codes' produced by the Kennedy and Tokyo Rounds, the Anti-

Dumping Code 1967 was optional. All of the industrial countries and a few East European states, but none of the developing States, became parties.

As the next round of multinational trade negotiations progressed in the period 1973-9, the Committee on Anti-Dumping Practices became a forum for amending the Code, by modifying provisions that had proven unclear and by making provision for issues not dealt with in the 1967 Code. At the same time negotiations were under way in the Tokyo Round to develop a Subsidies Code, and the Anti-Dumping Code was revised to make it parallel (but not identical) to the Subsidies Code. In particular, the provision in the 1967 Code that a determination of injury shall be made only when the authorities concerned are satisfied that the dumped imports are demonstrably the principal cause of material injury was replaced by a provision reading;

It must be demonstrated that the dumped imports are, through the effects of dumping, causing injury within the meaning of this Code. There may be other factors which at the same time are injuring the industry, and the injuries caused by other factors must not be attributed to the dumped imports.

Presumably the change would make it some what easier for a domestic petitioner to establish its case in favour of imposition of an anti-dumping duty.

The 1979 Anti-Dumping Code remained, for the most part, an agreement among the industrial countries, but India and Brazil, the States that have been the leaders among developing states in the GATT/WTO system, both became original parties to the 1979 Anti- Dumping Code, and Egypt, Korea, Mexico, Pakistan, and Singapore signed on subsequently.

When the Uruguay Round was launched in 1986, dumping was not mentioned in the agenda set out in the Ministerial Declaration. In the later stages of the Uruguay Round, however, dumping and anti-dumping became seriously contested, with the European

Community and the United States determined to plug ‘loopholes’, and the target countries, notably Japan, Hong Kong, and Korea, seeking both to revisit the basic concepts embodied in the 1967 and 1979 codes and to eliminate practices that seemed to tilt the required price comparisons against imports. By the closing days of the Uruguay Round, intricate issues of dumping law comprehensible only to the experts had become subjects of major contention among the principals, threatening at times the overall success of the Uruguay Round. Unlike the earlier codes, but like almost all the other Uruguay Round codes, the Agreement on Implementation of Article VI of GATT 1994 is binding on all members of the WTO.

4.4. Establishing the Fact and the Margin of Dumping

Dear distance learner, we believe you have noted from our previous discussion that an importing country may only impose an antidumping duty on a product if there is evidence that foreign firms have sold their products at less than normal value and this has injured the domestic industry. The condemnation of dumping in Article VI of GATT is mitigated by the provision that the standard remedy—anti-dumping duties—may be imposed only upon a finding that dumped imports cause or threaten material injury to the domestic industry of the importing country (GATT Art. VI (1) and VI (6)(a)).

The critical task in determining sales below normal value is, to make an accurate comparison of data that are inherently hard to compare. Article 2.4 of the Uruguay Round Anti-Dumping Agreement repeats the requirement stated in the prior codes that a ‘fair comparison’ be made between the *export price* and the *normal value*. To that end, the comparison is to be made at the same level of trade, and in respect of sales made as nearly as possible at the same time. The Agreement recognizes, however, that adjustments need to be made at both ends.

(a) The Export Price

The export price is supposed to be the price actually paid by an unrelated purchaser in the importing country for the product being challenged. But if, for instance, the purchase price includes insurance and freight, the costs of these items are deducted for purposes of the comparison, so are duties paid by the importer. If the imported product has features or costs not included in the product as sold in the home market-for instance superior warranties or after-sales service, superior packing, or cost of credit extended to the purchaser-these costs will be deducted from the actual purchase price.

(b) Normal Value

It is provided that there are three methods to calculate a product's normal value. The main one is based on the price in the exporter's domestic market. When this cannot be used, two alternatives are available, the price charged by the exporter in another country, or a calculation based on the combination of the exporter's production costs, other expenses and normal profit margins. And the agreement also specifies how a fair comparison can be made between the export price and what would be a normal price.

The Basic Rule

The primary focus of the dumping inquiry, as we have seen, is the comparison between the export prices, as above described, with the price at which the product in question is sold in producer's home market. If a 'like products' is sold in the ordinary course of trade in commercial quantities for consumption in the country of export, the price at which it is sold (or the average of such prices) in the period under investigation is the benchmark with which the export price is to be compared. The difference between the two prices, after all the adjustments have been made, is the margin of dumping.

Inadequate Home-Market Sales

Article 2.2 of the Anti-Dumping Agreement provides that when there are no 'sales of the product in question in the ordinary course of trade in the domestic market of the

exporting country or the low volume of sales does not permit a proper comparison, the margin of dumping is to be determined by comparison with the price of exports to an appropriate third country, or with the cost of production in the country of origin plus a reasonable amount for general expenses and profits.

GATI Article VI (1) (b) lists third country sales and cost of production in the country of origin as equally acceptable points of reference when home-market sales are not adequate to provide a fair comparison, and this is restated in Article 2.2 of the Code.

Sales below Cost

As seen above, the home-market value with which the export price is to be compared is the price in the home market 'in the ordinary course of trade'. The principal users of anti-dumping laws have long taken the position that sales made at a loss in substantial quantities over a significant period of time are not sales in the ordinary course, and therefore are to be disregarded in determination of home market price. But defining loss depends on defining costs-fixed and variable, and on defining the relevant time-period, which may vary depending on the industry involved.

Article 2.2.1 accepts the principle that sales below cost may be disregarded in determining normal value, but 'only if the authorities determine that such sales are made [i] within an extended period of time [ii] in substantial quantities and [iii] are at prices which do not provide for the recovery of all costs within a reasonable period of time.'

Constructed Value

Constructed value, for purposes of the law of dumping, is made up of three elements-(a) cost of production; (b) general administrative and selling expenses; and (c) profits-all in the country of origin of the product in question. The objective is to determine the price at which the product would have been sold in the domestic market of the

producer/exporter had normal conditions prevailed. It is possible that the actual sales price in the exporter's domestic market and in the importing Country were the same and yet dumping is found, because calculation of the constructed value, reflecting fully allocated costs and reasonable profits yields a substantially higher amount than the prices actually charged.

(c) Averaging

The first reference point in making the price comparison called for by the dumping rules-the 'normal value' in terms of Article VI(1) of the GATT is the 'comparable price, in the ordinary course of trade, for the like product when destined for consumption in the exporting country' (GATT Art. VI (1), also 1994 Agreement, Art. 2.1). There is no reason to assume that either the home-market price or the export price remains constant. The practice of authorities in importing states when there is a genuine home market has been to use an average price over a given period of time-a year or a selling season-to arrive at the home-market price with which to compare the challenged export sale price.

Article 2.4.2 provides that the existence of margins of dumping shall normally be established 'on the basis of a weighted average normal value with a weighted average of all export transactions' or 'by a comparison of normal value and export prices on a transaction-to-transaction basis.

4.5. Anti-dumping actions

Just to recall what we have discussed in the previous sections if a company exports a product at a price lower than the price it normally charges on its own home market, it is said to be "dumping" the product. Many governments take action against dumping in order to defend their domestic industries. The focus of the WTO Anti Dumping Agreement is on how governments can or cannot react to dumping. Broadly speaking, the Agreement allows - but does not oblige - governments to act against dumping. This can be where there is genuine - or material - injury to the competing domestic industry.

To take anti-dumping action, a government must show that dumping is taking place. That means, as discussed above, calculating the export price and comparing it to the exporter's home market price. It is then necessary to show that the dumping is causing injury, and that there is a causal link between the dumped goods and injury.

GATT (Article VI) allows countries to take action against dumping. The Anti-Dumping Agreement clarifies and expands Article VI, and the two operate together. They allow countries to act in a way that would normally break the GATT principles of binding a tariff and non-discriminating between trading partners. Typically, anti-dumping action means charging extra import duty on the particular product from the particular exporting country in order to bring its price closer to the normal value or to remove the injury to domestic industry in the importing country. There are many different ways of calculating whether a particular product is being dumped heavily or only lightly. The agreement narrows down the range of possible options.

Calculating the extent of dumping on a product is not enough. Antidumping measures can only be applied if the dumping is hurting the industry in the importing country. Therefore, a detailed investigation has to be conducted according to specified rules first. The investigation must evaluate all relevant economic factors that have a bearing on the state of the industry in question. If the investigation shows dumping is taking place and domestic industry is being hurt, the exporting company can undertake to raise its price to an agreed level in order to avoid anti-dumping import duty.

Detailed procedures are set out on how anti-dumping cases are to be initiated, how the investigations are to be conducted, and the conditions for ensuring that all interested parties are given an opportunity to present evidence. Anti-dumping measures must expire five years after the date of imposition, unless an investigation shows that ending the measure would lead to injury.

Anti-dumping investigations are to end immediately in cases where the authorities determine that the margin of dumping is insignificantly small (defined as less than 2% of the export price of the product). Other conditions are also set. For example, the investigations also have to end if the volume of dumped imports is negligible (i.e. if the volume from one country is less than 3% of total imports of that product, although investigations can proceed if several countries, each supplying less than 3% of the imports, together account for 7% or more of total imports).

The agreement says member countries must inform the Committee on Anti-Dumping Practices about all preliminary and final antidumping actions, promptly and in detail. They must also report on all investigations twice a year. When differences arise, members are encouraged to consult each other. They can also use the WTO's dispute settlement procedure.

Cases related to dumping and anti-dumping duties

Case 1: Argentina – Poultry Anti-Dumping Duties

On 7 November 2001, Brazil requested consultations with Argentina in respect of the definitive anti-dumping duties imposed by Argentina on imports of poultry from Brazil, classified under Mercosur tariff line 0207.11.00 and 0207.12.00. These measures were adopted by the Ministry of Economy of Argentina in Resolution 574 from 21 July 2000, published in the Argentinean Official Gazette on 24 July 2000. Brazil considered that the definitive anti-dumping duties imposed, as well as the investigation conducted by the Argentinean Authorities might have been flawed and based on erroneous or deficient procedures, inconsistent with Argentina's obligations under Articles 1, 2, 3, 4, 5, 6, 9, 12 and Annex II of the Anti-Dumping Agreement, Article VI of the GATT 1994, and Articles 1 and 7 of the Customs Valuation Agreement.

On 17 June 2002, Brazil requested the Director-General to compose the panel. On 27 June 2002, the panel was composed.

On 22 April 2003, the Panel circulated its Report to the Members. The Panel found that Argentina had acted inconsistently with its obligations under Articles 2.4, 2.4.2, 3.1, 3.2, 3.3, 3.4, 3.5, 5.1, 5.8, 6.1.1, 6.1.3, 6.8 and Annex II, 6.10 and 12.1 of the Anti-Dumping Agreement. The Panel also concluded that Argentina had not acted inconsistently with a number of Articles from the same Agreement and declined to rule on a number of claims for judicial economy reasons.

SUMMARY OF KEY PANEL FINDINGS²

- ADA Art. 5.3: The Panel found that, by basing the determination of initiation of an investigation on "some" instances of dumping, Argentina violated Art. 5.3 as a dumping determination should be made in respect of the product as a whole for "all" comparable transactions, not for individual transactions.
- ADA Art. 5.8: The Panel found that Argentina violated Art. 5.8 as it failed to reject an application for investigation which was based on insufficient evidence following the issuance of a negative injury determination from the relevant investigation authority.
- ADA Art. 6.8: The Panel found that Argentina was not in violation of Art. 6.8 when it disregarded information submitted by a company that had not fulfilled procedural provisions of the domestic law. As information submitted by such companies was not considered "appropriately submitted" within the meaning of Art. 6.8, Argentina was held not to be in violation as regards one other claim under this Article. However, Argentina was found in violation of Art. 6.8 by rejecting information received from three other companies, as the Panel could not find, in the record of the investigation, a reference to any of the reasons provided by Argentina for the rejection.
- ADA Art. 6.10: The Panel found that Argentina violated Art. 6.10 as it did not calculate an individual dumping margin for two companies. The Panel found

- that an investigating authority should calculate the dumping margin for each individual exporter regardless of whether it was provided with partial, unreliable or unusable information from the exporters or producers.
- ADA Art. 2.4 and 2.4.2: The Panel found Argentina in violation of Art. 2.4 as it did not make freight cost adjustments to its calculation of the normal value in the case of a company that had provided supporting documents. However, the Panel found no violation in the case where the company had failed to provide supporting documentation. The Panel found Argentina in violation of Art. 2.4.2 as it established weighted average normal values on the basis of statistical samples of domestic sales transactions.
 - ADA Art. 3.1 and 3.5: The Panel stated that where an authority examines different injury factors using different periods, a prima facie case is made that it failed to conduct an "objective" examination. Since Argentina did not provide a justification for its use of different periods, it failed to rebut the prima facie case and was found in violation of Art. 3.1. The Panel found no violation of Art. 3.5 as there was nothing to suggest that the injury period should not exceed the dumping period, provided that the entire dumping period was included within the period of review for injury.
 - ADA Art. 3 (non-dumped imports): The Panel found Argentina had violated Art. 3.1, 3.2, 3.4 and 3.5 by including "non-dumped" imports from two companies in the injury analysis.
 - DSU Art. 19.1: The Panel suggested for implementation that Argentina repeal the definitive anti-dumping measure at issue.

Case 2: United States — Anti-Dumping and Countervailing Measures on Steel Plate from India (US — Steel Plate)

On 4 October 2000, India requested consultations with the United States concerning:

- final affirmative determinations of sales of certain cut-to-length carbon quality steel plate products from India at less than fair value by US Department of Commerce (DOC) on 13 December 1999 and affirmed on 10 February 2000;
- interpretation and use of provisions relating to facts available in the anti-dumping and countervailing duty investigations by DOC; and
- Determination and interpretation by the US International Trade Commission (ITC) of negligibility, cumulation and material injury caused by the said Indian steel imports.

India considered that these determinations are erroneous and based on deficient procedures contained in various provisions of US anti-dumping and countervailing duty law. According to India, these determinations and provisions raise questions concerning the obligations of the United States under the GATT 1994, the Anti-Dumping Agreement, the SCM Agreement, and the Agreement establishing the WTO (WTO Agreement). India considered that the provisions of these agreements with which these measures and determinations appear to be inconsistent, include, but are not limited to, the following: Articles VI and X of the GATT 1994; Articles 1, 2, 3 (especially 3.3), 5 (especially 5.8), 6 (especially 6.8), 12, 15, 18.4 and Annex II of the Anti-Dumping Agreement; Articles 10, 11 (especially 11.9), 15 (especially 15.3), 22 and 27 (especially 27.10) of the SCM Agreement; Article XVI of the WTO Agreement.

Further to India's request, the DSB established a Panel at its meeting of 24 July 2001. On 28 June 2002, the Panel circulated its report to Members. The Panel concluded that:

- the United States statutory provisions governing the use of facts available, sections 776(a) and 782(d) and (e) of the Tariff Act of 1930, as amended, are not inconsistent with Articles 6.8 and paragraphs 3, 5, and 7 of Annex II of the AD Agreement.
- the United States did not act inconsistently with Article 15 of the AD Agreement with respect to India in the anti-dumping investigation underlying this dispute.

The Panel also concluded that the “practice” of the USDOC concerning the application of “total facts available” was not a measure which can give rise to an independent claim of violation of the AD Agreement, and have therefore not ruled on India’s claim in this regard.

With respect to India’s claims not addressed above, the Panel concluded that:

- it would not rule on India’s abandoned claim; and
- in light of considerations of judicial economy, it was neither necessary nor appropriate to make findings with respect to the remainder of India’s claims.

The Panel therefore recommended that the DSB request the United States to bring its measure into conformity with its obligations under the AD Agreement.

SUMMARY OF KEY PANEL FINDINGS

- **ADA Art. 18.4 (facts available):** The Panel held that the US authority's practice in the application of "facts available" was not a measure that could be the subject of a claim. Firstly, because such practice could be changed by the authority as long as it provided a reason for the change. Moreover, according to past WTO jurisprudence, a law can only be found inconsistent with WTO obligations if it mandates a violation. Second, the "practice" challenged by India was not within the scope of Art. 18.4, which only refers to "laws, regulations and administrative procedures".
- **ADA Art. 6.8 and Annex II(3) ("facts available"):** (*as applied* claim) The Panel found that the US authority acted inconsistently with the ADA in finding that SAIL had failed to provide necessary information in response to questionnaires during the course of the investigation and in consequently basing their determination entirely on "facts available", because the information provided by SAIL met all criteria laid down in Annex II(3) and, therefore, it was a must for the US authority to use that information in their determination. (*as such* claim)

The Panel rejected India's claim that the US legislation required resort only to "facts available" in circumstances in which Art. 6.8 and Annex II(3) do not permit submitted information to be disregarded. As for India's argument that the US authority's practice reflected a policy where "facts available" were relied upon in circumstances outside the scope of Annex II(3), the Panel stated that this was a mere exercise of discretion, and the legislation itself did not, on its face, mandate WTO-inconsistent behaviour.

- **ADA Art. 15 (S&D treatment):** The Panel rejected India's claim under Art. 15, first sentence, stating that the provision imposed no specific or general obligation on the United States to undertake any particular action with respect to India's status as a developing country. The Panel also rejected India's claim under the second sentence of the Article, stating that it only requires administrative authorities to *explore* the possibilities of constructive remedies and cannot be understood to require any particular outcome.

Dear distance learner, please read these cases and try to comment on them in light of the above discussion.

4.6. Subsidies and countervailing measures

The question of subsidies in international trade law is contentious and complicated. In part, the question is political. Though most transfers take place within a given state, they may have adverse impact on the economies-or on particular sectors-of other states, because they distort the flow of goods that would take place without government intervention. At the most general level, the questions for international law are what extent states may make, or should be restrained from making such transfers, and on the other hand, to what extent other states may take measures to counteract such transfers. Beyond that definition and measurement of subsidies turns out to be extraordinarily difficult.

But what do you think the concept of subsidy is ?

(a) Defining subsidy

The drafters of the Tokyo Round Subsidies Code had not been able to agree on a definition of subsidy, and had contented themselves with an 'Illustrative List of Export Subsidies' plus the statement that 'subsidies other than export subsidies are widely used as important instruments for the promotion of social and economic policy objectives' but 'may cause or threaten injury to a domestic industry of another signatory' (Art. 11). In the Uruguay Round Subsidies Agreement, the Illustrative List of Export Subsidies remains almost unchanged, but a comprehensive definition of a subsidy was agreed on. Article 1.1 of the Code states:

For the purposes of this Agreement, a subsidy shall be deemed to exist if: there is a financial contribution by a government or any public body within the territory of a Member . . . , i.e. where:

- (i) a government practice involves a direct transfer of funds (e.g. grants, loans, and equity infusion), potential direct transfers of funds or liabilities (e.g. loan guarantees);*
- (ii) government revenue that is otherwise due is foregone or not collected (e.g. fiscal incentives such as tax credits);*
- (iii) a government provides goods or services other than general infrastructure, or purchases goods;*
- (iv) a government makes payments to a funding mechanism, or entrusts or directs a private body to carry out one or more of the type of functions illustrated in (i) to (iii) above which would normally be vested in the government and the practice, in no real sense, differs from practices normally followed by governments; or*

(a) (2) there is any form of income or price support in the sense of Article XVI of GATT 1994, and

(b) a benefit is thereby conferred.

This definition, given in the Uruguay Round Agreement defines subsidies in terms of financial contribution by a government conferring a benefit on the recipient. In earlier drafts, this definition would have applied only to actionable subsidies; eventually, however, the parties agreed to the comprehensive definition, followed by division of subsidies into the three categories of prohibited, actionable, and Protected.

(a) Prohibited Subsidy

Prohibited subsidies, also know as Red light subsidies, include the previously condemned subsidies contingent on export performance (Art. 3.1(a)), but also import substitution subsidies, i.e. subsidies contingent upon the use of domestic over imported goods (Art. 3.1(b)). These are subsidies that require recipients to meet certain export targets, or to use domestic goods instead of imported goods. They are prohibited because they are specifically designed to distort international trade, and are therefore likely to hurt other countries' trade.

Prohibited subsidies may be challenged by member states either in countervailing duty proceedings (including a determination of injury) (Arts. 10-23), or in an expedited dispute settlement proceeding (Art. 4), where injury to the complainant state need not be shown, once it is established that the challenged measure is prohibited. The remedy, if a challenged subsidy is found to fall into the prohibited category, is withdrawal of the subsidy 'without delay'. If a challenge to a red light subsidy is taken to a dispute panel, the applicable time-periods are to be one half of the periods provided under the Understanding on Dispute Settlement, so that the entire proceeding can be completed within six months (Art. 4). Otherwise, the complaining country can take counter measures. If domestic producers are hurt by imports of subsidized products, countervailing duty can be imposed

(b) Protected Subsidy

Protected or Green light subsidies are the major innovations in the 1994 Subsidies Code. These kinds of subsidies may not be challenged in the WTO dispute settlement mechanism or be subjected to countervailing duties under national law. The introduction of the concept of green light subsidies, borrowed from a similar regulation of the European Community, reflects recognition that many governments undertake certain kinds of expenditures that have a relation to the production of goods-some more direct than others-but are not viewed as unfair trade practices. The agreement (in Article 8) spells the criteria out quite carefully for three classes of subsidies-government assistance for research and development in the basic science or pre-competitive phase (Art. 8(2)(a)); government assistance for regional development to defined territories whose unemployment rate exceeds the national average by 10 percent or whose per capita income or product is no more than 85 percent of the national average (Art. 8(2)(b)); and one-time government assistance to firms of up to 20 percent of the cost of adaptation of existing facilities to new environmental requirements (Art. 8(2)(c)). Green light subsidies are supposed to be notified in advance to the Subsidies Committee and may then be subjected to scrutiny (Art. 8(3)), but it appears that if a given measure is not notified but is subsequently challenged, the government whose measure is challenged may still be able to attempt to establish that the measure in question fits into the green light category.

(c) Actionable subsidies

Actionable or Yellow light subsidies are not expressly defined, except that they must meet a test of specificity-*de jure* or *de facto*, and that they do not come within the other two categories. The Agreement states that 'no Member should cause, through the use of any subsidy. . . , adverse effects to the interests of other Members . . . (Art. 5)) and

provides both for international challenge under the strengthened dispute settlement mechanism (Art. 7) and for countervailing duty proceedings under national law meeting the criteria of Article VI of GATT as elaborated in the Agreement-i.e. determination of subsidization and injury, and a causal link between them (Arts. 10-23).

The agreement defines three types of damage these kinds of subsidies can cause. One country's subsidies can hurt a domestic industry in an importing country. They can hurt rival exporters from another country when the two compete in third markets. And domestic subsidies in one country can hurt exporters trying to compete in the subsidizing country's domestic market. If the Dispute Settlement Body rules that the subsidy does have an adverse effect, the subsidy must be withdrawn or its adverse effect must be removed. Again, if domestic producers are hurt by imports of subsidized products, countervailing duty can be imposed.

Generally speaking, the agreement on subsidy does two things: it disciplines the use of subsidies, and it regulates the actions countries can take to counter the effects of subsidies. It says a country can use the WTO's dispute settlement procedure to seek the withdrawal of the subsidy or the removal of its adverse effects. Or the country can launch its own investigation and ultimately charge extra duty (known as countervailing duty.) on subsidized imports that are found to be hurting domestic producers.

About Countervailing Measures

Countervailing duties refers to tariffs used to offset the effect of a foreign government's subsidy. They are similar to antidumping duties. Because a foreign government's subsidy to an export good lowers its price in the importing country, in most cases a foreign subsidy benefits consumers in an importing country. However, in markets that are imperfectly competitive, a foreign government's subsidy can reduce the welfare of an importing country. In this case, although consumers in the importing country benefit from the subsidy, the losses to firms in the importing country outweigh the benefits to

consumers. A countervailing duty can prevent the foreign government's subsidization of its export good and improve the welfare of the importing country.

Countervailing duty (the parallel of anti-dumping duty) can only be charged after the importing country has conducted a detailed investigation similar to that required for anti-dumping action. There are detailed rules for deciding whether a product is being subsidized (not always an easy calculation), criteria for determining whether imports of subsidized products are hurting (causing injury to) domestic industry, procedures for initiating and conducting investigations, and rules on the implementation and duration (normally five years) of countervailing measures. The subsidized exporter can also agree to raise its export prices as an alternative to its exports being charged countervailing duty.

Subsidies may play an important role in developing countries and in the transformation of centrally-planned economies to market economies. Least developed countries and developing countries with less than \$1,000 per capita GNP are exempted from disciplines on prohibited export subsidies. Other developing countries are given until 2003 to get rid of their export subsidies. Least-developed countries must eliminate import-substitution subsidies (i.e. subsidies designed to help domestic production and avoid importing) by 2003. For other developing countries the deadline was 2000. Developing countries also receive preferential treatment if their exports are subject to countervailing duty investigations. For transition economies, prohibited subsidies had to be phased out by 2002.

4.6.1. Agreements on Subsidy and Countervailing Measures

The framers of the GATT addressed the issue of subsidies, but not very firmly. Section 4 of Article XVI, added to the GATT in the mid-1950s, introduced a prohibition on export subsidies, but the prohibition did not apply to primary products, and even for non-primary products was applicable only if the challenged subsidy resulted in a difference

between the home market price and the price at which the product in question was offered for export.

Subsidies and what to do about them became a major subject in the Tokyo Round of trade negotiations (1973-9), resulting in an Agreement (Code) on Subsidies and Countervailing Duties. In practice the 1979 Subsidies Code proved disappointing, both because adherence was optional and only a few developing states agreed to participate, and because it did not address, or at least did not restrict, many of the state aids that in fact distorted international trade. Subsidies once again became an important subject in the Uruguay Round of trade negotiations (1986-94). Building on the 1979 Code, the negotiators came up with a significantly revised agreement, this time, like the other Uruguay Round codes, required of all members of the new World Trade Organization. No change was made in the underlying provisions of the GATT relevant to subsidies- Articles XVI and VI, but in fact the international law relating to subsidies looks very different at the turn of the century-more rigid, less ambivalent, and more legalistic-than it did when the GATT was established in the late 1940s.

GATT: ARTICLE XVI

As discussed in section----- of this module, the drafters of the General Agreement believed that the measure of choice for intervention by governments in the international movement of goods was the customs tariff, and that other measures should be discouraged or prohibited. Quantitative restrictions on imports and exports were expressly prohibited in Article XI of the GATT'; subsidies were discouraged by the founders of GATT, but not prohibited.

In its original version, Article XVI of the General Agreement (present Article XVI(1)) simply provided that 'if any contracting party grants or maintains any subsidy, it shall notify the contracting parties.' If upon such notification 'it is determined that serious prejudice to interests of any other contracting party is caused or threatened by any such

subsidization,' the state granting the subsidy shall upon request, discuss with the other contracting party or parties concerned ... the possibility in limiting the subsidization.' When one contrasts this provision with the obligations contained in Articles I (MFN), II (tariff bindings), III (national treatment), XI (quantitative restrictions), or XXVIII (negotiation of modifications), one can see that there was not only no prohibition in the original version of Article XI, but even the discouragement was quite weak, 'discussion' being clearly a lesser obligation than 'negotiation'. Nevertheless, Article XVI (1) was not useless and much of the original thinking-including the ambivalence-remains the center of the GATT law today. On the one hand, subsidy is defined include 'any form of income or price support'; on the other hand, the subsidy with which the GATT is concerned is one 'which operates directly or indirectly to increase exports of any product from, or to reduce imports of any product into, its territory.' To anticipate a policy debate that continued over more than four decades, Article XVI (1) thus indicates that the GATT is concerned not only with subsidies on exports, but with production subsidies as well.

It was evident that Article XVI in its original version was insufficient if the contracting parties were serious about imposing some international discipline on subsidies. The subject was discussed at length at the Review Session of the GATT in 1954-5, and eventually new paragraphs (2)-(S) of Article XVI, plus interpretive notes to the original as well as the new provisions, were adopted by the Contracting Parties effective for the countries that accepted them.

The new provisions, denominated Section B of Article XVI, applied only to export subsidies. The contracting parties that accepted the amendments-essentially the industrialized but not the developing countries-now recognized that the granting by a contracting party of a subsidy on the export of any product may have harmful effects for other contracting parties, 'both importing and exporting'. Further, they agreed that such subsidies may cause undue disturbance' to the normal commercial interests of other

contracting parties, and 'may hinder the achievement of the objectives' of the General Agreement.

GATT: ARTICLE VI

As discussed above one form of defense for a state against a subsidy granted by another is a special tariff imposed on the subsidized product, generally known as a countervailing duty. Such a tariff is exempt from the obligation to accord most-favoured-nation treatment to the products of all contracting parties (Art. I), as well as from the obligation not to impose tariffs in excess of the bound schedule (Art. II). The conditions for countervailing duties are set out not in Article XVI but in Article VI, otherwise devoted to dumping and anti-dumping duties.

Article VI imposes two important conditions on countervailing duties: Paragraph 3 says that no countervailing duty may be imposed in excess of the estimated subsidy determined to be granted. This condition is often difficult to carry out with precision-the GATT itself speaks of an estimate-but in theory it is not controversial. A countervailing duty is not supposed to impose penalties or multiple damages, just to offset the distortion caused by the subsidy.

Paragraph 6, which applies equally to anti-dumping and to countervailing duties, introduces a new element. Even if State A has granted a subsidy on a product exported to State B and B's authorities have correctly determined the amount of the subsidy, no countervailing duty may be imposed unless there has been a determination-by B-that the effect of the subsidy 'is such as to cause or threaten material injury to an established domestic industry, or is such as to retard materially the establishment of a domestic industry.'

4.6.2. Subsidies and Countervailing Duties Code of 1979

(a) The Basic Compromise

As in many Subsidies and Countervailing aspects of the Tokyo Round, the principal protagonists in negotiation of an Agreement on Subsidies and Countervailing Duties were the United States and the European Community. For the United States, emphasis on the subsidies question stemmed in large part from the disappearance of its trade surplus, and from pressure (particularly in Congress) brought by industries such as steel and consumer electronics that had seen their share of the domestic market declining but asserted that they could compete on even terms with imports 'if only the playing field were level'. In addition, agricultural interests in the United States increasingly felt the impact of the European Community's Common Agricultural Policy, not only in declining market shares within the Common Market but in competition for third-country markets. The European Community, for its part, sought to avoid all discussion of the Common Agricultural Policy in the subsidy context; it was concerned about the increasing resort to countervailing duty proceedings in the United States, and in particular about the fact that under US law then prevailing, countervailing duties could be imposed merely upon determination of a subsidy, without any inquiry concerning injury. The Community wanted a commitment from the United States that it would fall into line with the GATT rules that it had itself drafted and impose countervailing duties only upon determination of a causal link between a subsidy and 'material injury' to a domestic industry. The United States, at least initially, took the position that agreement on discipline on the use of subsidies should precede any discussion of countervailing duties. For several years, the two sides remained at an impasse, with other participants, and particularly the developing countries, on the sidelines.

Eventually the United States and the Community achieved a compromise, or to be precise two compromises: *First*, in return for a prohibition on export subsidies and at least some comfort on domestic subsidies, the United States agreed to commit itself to an injury standard as called for by GATT Article VI and already applied in dumping cases,

but only for goods originating in states that adhered to the Code or a comparable agreement. Second, in return for a more permissive attitude on subsidies other than export subsidies, the determination relevant to imposition of countervailing duties was left, as before, to the authorities of the importing country. On this basis, it proved possible to reach agreement on a Subsidies and Countervailing Duties Code, formally known as an 'Agreement on Interpretation and Application of Articles VI, XVI, and XXIII of the GATT'. The deficiencies and ambiguities in the Code formed a major portion of the agenda of the Uruguay Round, a decade later.

Once the United States and the Community had reached substantial agreement, other states were brought in, and all the industrial member states of GATT joined the Code. Adherence to the Code, however, was made optional, and a major effort to induce the developing states to join in the proposed Code did not succeed. When 23 industrialized states signed the *procès-verbal* ending the Tokyo Round and accepting the six codes and three sectoral agreements achieved in the Multilateral Trade Negotiations of 1973-9, only one developing country was among the signatories, and it reserved on the Subsidies Code. Subsequently, about a dozen developing countries did adhere to the Subsidies Code, including Brazil, Chile, Colombia, India, Indonesia Pakistan, and the Philippines.

Generally, save the above discussion, the 1979 Subsidies Code had been viewed as a major achievement of the Tokyo Round. The Code had firmly established the rule that export subsidies were unacceptable for developing countries. Furthermore, the code had confirmed that countervailing duties on imported products must be founded on a determination of material injury (or threat of injury) to domestic industry, among other things. Also, the 1979 Code established a dispute settlement procedure, designed to afford remedies not only to importing countries, but also to exporting countries asserting injury to their industries as a result of other countries' programme of subsidies.

(B) Procedural Aspects: Countervailing Duties and Required Determinations

In filling out GATT Article VI, the Code adopted a largely procedural approach. Under Article 2 of the Code, countervailing duties could be imposed only pursuant to a formal investigation by authorities of the importing country, which, absent special circumstances, was to be completed within a year. A countervailing duty could be imposed only upon an affirmative determination of;

- a) that the challenged imports had benefited from a subsidy;
- b) that the domestic industry injury had suffered or was suffering injury (meaning 'material injury'), and
- c) that there was a causal link between the subsidized imports and the injury.

During the period of investigation, signatory states were to be given the opportunity to consult with the state conducting the investigation. The decision on whether or not to impose a countervailing duty, however, remained as before with the importing state (Art. 4).

The Code provided that countervailing duties shall not be in excess of the amount of the subsidy. It urged, but did not require, that the countervailing duty be less than the total amount of the subsidy if such lesser duty would be adequate to remove the injury to the domestic injury.

The Code provides that provisional measures were permitted, but only after a preliminary finding both of the existence of a subsidy and of evidence of injury. Moreover, the Code provided that provisional measures 'shall be limited to as short a period as possible, not exceeding four months.' If the final determination resulted in a finding of injury, countervailing duties could be imposed retroactively for the period for which provisional measures had been applied. In the case of a surge of imports, i.e. massive imports in a short time before provisional measures could be imposed; the Code

permitted a retroactive finding of injury for up to 90 days prior to the imposition of provisional measures.

(c) The Question of Injury

One of the most critical subjects of connection with the Subsidies Code was the effort to define the criteria for a determination of injury. An effort to write into the Code that the subsidy was 'demonstrably the principal cause' of the injury-the phrase used in 1967 International Anti-Dumping Code- was opposed by the United States and also Canada on the ground that such a standard would be impossible to meet. On the other hand, if injury were too easy to establish, the basic concession made by the United States in agreeing to an injury requirement would lose much of its value. Eventually agreement was reached on a simple statement in Article 9.4 that it must be demonstrated that the subsidized imports are through the effects of the subsidy, causing injury within the meaning of this Agreement plus the statement that there may be other factors which at the same time are injuring the domestic industry, and the injuries caused by other factors must not be attributed to the subsidized imports.

This formula was then adapted to the revised Anti-Dumping Code so that the tests of causation and injury in the 1979 Codes were substantially the same, and the formula was retained in the revised codes on Subsidies and Dumping negotiated in the Uruguay Round.

In sum, unilateral determination of countervailing duties by the authorities of the importing state remained in the 1979 Code. One significant effect of the detailed procedural provisions of the 1979 Subsidies Code was that numerous countries that had not previously imposed countervailing duties or had done so on an ad hoc basis now established formal administrative procedures resembling those of the United States. As between countervailing duties and anti dumping duties, the standard for determination

of injury ended up substantially the same; by implication, if not by express text, that standard was easier to meet than in the context of an escape clause or safeguards case.

(d) Regulation of Subsidies

The Code maintained the distinction in Article XVI of the GATT between subsidies on exports and other subsidies. Export subsidies on products other than 'certain primary products' were prohibited, without any reference to comparison between domestic and export prices (Art. 9). Subsidy was not defined, but an Annex provided a list of illustrations of what is meant by export subsidies.

The key issue, however, remained unresolved. 'Signatories recognize that subsidies other than export subsidies are widely used as important instruments for the promotion of social and economic policy objectives' (Art. 11(1)). The paragraph went on to list six such objectives. Further, 'signatories recognize that these objectives . . . may be achieved, inter alia, by means of subsidies granted with the aim of giving an advantage to certain enterprises', followed by another list of such measures, including government grants, loans or guarantees, government financing of research and development, and government provision of equity capital (Art. 11(3)). The signatories recognized that subsidies other than export subsidies 'may cause or threaten to cause injury to a domestic industry of another signatory' (Art. 11(2)), but provided nothing in Article 11 and in particular the enumeration of forms of subsidies creates, in itself, any basis for action under the General Agreement, as interpreted by the Code (Art. 11(4)).

The drafters of the Subsidies Code realized that countervailing duties provided a remedy for only one of the three situations in which subsidies granted by one state could harm another state (Sect. 9.1 at p. 200). Accordingly, they provided that in all three situations, a state that believed it (or its industry) had been injured-whether by an export subsidy (Arts. 12(1), 12(2), and 13(1)), or by 'any subsidy' (Arts. 12(3), 12(4) and 13(2)) - could initiate an elaborate sequence of consultations, conciliation, and dispute system by

a panel, all according to a tight time schedule and presided over by a Committee on Subsidies and Countervailing Measures, made up of representatives from each signatory to the Code. The panel, as with other GATT panels (Chapter 7), would submit a report to the Committee, which like the GATT Council in cases brought under Article XXIII, 'shall make such recommendations to the parties as may be appropriate to resolve the issue. . . (Art. 13(4)). If all else failed, the Committee could authorize 'appropriate countermeasures,' including withdrawal of GATT concessions or obligations. Many of the cases brought to the Subsidies Code dispute settlement process arose out of challenges by the exporting country to the findings made by the importing country in countervailing duty cases.

4.6.3. THE URUGUAY ROUND AGREEMENT

The Uruguay Round Agreement is a revision of the Tokyo Round Code, but a substantial one. It carries forward the two-track approach for disputes, and the procedural requirements for imposition of countervailing duties. It also restates, with minor changes, the provisions of the 1979 Code with respect to determination of injury and causation, except that it expressly authorizes cumulation of imports from more than one country, provided that each country whose imports are cumulated is granting more than *de minimis* (minimum threshold) subsidies (Art. 15(3)). But the 1994 Agreement departs from the sharp distinction between export and domestic subsidies, and instead defines subsidies in terms of financial contribution by a government conferring a benefit on the recipient (Art. 1). Further, the Agreement divides subsidies as defined into three categories-prohibited, non- actionable and actionable. Moreover, whereas the Tokyo Round Subsidies Code had essentially exempted developing countries from the discipline of the Code, the 1994 Agreement exempts only the least developed countries from the prohibition on subsidies contingent on export performance (Art. 27.2), and makes most of its other provisions applicable to all developing countries.

The Uruguay Round Agreement leaves no doubt on the issue of specificity. Article 1.2 states that a subsidy as defined (in Article 1.1 quoted above) shall be subject to the provisions relating to actionable subsidies and countervailing measures ‘only if such a subsidy is specific in accordance with the provisions of Article 2’, and that article spells out the criteria of specificity in detail, covering not only de jure but also de facto limits to the beneficiaries of a challenged subsidy. Export subsidies are by definition considered to be specific.

Several of the presumptions with respect to ‘red light subsidies’ and ‘dark amber subsidies’ are made inapplicable to proceedings against developing countries, and other proceedings, both before panels and before investigating authorities in countervailing duty cases, are made subject to greater hurdles (Art. 27.7—27.10). Overall, however, the Uruguay Round Agreement on Subsidies and Countervailing Measures binding on all members of the WTO reflects an effort to bring the developing countries, with some leeway, into the global subsidies regime.

Review Questions

1. Discuss the difference between the concepts of anti-dumping and subsidies?
2. Discuss the kind of actions that can be taken by a state as anti-dumping measures and the requirements that should be fulfilled to take the measures?
3. Discuss the purposes that can be achieved through WTO subsidy rules?

Unit Five: Responses to 'Fair' Trade Practices: Safeguard Actions

Objectives;

At the end of this chapter the student will be able to

- Know what safeguard actions are and why are they desirable;
- Know how a member state can take advantage of safeguard actions;
- Be familiar with WTO agreements on safeguard actions.

5.1. Defining Safeguard

Most trade liberalization agreements provide some form of general safety valve, in the shape of provisions that permit participants a degree of relief from their obligations if they run into severe difficulties. One of such relief is safeguard measures. According to the "Dictionary of Trade Policy Terms", Safeguards are described as "temporary measures designed to slow imports to enable a particular industry to adjust to heightened competition from foreign suppliers". Most commonly, "safeguards" refers to action taken under Article XIX (Emergency Action on Imports of Particular Products) of the GATT, the so-called escape clause, but safeguards action is possible also under, *inter alia*, Article XII (Restriction to Safeguard the Balance-of-payments) and Article XVIII (Governmental Assistance to Economic Development). If a member country encounters balance-of-payments difficulties, this exception allows its government to introduce broadly-applied import restrictions.

In their form, and in the way in which they have in practice been applied, there are considerable resemblances between safeguard measures and the anti- dumping and countervailing actions discussed in the previous sections.

Some key questions are, in the GATT rules governing all three kinds of measure, very much the same. Is a domestic industry injured or threatened with injury because of

imports? What actions may be taken against those imports, and what counter-actions are open to those affected? However, there is, in principle at least, a crucially important difference. Under Article XIX there is no suggestion that the imports causing or threatening injury in some way represent unfair competition, whether through dumping, subsidy or any other means: rather, the question is whether the domestic industry is seriously injured or threatened with serious **injury due to competition from increased imports**. It should be noted as well that the standard set as justification for safeguard action is the existence of serious injury, whereas in the context of anti-dumping or countervailing action the standard applied is material injury.

Essentially, Article XIX covers the situation in which imports of a particular product, as a result of tariff concessions or other GATT obligations undertaken by the importing member, increase unexpectedly to such a point and under such conditions that they cause or threaten serious injury to domestic producers of “like or directly competitive products”. If this happens, the government of the importing member may withdraw the concession or obligation. It will be expected to provide compensation by offering some other concession, if it does not, the affected member or members can retaliate by withdrawing equivalent concessions.

In practice, Article XIX has been little used, for several reasons. These include the difficulty of showing that imports have increased because of a tariff concession or other multilateral obligation, and the undesirability of protective action that reverses past liberalization for an indefinite period.

Even more important has been the requirement (according to most, if not quite all, interpretations of the GATT) that safeguard measures under Article XIX be taken on a most-favoured-nation basis. This has meant that imports of the product concerned have to be restricted from all sources, or none. In these circumstances, until the entry into force of the Uruguay Round Agreement on Safeguards, governments seeking safeguard

protection for domestic producers regularly preferred to disregard Article XIX, and instead to negotiate ad hoc bilateral arrangements with the main supplying countries.

The outcome was usually some form of restraint that escaped the constraints of any GATT rules: a “grey area” measure (so called because its GATT status was unclear) such as a “voluntary export restraint” (VER) or “orderly marketing arrangement” (OMA). Such a measure would apply selectively, affecting only imports from the signatory exporting country. Once one such bilateral agreement had been secured, it proved hard for other suppliers to refuse pressure to accept similar restrictions.

Grey area measures proliferated, especially from the mid-1970s onwards, and became a very significant element in world trade in several sectors, including steel, automobiles, consumer electronic products and footwear. An effort in the Tokyo Round, in the 1970s, to negotiate an effective revision or reinterpretation of Article XIX failed, but was renewed in the Uruguay Round, and this time succeeded. The outcome was the Agreement on Safeguards, whose avowed purpose is to re-establish multilateral control over Safeguards and eliminate measures that escape such control.

In summery, under GATT 1947, safeguards were regulated only by Article XIX, and it was the Uruguay Round that created the Agreement on Safeguards, which adds clarity and introduces certain changes. The Agreement on Safeguards was negotiated in large part because GATT Contracting Parties had been increasingly applying a variety of "grey-area" measures (bilateral voluntary export restraints, orderly marketing agreements, and similar measures) to limit imports of certain products. These measures were not imposed pursuant to Article XIX, and thus were not subject to multilateral discipline through the GATT, and the legality of such measures under the GATT was doubtful. The Agreement now clearly prohibits such measures, and has specific provisions for eliminating those that were in place at the time the WTO Agreement entered into force. Moreover, the Agreement details procedures and rules on how safeguard measures can be taken.

There are five main elements in the Agreement on Safeguards. The first three, which parallel the provisions of Article XIX, set out the requirements that must be fulfilled before a safeguard measure may be applied, the rules that govern application of safeguard measures, and the compensation or offsetting action to which such measures may give rise. Balancing these elements, which are together intended to establish a workable and usable safeguards mechanism, is the fourth: the rules which will remove pre-existing grey area measures and ban their use in future. The fifth element provides the necessary machinery to ensure that the agreement functions effectively.

Objectives of Agreement on Safeguards

In its own words, the Agreement, which explicitly applies equally to all WTO Members, aims to:

- I. clarify and reinforce GATT disciplines, particularly those of Article XIX;
- II. re-establish multilateral control over safeguards and eliminate measures that escape such control; and
- III. encourage structural adjustment on the part of the industries adversely affected by increased imports, thereby enhancing competition in international markets.

Structure of Agreement on Safeguard

The Agreement consists of fourteen (14) articles and one annex. In general terms, it has four main components:

- 1) General provisions (Articles 1 and 2);
- 2) Rules governing WTO Members' application of new safeguard measures (i.e., those applied after entry into force of WTO Agreement (Articles 3-9));

- 3) Rules pertaining to pre-existing measures that were applied before the WTO entry into force (Articles 10 and 11); and
- 4) Notification and institutional arrangements (Articles 12-14).

General provisions

Art. 1 establishes that the Agreement is the vehicle through which measures may be applied pursuant to Article XIX of GATT 1994. That is, any measures for which the coverage of Article XIX (which allows suspension of GATT concessions and obligations under "emergency" circumstances) is invoked must be taken in accordance with the provisions of the Agreement. The Agreement explicitly does not apply to measures taken pursuant to other provisions of GATT 1994, Multilateral Trade Agreements, or to protocols and agreements or arrangements concluded within the framework of GATT 1994 (Article 11.1(c)).

Art. 2, on the other hand, contains the requirement that such measures be applied on an MFN basis. It also sets forth the conditions under which safeguard measures may be applied. These conditions are:

(i) increased imports.

The determination of increased quantity of imports that a Member must make before it may apply a safeguard measure can be either absolute or relative to domestic production (Art. 2.1).

(ii) serious injury or threat thereof caused by such increased imports.

Dear distance learner, what do you understand from the term serious injury? The Agreement defines "serious injury" as a significant overall impairment in the position of a domestic industry (Art. 4.1(a)). In determining whether serious injury is present, investigating authorities are to evaluate all relevant factors having a bearing on the

condition of the industry. Factors that must be analyzed are the absolute and relative rate and amount of increase in imports, the market share taken by the increased imports, as well as changes in levels of sales, production, productivity, capacity utilization, profits and losses, and employment of the domestic industry (Art. 4.2(a)).

A determination of serious injury cannot be made unless there is objective evidence of the existence of a causal link between increased imports of the product concerned and serious injury. Further, when factors other than increased imports are causing injury to the domestic industry at the same time, such injury must not be attributed to increased imports. The criterion of a causal link falls short, however, of proposals made during the Uruguay Round that would have required imports to be the "principal cause" of injury (Art. 4.2(b)).

"Threat of serious injury" is threat that is clearly imminent as shown by facts, and not based on mere allegation, conjecture or remote possibility. If present serious injury is not found, a safeguard measure nevertheless can be applied if a threat of serious injury is found. (Art. 4(b)).

A "Domestic industry" is defined as the producers as a whole of the like or directly competitive products operating within the territory of a Member, or producers who collectively account for a major proportion of the total domestic production of those products. This definition allows a broader definition of domestic industry than in anti-dumping or countervailing cases (Art. 4.1(c)).

Rules concerning new safeguard measures

Dear distance learner, before we discuss about the new rules concerning new safeguard measures, let us have a moment on the elements that should be fulfilled to take safeguard measures.

When a safeguard measure can be applied?

The requirements for application of a safeguard measure by a WTO member are much more clearly stated than in Article XIX. The essential elements are

- a determination by the member
- that increased quantities of imports
- are causing or threatening to cause
- serious injury
- to the domestic industry
- producing like or directly competitive products

All these elements are similar to the requirements for anti-dumping or countervailing measure (except of course that there is no need to show that the imports are either dumped or subsidized). However, they are not exactly the same. The first element, the determination itself, must result from a proper investigation by the authorities to establish that the other five elements are present. The investigation (which was not specifically required by Article XIX) must be based on published procedures. In case of safeguard measures, the procedures must provide for reasonable notice to be given to all interested parties, as well as for public hearings or other means for importers, exporters and others to present evidence and views, including the opportunity for them to respond to evidence given by other parties and to state whether they believe a safeguard measure would be in the public interest. The safeguard rules provide for confidential treatment of information when necessary unlike the other two. A report must be published, giving both findings and reasoned conclusions on all issues of facts and law.

How a safeguard measure may be applied?

New safeguard measures may be applied only following an investigation conducted by competent authorities in accordance with established procedures (Art. 3). Under Article XIX of GATT 1947, there was no explicit requirement for an investigation.

Investigating authorities are required to hold public hearings or provide other appropriate means for interested parties (importers, exporters, producers, etc.) to present their views and to respond to the views of others with respect to the matters being investigated. Among the topics on which parties' views are required to be sought is whether or not a safeguard measure would be in the public interest (Art. 3.1).

The Agreement also contains specific rules for the handling of confidential information in the context of an investigation. In general, there is a basic obligation to respect the confidentiality of information upon good cause shown. Information for which confidential treatment is requested must be accompanied by a public summary thereof, or an explanation why no such summary is possible. If confidentiality is found not to be warranted, and the party submitting the information is unwilling to summarize it or authorize its disclosure, the authorities may disregard the information, unless through other sources it is demonstrated that the information is correct (Art. 3.2).

Investigation procedures must be established and published prior to being used. Although the Agreement does not contain detailed procedural requirements, it does require reasonable public notice of the investigation. The relevant authorities are obligated to publish a report on the case explaining their findings and reasoned conclusions on all pertinent issues, including a demonstration of the relevance of the factors examined (Art. 4.2(c)).

Other than the general requirement that safeguard measures be applied only to the extent necessary to remedy or prevent serious injury and to facilitate adjustment, the Agreement provides no guidance as to how the level of a safeguard measures in the form of an increase in the tariff above the bound rate should be set (Art. 5.1).

If the measures takes the form of a quantitative restriction, the level must not be below the actual import level of the most recent three representative years, unless there is clear justification for setting a different, lower, level (Art. 5.1).

Rules also govern how quota shares are to be allocated among supplier countries based on past market shares (Art. 5.2(a)). These levels may be departed from (i.e. the quota levels may be modulated), if:

- I. the percentage increase in imports from certain Members has been disproportionate to the overall increase in imports (Art. 5.2(b);
- II. the reasons for the departure from the general rule are justified (Art. 5.2(b); and
- III. the conditions of such a departure are equitable to all suppliers of the product concerned (Art. 5.2(b)).

Under critical circumstances, defined as circumstances where delay would cause damage that would be difficult to repair, provisional measures may be imposed, on the basis of a preliminary determination that there is clear evidence that increased imports have caused or threaten to cause serious injury. Such measures should be in the form of refundable tariff increases, and may be kept in place for a maximum of 200 days. The period of application of any provisional measure must be included in the total period of application of a safeguard measure (Art. 6).

The maximum duration of any safeguard measure is four years, unless it is extended consistent with the Agreement's provisions. In particular, a measure may be extended only if it is found, through a new investigation, that its continuation is necessary to prevent or remedy serious injury, and only if evidence shows that the industry is adjusting (Art. 7.1 and 7.2). The initial period of application plus any extension generally cannot exceed eight years (Art. 7.3). In addition, safeguard measures in place for longer than one year must be progressively liberalized at regular intervals during the period of

application. If a measure is extended beyond the initial period, it should continue to be liberalized. Any measure of more than three years duration must be reviewed at mid-term. If appropriate, based on that review, the Member applying the measure must withdraw it or increase the pace of its liberalization (Art. 7.4).

Special rules limit re-application of safeguard measures to a given product (Art. 7.5 and 7.6). Ordinarily, a safeguard may not be applied again to a product until a period equal to the duration of the original safeguard measure has elapsed provided that such period of non-application must generally be at least two years. Nonetheless, if a new safeguard measure has a duration of 180 days or less, it may be applied so long as one year has elapsed since the date the original safeguard measure was introduced, and so long as no more than two safeguard measures have been applied on the product during the five years immediately preceding the date of introduction of the new safeguard measure.

Compensation

Members applying safeguard measures generally must "pay" for them through payment of compensation. A Member applying a safeguard measure must maintain a substantially equivalent level of concessions and other obligations with respect to affected exporting Members. To do so, any adequate means of trade compensation may be agreed among the affected Members through consultation.

The rules on compensation or offsetting action have also been changed significantly from those in Article XIX. Under Article XIX, any safeguard action had to be 'paid for', in the first instance through negotiated compensation. If no agreement on compensation was reached, the exporters affected by the measure were free to retaliate by suspending concessions substantially equivalent to the measure. This had the effect that, once payment had been made, there was no incentive to remove the additional protection given by the safeguard. The compensation and retaliation requirements of the

Agreement on Safeguards are in line with GATT tradition: they call for the member imposing the measure to consult with those members who have a principal supplying interest in the product, and to try to maintain 'a substantially equivalent level of concessions'. Members may agree on any adequate means of trade compensation. Failing agreement, the affected exporting member can suspend equivalent concessions or other obligations on 30 days' notice (i.e. it can retaliate), provided the Council for Trade in Goods does not disapprove (Art. 8.1 and 8.2). However, this right to retaliate is not unlimited. In particular, it may not be exercised during the first three years that a safeguard is in effect, provided the action has been taken because of an absolute (rather than relative) increase in imports, and provided that the rules of the Agreement on Safeguards have been followed (Art. 8.3).

The Agreement contains specific provisions on Special and differential treatment granted to developing country Members (Art. 9).

Rules concerning pre-existing measures

Article XIX measures that were in effect at the time of the WTO Agreement's entry into force (1. January 1995) are to be terminated no later than eight years after they were first applied, or five years after the entry into force of the WTO Agreement, whichever comes later (Art. 10).

"Grey area" measures that were in effect at the time of the WTO Agreement's entry into force had to be brought into conformity with the Agreement on safeguards or phased out – pursuant to timetables to have been presented to the Committee on Safeguard by 30 June 1995 – within four years of the WTO's entry into force (i.e., by 31 December 1998). Although all Members had the right to an exception with respect to a single specific measure, whereby, they would have had until 31 December 1999 for the required phase-out, no Member other than the EC exercised this option (Art. 11).

A Committee on Safeguards is established under the authority of the Council for Trade in Goods (Art. 13).

Consultations and disputes arising under the Agreement are to be conducted in accordance with Article XXII and XXIII of GATT 1994 as elaborated by the Dispute Settlement Understanding (Art.14).

Special and differential treatment for developing countries

Developing country Members receive special and differential treatment with respect to other Members' safeguard measures, in the form of a "*de minimis*" import volume exemption. As users of safeguards, developing country Members receive special and differential treatment with regard to permitted duration of extensions, and with respect to re-application of measures.

"De minimis" import exemption: A safeguard measure shall not be applied to low volume imports from developing country Members. That is, where imports from a single developing country Member account for no more than 3 per cent of the total imports of the product concerned, and provided developing country Members below this threshold on an individual basis do not collectively account for more than 9 per cent of those imports, such imports shall be excluded from the measure (Art. 9.1).

Duration of extensions of measures (when developing countries are users): In applying safeguard measures, developing country Members may extend the application of a safeguard for an extra two years beyond that normally permitted (i.e., to a total of six years, meaning that developing countries may apply a measure for a total of 10 years, as compared with the usual eight) (Art. 9.2).

The rules for re-applying safeguard measures with respect to a given product are relaxed for developing country Members. (The minimum period of non-application for developing countries in most cases is one-half the duration of the original measure, so long as this period is at least two years) (Art. 9.2).

Monitoring Bodies and Notification Requirements

Art. 13 create a Committee on Safeguards charged with reviewing safeguard notifications, among other duties.

The Committee's role generally is to monitor and report and make recommendations to the Council for Trade in Goods on the implementation and operation of the Agreement, to review Members' notifications, and to make findings as to Members' compliance with respect to the procedural provisions of the Agreement for the application of safeguard measures, to assist with consultations, to monitor the phase-out of pre-existing measures, to review proposed retaliation, and to perform any other functions determined by the Council for Trade in Goods.



There is a series of notification requirements set forth in Article 12 of the Agreement on Safeguards. Essentially, the notification provisions require Members to notify the actions taken leading to the imposition or extension of a provisional or final safeguard measure,

as well as results of the consultations required by the Agreement and the existence of and plans to eliminate measures terminated or prohibited by the Agreement. Formats for these notification requirements have been agreed upon by the Safeguards Committee.

Article 12.1(b) of the Agreement requires notification that, in the course of a safeguard investigation, a finding of serious injury or threat thereof caused by increased imports has been made. Article 12.1(c), on the other hand, requires notification that a decision to apply safeguard measures has been taken.

Members are required to notify the Committee prior to taking a provisional safeguard measure pursuant to article 12.4. Not only are this but members required to notify the Council for Trade in Goods of the results of consultations undertaken pursuant to the Agreement. Notifications to the Council shall generally be made through the Committee on Safeguards. Such notifications should, if possible, be made jointly by the Members concerned. Consultations are required in the event a Member proposes to apply or extend a safeguard measure (Article 12.3), regarding the results of mid-term reviews of safeguard measures during their period of application (Articles 7.4 and 12.5), regarding compensation offered to Members against which safeguard measures are applied (Articles 8.1 and 12.5), and regarding the proposed suspension of concessions or other obligations by Members against which safeguard measures are applied (Articles 8.2 and 12.5).

Review Questions

1. Discuss the concept of safeguard measure?
2. What kind of requirements should be fulfilled for a member state to take safeguard measures?
3. Discuss how a member state can take advantage of safeguard actions?
4. Discuss the major components of Agreement on Safeguards?

Unit Six: TECHNICAL BARRIERS TO TRADE AND SANITARY AND PHYTOSANITARY MEASURES

(With some modification this part is extracted from: Peter Van den Bossche, Denise Prévost and Mariëlle Matthe, *WTO Rules on Technical Barriers to Trade*, Faculty of Law, Universiteit Maastricht (2005)).

INTRODUCTION

TV sets, toys, cosmetics, medical equipment, fertilisers, meat and cheese are all subject to requirements relating to their characteristics and/or the manner in which they are produced. The purpose of these requirements may be the protection of life or health, the protection of the environment, the prevention of deceptive practices or to ensure the quality of products. These requirements may be mandatory, set and enforced by governments. More often, however, these requirements are rules laid down by national standardisation bodies, which are not mandatory but are nevertheless generally adopted in business transactions in a given country. In both cases, these requirements may constitute formidable barriers to trade. TV sets and cheese made according to the requirements of country A may be banned from, or difficult to market in, country B when the requirements of country B relating to the characteristics or the manner of production are different. Furthermore, procedures used to verify whether a product meets certain mandatory or voluntary requirements may obstruct trade.

Measures of this kind are commonly referred to as 'technical barriers to trade'. This paper deals with the WTO law on such barriers. One must distinguish between:

- the general category of technical barriers to trade, for which rules have been set out in the *Agreement on Technical Barriers to Trade*, commonly referred to as the *TBT Agreement*; and
- a special category of technical barriers to trade, namely sanitary and phytosanitary measures, for which rules are provided in the *Agreement on the Application of Sanitary and Phytosanitary Measures*, commonly referred to as the *SPS Agreement*.

The rules of the *TBT Agreement* and the *SPS Agreement* are of great importance to international trade. As discussed below, these rules go significantly beyond the GATT obligations not to discriminate among or against imported products. They impose certain international disciplines on national regulation regarding products, their characteristics and production.

1. THE TBT AGREEMENT

As noted above, the WTO rules on the general category of technical barriers to trade are set out in the *TBT Agreement*.

At the end of this section students will be able to know:

- the scope of application of the *TBT Agreement*;
- the relationship between the *TBT Agreement* and other WTO agreements, in particular, the *SPS Agreement* and the GATT 1994;
- the substantive provisions of the *TBT Agreement*

2.1. Scope of Application of the TBT Agreement

With respect to the scope of application of the *TBT Agreement*, this section distinguishes between the *substantive* scope of application, i.e., the types of

measures to which the agreement applies, the *personal* scope of application, i.e., the entities to whom rules of the *TBT Agreement* apply, and the *temporal* scope of application of the agreement.

2.1.1. Substantive scope of application

The rules of the *TBT Agreement* apply to:

1. technical regulations;
2. standards; and
3. conformity assessment procedures.

As the Appellate Body stated in *EC - Asbestos*, the *TBT Agreement* thus applies to a 'limited class of measures'. The three types of measures to which the *TBT Agreement* applies, are defined in Annex 1 of the *TBT Agreement*.

In Annex 1.1, a *technical regulation* is defined as:

... [a] document which lays down product characteristics or their related processes and production methods, including the applicable administrative provisions, with which compliance is mandatory. It may also include or deal exclusively with terminology, symbols, packaging, marking or labelling requirements as they apply to a product, process or production method.

For example, a law requiring that batteries of 9 Volts or more be rechargeable, or a law requiring that wine be sold in green glass bottles are technical regulations within the meaning of the *TBT Agreement*. A law requiring that the production of pharmaceutical products meet certain requirements regarding manufacturing practices and plant cleanliness is also a technical regulation falling within the scope of application of the *TBT Agreement*.

Annex 1.2 of the *TBT Agreement* defines a *standard* as:

... [a] document approved by a recognised body, that provides, for common and repeated use, rules, guidelines or characteristics for products or related processes and production methods, with which compliance is not mandatory. It may also include or deal exclusively with terminology, symbols, packaging, marking or labelling requirements as they apply to a product, process or production method.

Contrary to technical regulations, standards are of a voluntary nature, meaning compliance is not mandatory. The voluntary standards set by CENELEC (the European Committee for Electrotechnical Standardisation), such as standards for mobile phones or handheld computers, are clearly standards within the meaning of the *TBT Agreement*.

In addition to technical regulations and standards, conformity assessment procedures also fall within the scope of application of the *TBT Agreement*. Conformity assessment procedures are defined in Annex 1.3 of the *TBT Agreement* as:

... any procedure used, directly or indirectly, to determine that relevant requirements in technical regulations or standards are fulfilled.

Examples of conformity assessment procedures include, for example, procedures for sampling, testing and inspection.

The *TBT Agreement* applies to technical regulations, standards and conformity assessment procedures relating to:

- products (both industrial and agricultural); and
- processes and production methods (PPMs).

It is a subject of much debate, however, whether the processes and production methods, to which the *TBT Agreement* applies, include the so-called *non-product related*

processes and production methods (NPR-PPMs). This term refers to processes and production methods that do not affect the characteristics of the final product put on the market. An example of a technical regulation concerning a NPR-PPM is the prohibition of the use of environmentally unfriendly sources of energy in the production of a product. Another example is the prohibition to market beef from cattle fed with genetically modified fodder. During the negotiations on the *TBT Agreement*, discussion took place on whether this group should be included in the scope of the agreement. This discussion, however, did not result in consensus. The definitions in Annex 1, paragraphs 1 to 3, seem to indicate that technical regulations, standards and conformity assessment procedures relating to NPR-PPMs do not fall within the scope of application of the *TBT Agreement*.

In two disputes to date, *EC – Asbestos* and *EC – Sardines*, panels and the Appellate Body had occasion to examine whether the measures at issue were technical regulations falling within the scope of the *TBT Agreement*. In *EC – Asbestos*, the measure at issue consisted of, on one hand, a general ban on asbestos and asbestos-containing products and, on the other hand, limited exceptions referring to situations in which asbestos-containing products would be allowed. The Panel concluded that the ban itself was *not* a technical regulation, whereas the exceptions to the ban *were*. On appeal, the Appellate Body reversed the Panel's finding that the ban did not constitute a technical regulation. In addressing this issue, the Appellate Body first firmly rejected the Panel's approach of considering separately the ban and the exceptions to the ban. According to the Appellate Body, the 'proper legal character' of the measure cannot be determined unless the measure is looked at as a whole. The Appellate Body stated:

Article 1 of the Decree contains broad, general prohibitions on asbestos and products containing asbestos. However, the scope and generality of those prohibitions can only be understood in light of the exceptions to it which, albeit for a limited

period, *permit, inter alia*, the use of certain products containing asbestos and, principally, products containing chrysotile asbestos fibres. The measure is, therefore, *not* a *total* prohibition on asbestos fibres, because it also includes provisions that *permit*, for a limited duration, the use of asbestos in certain situations. Thus, to characterize the measure simply as a general prohibition, and to examine it as such, overlooks the complexities of the measure, which include both prohibitive and permissive elements.

The Appellate Body thus concluded that the measure at issue was to be examined as an integrated whole, taking into account as appropriate the prohibitive and the permissive elements that are part of it.

The Appellate Body then examined whether the measure at issue, considered as a whole, was a technical regulation within the meaning of the *TBT Agreement*. On the basis of the definition of a 'technical regulation' of Annex 1.1, quoted above, the Appellate Body set out a number of considerations for determining whether a measure is a technical regulation.

Confirming its ruling in *EC – Asbestos*, the Appellate Body in *EC – Sardines* established a three-tier test for determining whether a measure is a 'technical regulation' under the *TBT Agreement*:

- the measure must apply to an identifiable product or group of products;
- the measure must lay down product characteristics; and
- compliance with the product characteristics laid down in the measure must be mandatory.

Applying this test in *EC – Sardines* to EC Regulation 2136/89 on common marketing standards for preserved sardines, the Appellate Body further clarified its reasoning in *EC – Asbestos*. With regard to the first element of its three-tier test, the Appellate Body held that a measure which did not expressly identify the products

to which it applied could still be applicable to identifiable products (as required by the first element of the test). The tool that the Appellate Body used to determine whether, in this case, *Sardinops sagax* was an identifiable product was by examining the way the EC Regulation was enforced. As the enforcement of the EC Regulation had led to a prohibition against labelling *Sardinops sagax* as 'preserved sardines', this product was therefore considered to be identifiable.

With regard to the second element of the three-tier test, the question arose whether a 'naming' rule, such as the rule to name *Sardina pilchardus* 'preserved sardines' laid down product characteristics. The Appellate Body held in this respect that product characteristics include means of identification and that, therefore, the naming rule at issue definitely met the requirement of the second element of the test.

2.1.2. Personal scope of application

Although the *TBT Agreement* is mainly addressed to central government bodies, it explicitly aims to extend its application to 'other bodies' responsible for the establishment of technical regulations, standards, or execution of conformity assessment procedures. These 'other bodies' covered by the *TBT Agreement* primarily consist of local government bodies and non-governmental bodies.

Local government bodies are all bodies of government other than the central government, such as provinces, Länder, cantons or municipalities. They include any organ subject to the 'control of such a [local] government in respect of the activity in question'. Nongovernmental bodies in the context of the *TBT Agreement* are defined as bodies other than central government or local government bodies that 'have legal power to enforce a technical regulation'.

The *TBT Agreement* extends its application to those 'other bodies' by imposing, on WTO Members, the obligation:

- to take measures in order to ensure compliance with the *TBT Agreement* by local government bodies and non-governmental bodies; or
- to refrain from taking measures that could encourage actions by these other bodies that are inconsistent with the provisions of the *TBT Agreement*.

It does so with respect to the obligations related to technical regulations, standards and procedures for assessment of conformity. Note, in particular the 'Code of Good Practice' in Annex 3 of the *TBT Agreement*. This 'Code of Good Practice' applies to the preparation, adoption and use of standards. Members have to ensure that their central government standardising bodies accept and comply with the 'Code of Good Practice'. In addition, Members have, pursuant to Article 4 of the *TBT Agreement*, the obligation to take reasonable measures as are available to them to ensure that local and non-governmental standardising bodies also accept and comply with the Code.

2.1.3. *Temporal scope of application*

In *EC - Sardines*, the issue arose whether the *TBT Agreement* applied to technical regulations which were already in force on 1 January 1995, i.e., the date on which the *TBT Agreement* entered into force. In deciding this issue, the Panel and Appellate Body referred to Article 28 of the *Vienna Convention on the Law of Treaties* which states:

... unless a different intention appears from the treaty or is otherwise established, its provisions do not bind a party in relation to any act or fact which took place or any situation which ceased to exist before the date of entry into force of the treaty with respect to that party.

Applying this basic provision of treaty law, both the Panel and the Appellate Body held that the EC Regulation, although adopted prior to 1 January 1995, was still in force and thus could not be considered as a situation which has ceased to exist.

Therefore, it can be concluded that the *TBT Agreement* applies to technical regulations which, although adopted prior to 1995, are still in force.

2.2. Relationship with Other WTO Agreements

2.2.1. The SPS Agreement and the Agreement on Government Procurement

As mentioned above, the scope of the *TBT Agreement* is determined by the type of measure. The *TBT Agreement* applies, in principle, to technical regulations, standards and conformity assessment procedures as defined in Annex 1 of the *TBT Agreement*. However, to avoid overlap with other WTO Agreements, the scope of application of the *TBT Agreement* has been limited in favour of two other WTO Agreements, the *Agreement on Government Procurement* and the *SPS Agreement*. The applicability of either of these agreements excludes the applicability of the *TBT Agreement*, even where the measures at issue are found to be in conformity with these agreements.

First, purchasing specifications related to the production or consumption of governmental bodies do not fall within the scope of the *TBT Agreement* when the *Agreement on Government Procurement* is applicable. The *Agreement on Government Procurement* addresses government purchases for their own use, which primarily consist of domestic goods and typically represent 10 to 15 per cent of GDP. Such purchases are outside the obligations of Article III:4 of the GATT 1994, which prohibits treating imported goods less favourably than similar domestic products once the imported goods have entered the domestic market. The *Agreement on Government Procurement* requires that each Party must provide treatment of the products, services and suppliers of other Parties equal to that afforded to domestic products, services and suppliers. Note, however, that the *Agreement on Government Procurement* is a plurilateral agreement and its obligations apply only to some Members party to the

agreement; the disciplines set out in this agreement do not apply to most WTO Members.

Second, sanitary and phytosanitary measures which take the form of technical regulations, standards or conformity assessment procedures are excluded from the scope of the *TBT Agreement* as they fall under the more specific *SPS Agreement*. It is the *purpose* of the measure that qualifies it as a sanitary or phytosanitary measure. In *EC – Hormones*, the United States and Canada claimed, *inter alia*, that the measures at issue were inconsistent with the *TBT Agreement*. Referring to Article 1.5 of the *TBT Agreement*, the Panel found, however, that, since the measures at issue were SPS measures, the *TBT Agreement* did not apply at all in the *EC – Hormones* dispute.

2.2.2. *The GATT 1994*

The relationship between the GATT 1994 and the *TBT Agreement* is of a different nature and is not characterised by the exclusion of applicability of one of these agreements triggered by the applicability of the other one. The Panel in *EC – Asbestos* held that in a case where both the GATT 1994 and the *TBT Agreement* appear to apply to a given measure, a panel must first examine whether the measure at issue is consistent with the *TBT Agreement* since this agreement deals ‘specifically and in detail’ with technical barriers to trade.²⁹ However, should a panel find a measure to be consistent with the *TBT Agreement*, it must still examine whether the measure is also consistent with the GATT 1994.

Note, in general, that the relationship between the GATT 1994 and the other multilateral agreements on trade in goods (including the *TBT Agreement*) is governed by the *General Interpretative Note* to Annex 1A of the WTO Agreement.³⁰ This provides that in case of conflict between a provision of the GATT 1994 and a provision of another multilateral agreement on trade in goods, the latter will

prevail to the extent of the conflict. However, such a conflict between the *TBT Agreement* and the GATT 1994 is rather unlikely.

2.3. Basic Substantive Provisions of the *TBT Agreement*

The basic substantive provisions of the *TBT Agreement* contain several principles that are also found in the GATT 1994, such as: the most-favoured-nation (MFN) treatment obligation, the national treatment obligation and the obligation to refrain from creating unnecessary obstacles to international trade. In *EC - Asbestos*, the Appellate Body observed that the *TBT Agreement* intends to further the objectives of the GATT 1994. However, it immediately noted that the *TBT Agreement* does so through a specialised legal regime, containing different and additional obligations to those of the GATT 1994. This section examines the basic substantive provisions of the *TBT Agreement* relating to the following:

- MFN treatment;
- national treatment;
- the necessity requirement; and
- the use of international standards.

2.3.1. MFN treatment and national treatment obligations

Article 2.1 of the *TBT Agreement* provides that, with respect to technical regulations:

Members shall ensure that in respect of technical regulations, products imported from the territory of any Member shall be accorded treatment no less favourable than that accorded to like products of national origin and to like products originating in any other country.

The national treatment obligation and the MFN treatment obligation thus apply to technical regulations. Pursuant to Annex 3 D and Article 5.1.1 of the *TBT Agreement*, these obligations also apply to standards and conformity assessment procedures respectively. Thus, a requirement that tropical wood coming from Brazil be labelled as 'tropical wood', while there is no such requirement for tropical wood from African countries, would constitute a violation of the MFN treatment obligation set out in Article 2.1 of the *TBT Agreement*.

Requiring accurate testing for the presence of GMOs in corn arriving from the United States, while such verification is not required for corn from Australia would constitute a violation of the MFN treatment obligation set out in Article 5.1.1 of the *TBT Agreement*. A requirement that imported furniture is fire-resistant, while no such requirement exists for domestically produced furniture, would constitute a violation of the national treatment obligation set out in Article 2.1 of the *TBT Agreement*.

When establishing whether certain treatment is discriminatory, the determination of 'likeness' of the two products, which are subject to different treatment, is a prerequisite. The concept of 'like products' within the meaning of the relevant provisions of the *TBT Agreement* has not yet been the subject of dispute settlement proceedings. However, the concept of 'like products' has been clarified in panel and Appellate Body reports relating to Articles I and III of the GATT. This case law is undoubtedly instructive for the interpretation of the concept of 'like products' in the context of the *TBT Agreement*. Note, however, that it is generally accepted that the concept of 'like products' has different meanings in the different contexts in which it is used.

Note that in the GATT context a finding that products are like and given discriminatory treatment can be overcome by a justification of this discriminatory treatment on the basis of the Article XX exceptions. However, the 'rule-exception' relationship, which exists between, for example, Articles I and III of the GATT 1994, on

the one hand, and Article XX of the GATT 1994, on the other hand, is not so clearly replicated in the *TBT Agreement*. The relationship between, for example, Articles 2.1 and 2.2 of the *TBT Agreement* remains to be clarified.

2.3.2. *Necessity test*

Article 2.2 of the *TBT Agreement* provides that, with respect to technical regulations:

Members shall ensure that technical regulations are not prepared, adopted or applied with a view to or with the effect of creating unnecessary obstacles to international trade.

With respect to standards and conformity assessment procedures, Annex 3 E and Article 5.1.2 of the *TBT Agreement* provide for the same obligation that such measures shall not be 'prepared, adopted or applied with the view to, or the effect of, creating unnecessary obstacles to trade. To ensure that technical regulations do not constitute unnecessary obstacles to trade, Article 2.2 of the *TBT Agreement* further requires that:

... technical regulations shall not be more trade-restrictive than necessary to fulfil a legitimate objective, taking account of the risks non-fulfilment would create.

Article 2.2 enumerates several legitimate objectives that may justify the creation of a trade obstacle in the form of a technical regulation. The list of legitimate policy objectives of Article 2.2 includes:

- national security;
- the prevention of deceptive practices;
- the protection of human health and safety, animal or plant life or health; and
- the protection of the environment.

As indicated by the words '*inter alia*' in the introduction of the list, this list is not an exhaustive list of legitimate policy objectives. It will be up to panels and the Appellate Body to assess whether the policy objectives other than those listed are, in a particular case, *legitimate* policy objectives.

A technical regulation 'justified' under Article 2.2 as necessary to fulfil a legitimate policy objective at present will not automatically remain 'justified' in the future. Article 2.3 of the *TBT Agreement* provides that:

Technical regulations shall not be maintained if the circumstances or objectives giving rise to their adoption no longer exist or if the changed circumstances or objectives can be addressed in a less trade-restrictive manner.

Members thus continually have to assess the necessity of their technical regulations. They also have to continually assess whether their technical regulations are not more trade restrictive than necessary to fulfil a legitimate policy objective. In assessing the necessity of their technical regulations, Members must, as is explicitly stated in Article 2.2 of the *TBT Agreement*, take 'account of the risks non-fulfilment would create.' It is clear that the risks of non-fulfilment of a technical regulation, aimed at meeting consumer preferences or avoiding deceptive practices, will be different from the risks that non-fulfilment of a regulation, aimed at the protection of human health, may entail. Other elements that, according to Article 2.2, may be useful to consider in assessing the necessity of a technical regulation include: available scientific and technical information; related processing technology; and intended end-uses of products. To date, there is no case law on the assessment of necessity under the *TBT Agreement*. However, in line with the case law on the assessment of necessity under Article XX(b) and (d) of the GATT 1994, it is to be

expected that the assessment of necessity under the *TBT Agreement* will also involve a process of ‘weighing and balancing’ the above mentioned and other factors and elements.

2.3.3. *Use of international standards*

The harmonisation of national technical regulations and standards around international standards greatly facilitates the conduct of international trade. Harmonisation around international standards diminishes the trade restrictive effect of technical barriers to trade by minimising the variety of requirements that exporters have to meet in their different export markets thus making it possible for them to take advantage of economies of scale. Thus, the *TBT Agreement* requires Members to base their technical regulations on international standards. Article 2.4 of the *TBT Agreement* provides in relevant part:

Where technical regulations are required and relevant international standards exist or their completion is imminent, Members shall use them, or the relevant parts of them, as a basis for their technical regulations ...

However, Article 2.4 further provides that Members do not have to base their technical regulations on international standards when:

... such international standards or relevant parts would be an ineffective or inappropriate means for the fulfilment of the legitimate objectives pursued, for instance because of fundamental climatic or geographical factors or fundamental technological problems.

The Panel and Appellate Body Reports in *EC – Sardines* illustrate the importance, as well as the contentious nature, of the requirement under Article 2.4 of the *TBT*

Agreement that a technical regulation is based on an international standard. The first question that arose in this case was whether the international standard, 'Codex Stan 94' developed by an international food standard-setting body, the Codex Alimentarius Commission, constituted a *relevant* international standard for the purposes of Article 2.4. The Panel's examination of this question focused on whether the product coverage of the Codex Stan 94 was similar to that of the EC's technical regulation, the measure at issue. According to the Panel, the examination of relevance with regard to the subject matter entails an analysis of whether the Codex Stan 94 'bear[s] upon, relate[s] to or [is] pertinent to'⁴⁰ the EC's technical regulation. The European Communities argued that while the Codex Stan 94 deals with sardines and other sardine-type products, the EC's technical regulation exclusively concerns the product *Sardina pilchardus*. However, the Panel concluded that this argument was not sufficient to reject the relevance of Codex Stan 94 as an international standard, as both measures cover the same product (*Sardina pilchardus*) and include similar types of requirements in regard to this product such as labelling, presentation and packing medium.

Another question that arose in *EC – Sardines* was whether the EC's technical regulation was, as required by Article 2.4, *based on* the international standard. In line with the case law on the meaning of 'based on' in the *SPS Agreement*, the Panel in *EC – Sardines* concluded that the term 'based on' is not equivalent to the term 'conform to', but imposes the obligation to 'employ or apply' the international standard as 'the principal constituent or fundamental principle for the purpose of enacting the technical regulation'. According to the Appellate Body in *EC – Sardines*, this comes down to an analysis of 'whether there is a contradiction between Codex Stan 94 and the EC regulation.

As noted above, a technical regulation does not have to be based on the relevant international standard if that standard constitutes an inappropriate or ineffective means to achieve the legitimate objective pursued. In *EC – Sardines*, the Panel and the Appellate Body examined whether this exemption from the obligation to base the technical regulation on the relevant international standard was applicable.

A first step in this examination is whether a ‘legitimate objective’ is pursued. As indicated above, Article 2.2 of *TBT Agreement* contains a *non-exhaustive* list of legitimate policy objectives. The objectives pursued by the EC’s technical regulation at issue in *EC – Sardines*, namely, the protection of market transparency, consumer protection and fair competition, are objectives not included in the list of Article 2.2. However, Peru, the complainant, did not contest the legitimacy of these objectives and the Panel thus refrained from ruling on their legitimacy.

A second step in the examination of the applicability of the Article 2.2 exemption is whether the international standard is an inappropriate or ineffective means to achieve the legitimate objective(s) pursued by the technical regulation. According to the Appellate Body in *EC – Sardines*, it is for the complainant to demonstrate that the international standard in question is both an effective *and* appropriate means to fulfil the legitimate objective.⁴⁴ The difference between effectiveness and appropriateness is that ‘the question of effectiveness bears upon the results of the means employed, whereas the question of appropriateness relates to the nature of the means employed.’ In other words, the international standard ‘would be *effective* if it had the capacity to accomplish all ... objectives [pursued], and it would be *appropriate* if it were suitable for the fulfilment of all ... objectives [pursued].’

Note that, as provided for in Article 2.5 of the *TBT Agreement*, a technical regulation that is adopted to achieve a legitimate objective explicitly enumerated in Article 2.2 and is in accordance with a relevant international standard, shall be *presumed* not

to create an unnecessary obstacle to trade, as required by Article 2.2 discussed above.⁴⁷ This means that in combination with the enumerated legitimate objectives under Article 2.2, international standards have the function of exempting trade-restrictive technical regulations from the necessity requirement of the Article 2.2.

With regard to conformity assessment procedures, the *TBT Agreement* introduces similar requirements in Article 5.4. Member countries shall use the relevant guides or recommendations, existent or imminent, as a basis for their conformity assessment procedures unless the guide or recommendation is an inappropriate means to ensure conformity. Unlike Article 2.4, the criterion of effectiveness of the international guide or recommendation is not mentioned in Article 5.4.

3. THE SPS AGREEMENT

As mentioned above, within the general category of technical barriers to trade, a specific category of measures can be identified, namely, sanitary and phytosanitary measures. These are measures aimed at the protection of human, animal or plant life or health from certain specified risks. The negotiators of the WTO agreements considered that these measures merited special attention due to their close link to agricultural trade, a sector of trade notoriously difficult to liberalise. As a result, sanitary and phytosanitary measures are dealt with in a separate agreement, the *Agreement on the Application of Sanitary and Phytosanitary Measures*, commonly referred to as the *SPS Agreement*.

By the end of this section students will be able to understand,

- the scope of application of the *SPS Agreement*;
- the relationship between the *SPS Agreement* and other WTO agreements;
- the basic principles of the *SPS Agreement*;

- risk analysis obligations under the *SPS Agreement*;

3.1. Scope of Application of the *SPS Agreement*

With regard to the scope of application of the *SPS Agreement*, this section distinguishes between:

- the *substantive* scope of application, i.e., the types of measures to which the agreement applies;
- the *personal* scope of application, i.e. the entities to which the Agreement applies;
- and the *temporal* scope of application of the agreement.

3.1.1. *Substantive scope of application*

The disciplines referenced in the *SPS Agreement* do not cover all measures for the protection of human, plant or animal life or health but, rather, apply to a clearly circumscribed set of measures. The substantive scope of application of the *SPS Agreement* is set out in Article 1.1, which provides in relevant part:

This Agreement applies to all sanitary and phytosanitary measures which may, directly or indirectly, affect international trade.

For a measure to be subject to the *SPS Agreement*, therefore, it must be:

- a sanitary or phytosanitary measure; and
- a measure that may affect international trade.

A sanitary or phytosanitary measure or 'SPS measure' is defined in paragraph 1 of Annex A of the *SPS Agreement* as:

Any measure applied:

- (a) to protect animal or plant life or health within the territory of the Member from risks arising from the entry, establishment or spread of pests, diseases, disease-carrying organisms or disease-causing organisms;
- (b) to protect human or animal life or health within the territory of the Member from risks arising from additives, contaminants, toxins or disease-causing organisms in foods, beverages or feedstuffs;
- (c) to protect human life or health within the territory of the Member from risks arising from diseases carried by animals, plants or products thereof, or from the entry, establishment or spread of pests; or
- (d) to prevent or limit other damage within the territory of the Member from the entry, establishment or spread of pests.

From this definition, it is clear that the question of whether a measure is an 'SPS measure,' depends on its *purpose* or *aim*. In broad terms, an 'SPS measure' is one that:

- aims at the protection of human or animal life or health from food-borne risks; or
- aims at the protection of human, animal or plant life or health from risks from pests or diseases.

Note that the definitions in Annex A refer specifically to the protection of human, animal or plant life or health 'within the territory of the Member', thus excluding measures aimed at extra-territorial health protection from the scope of application of the *SPS Agreement*.

Note also that an SPS measure may take any one of a broad range of forms including laws, decrees, regulations, requirements and procedures. Thus, once a measure aims at one of the goals listed in sub-paragraphs (a) to (d) of the definition set out in paragraph 1 of Annex A, it is covered by the *SPS Agreement* regardless of the specific form it takes.

The second requirement for the application of the *SPS Agreement* according to Article 1.1 is that the measure at issue 'may directly or indirectly affect international trade'. This requirement is easy to fulfill, as any measure that applies to imports can be said to affect international trade. Moreover, Article 1.1 only requires that the measure 'may' affect international trade. Hygiene requirements for street food vendors is arguably an example of

an SPS measure which does not fall within the scope of application of the *SPS Agreement* because it does not – actually or potentially – affect international trade. When a measure is an SPS measure and affects international trade, actually or potentially, that measure falls within the substantive scope of application of the *SPS Agreement*.

3.1.2. Personal scope of application

The adoption and implementation of SPS measures may sometimes be in the hands of bodies other than central government such as regulatory agencies, regional bodies and sub-federal governments. The *SPS Agreement* takes this into account by providing, in Article 13, that Members are fully responsible for the implementation of the Agreement and must enact and implement positive measures to ensure the observance of its rules by bodies other than central government bodies. The Panel in *Australia – Salmon (Article 21.5)* held that the sanitary measures taken by the government of Tasmania were subject to the *SPS Agreement* and fell under the responsibility of Australia.

Members must take all reasonable measures available to them to ensure that local and regional government bodies as well as non-governmental bodies in their territories comply with the *SPS Agreement*. Members may not rely on non-

governmental bodies to implement their SPS measures unless these bodies comply with the *SPS Agreement*.

3.1.3. Temporal scope of application

The question of whether the *SPS Agreement* is applicable to SPS measures adopted and/or applied before the entry into force of the agreement was raised by the European Communities in *EC – Hormones*. The Appellate Body answered as follows:

If the negotiators had wanted to exempt the very large group of SPS measures in existence on 1 January 1995 from the disciplines of provisions as important as Articles 5.1 and 5.5, it appears reasonable to us to expect that they would have said so explicitly. Articles 5.1 and 5.5 do not distinguish between SPS measures adopted before 1 January 1995 and measures adopted since; the relevant implication is that they are intended to be applicable to both.

Therefore, Members have to review all of their existing SPS measures in the light of the disciplines of the *SPS Agreement*.

3.2. Relationship with other WTO Agreements

The *SPS Agreement* is not the only WTO agreement of relevance to measures for the protection of human, animal or plant life or health. The GATT 1994 and the *TBT Agreement* obviously also contain rules applicable to such measures. The position of health measures, under WTO law, is thus determined within their respective spheres of application by all three of these agreements. It is therefore necessary to examine the relationship between the *SPS Agreement* and the other relevant WTO agreements.

3.2.1. *The TBT Agreement*

The *TBT Agreement*, as discussed earlier in this paper, applies to technical regulations, standards and conformity assessment procedures in general, including those aiming at the protection of human, animal or plant life or health. Clearly, SPS measures may often take the form of technical regulations, standards or conformity assessment procedures. As the rules of the *SPS Agreement* are in some respects stricter than those of the *TBT Agreement*, it could be to the advantage of a complaining Member to challenge a measure under the *SPS Agreement* rather than the *TBT Agreement*. However, this choice is not left to Members. As already discussed above and as explicitly set out in Article 1.5 of the *TBT Agreement*, the *TBT Agreement* does not apply to SPS measures. When a measure is an ‘SPS measure’, as defined in Annex A of the *SPS Agreement*, the *SPS Agreement* applies to the exclusion of the *TBT Agreement*, even if the measure would otherwise be considered a ‘technical regulation, standard or conformity assessment procedure’ for purposes of the *TBT Agreement*. The relationship between the *SPS Agreement* and the *TBT Agreement* can thus be described as one of mutual exclusivity.

3.2.2. *The GATT 1994*

Contrary to the situation with respect to the *TBT Agreement*, no relationship of mutual exclusivity exists between the *SPS Agreement* and the GATT 1994. It is thus possible for a measure to be caught by the GATT disciplines as well as those of the *SPS Agreement*. Broadly speaking, the GATT 1994 would catch those SPS measures that are discriminatory or constitute quantitative restrictions to imports, in which case the measures would need to be justified under the exception contained in Article XX(b) with respect to health protection measures. Although one of the motives behind the negotiation of the *SPS Agreement* was the need to clarify and flesh out the Article

XX(b) exception, it is important to note that the *SPS Agreement* goes much further than a mere elaboration of Article XX(b) by imposing a new and comprehensive set of rules. However, this new Agreement did not replace the relevant GATT rules. Thus a measure that falls within the definition of an 'SPS measure' under Annex A of the *SPS Agreement* and is thus subject to the rules of the *SPS Agreement* may, to the extent that it is discriminatory or constitutes a quantitative restriction also be caught, in principle, by the rules of the GATT.

As already noted above, the relationship between the GATT 1994 and other the multilateral agreements on trade in goods (including the *SPS Agreement*) is governed by the *General Interpretative Note* to Annex 1A of the WTO Agreement. This provides that in case of conflict between a provision of the GATT 1994 and a provision of another multilateral agreement on trade in goods, the latter will prevail to the extent of the conflict. However, a conflict between the *SPS Agreement* and the GATT 1994 is rather unlikely as the *SPS Agreement* includes the existing GATT disciplines relevant to health measures. This is reflected in the fact that Article 2.4 of the *SPS Agreement* contains a presumption of consistency with the relevant provisions of the GATT 1994 for all measures that are in conformity with the *SPS Agreement*. Thus, it would be logical, in a dispute involving an SPS measure, to begin by examining the measure's conformity with the rules of the *SPS Agreement* before examining its compliance with the GATT 1994. This is supported by the finding of the Panel in *EC - Hormones*, which held:

The SPS Agreement specifically addresses the type of measure in dispute. If we were to examine GATT first, we would in any event need to revert to the SPS Agreement: if a violation of GATT were found, we would need to consider whether Article XX(b) could be invoked and would then necessarily need to examine the SPS Agreement; if, on the other hand, no GATT violation were found, we would still need to examine the consistency of the measure with the SPS Agreement since nowhere is

consistency with GATT presumed to be consistency with the SPS Agreement. For these reasons, and in order to conduct our consideration of this dispute in the most efficient manner, we shall first examine the claims raised under the SPS Agreement.

3.3. Basic Principles of the *SPS Agreement*

The basic principles of the *SPS Agreement*, contained in Articles 2 and 3 thereof, reflect the underlying aim of addressing the need to increase market access for food and agricultural products with the recognition of the sovereign right of governments to take measures to protect human, animal and plant life and health in their territories. This section discusses the following basic principles of the *SPS Agreement*:

- the sovereign right of WTO Members to take SPS measures;
- the obligation to take or maintain only SPS measures *necessary* to protect human, animal or plant life or health (the ‘necessity requirement’);
- the obligation to take or maintain only SPS measures based on scientific principles and on sufficient scientific evidence (the ‘scientific disciplines’);
- the obligation not to adopt or maintain SPS measures that arbitrarily or unjustifiably discriminate or constitute a disguised restriction on trade; and
- the obligation to base SPS measures, as much as possible and appropriate, on international standards (the ‘goal of harmonisation’).

3.3.1. Right to take SPS measures

It is significant that the *SPS Agreement*, in Article 2.1, expressly recognises the *right* of Members to take SPS measures necessary for the protection of human, animal or plant life or health. This differs from the position of health measures under GATT rules where discriminatory measures or quantitative restrictions are in principle prohibited; justification

for such measures must be found under Article XX(b). This has important implications for the burden of proof in dispute settlement proceedings. Under the GATT 1994, a Member imposing a discriminatory health measure or one that constitutes a quantitative restriction bears the burden of proof to show that it complies with the requirements of the Article XX(b) exception. On the contrary, under the *SPS Agreement*, the complaining Member must show that the measure is inconsistent with the rules of the *SPS Agreement*.

The right to take SPS measures is, however, not unlimited but is subject to the disciplines contained in the rest of the *SPS Agreement*. The basic disciplines can be found in Article 2.2 and 2.3, and are elaborated in later provisions of the *SPS Agreement*. These provisions take on board the existing GATT rules applicable to health measures *and* introduce new scientific requirements for the use of SPS measures.

3.3.2. *Necessity requirement*

As set forth in Article 2.2 of the *SPS Agreement*, the sovereign right of Members to take SPS measures is, first of all, limited by the requirement that:

... any sanitary or phytosanitary measure is applied only to the extent necessary to protect human, animal or plant life and health ...

This 'necessity' requirement clearly reflects the familiar 'necessity' requirement contained in Article XX(b) of the GATT 1994, the health policy exception in the GATT 1994. This requirement has been elucidated in case law. The Panel in *Thailand-Cigarettes* defined a measure as necessary when there is no alternative measure consistent with GATT obligations that a Member could be expected to employ in order to achieve the desired public health objective. The Panel in *US-Gasoline* further

clarified that the requirement of necessity under Article XX(b) does not examine the necessity of the state's policy objective, but rather the necessity of the disputed measure to achieve that objective.

3.3.3. *Scientific disciplines*

Article 2.2 of the *SPS Agreement* also introduces new scientific disciplines for the use and maintenance of SPS measures. It requires that:

... any sanitary or phytosanitary measure ... is based on scientific principles and is not maintained without sufficient scientific evidence, except as provided for in paragraph 7 of Article 5.

These requirements introduce science as the touchstone against which SPS measures will be judged. These scientific requirements are further elaborated on in Article 5.1 which provides that SPS measures must be based on a risk assessment. With regard to these scientific disciplines, the Appellate Body in *EC - Hormones* held:

...The requirements of a risk assessment under Article 5.1, as well as of 'sufficient scientific evidence' under Article 2.2, are essential for the maintenance of the delicate and carefully negotiated balance in the *SPS Agreement* between the shared, but sometimes competing interests of promoting international trade and of protecting the life and health of humans...

The issue of what is meant by '*sufficient scientific evidence*' was addressed for the first time in *Japan - Agricultural Products II*. In that case, the Appellate Body held that it requires a *rational relationship* between the SPS measure and the scientific evidence. The Appellate Body ruled as follows:

... we agree with the Panel that the obligation in Article 2.2 that an SPS measure not be maintained without sufficient scientific evidence requires that there be a rational or objective relationship between the SPS measure and the scientific evidence. Whether there is a rational relationship between an SPS measure and the scientific evidence is to be determined on a case-by-case basis and will depend upon the particular circumstances of the case, including the characteristics of the measure at issue and the quality and quantity of the scientific evidence.

It is thus clear that panels have some discretion in determining whether a 'rational relationship' between the measure and the scientific evidence exists, in the light of the particular circumstances of each case. It would seem that where reputable scientific support for a measure exists, the requirement of 'sufficient scientific evidence' would be met. Moreover, in *EC - Hormones* the Appellate Body noted that in determining whether sufficient scientific evidence exists, panels should:

... bear in mind that responsible, representative governments commonly act from perspectives of prudence and precaution where risks of irreversible, e.g. life-terminating, damage to human health are concerned.'

Pursuant to Article 2.2 of the *SPS Agreement*, quoted above, SPS measures must not be maintained without sufficient scientific evidence, *except* as provided for under Article 5.7. This provision, discussed in more detail below, deals with a situation in which there is insufficient scientific information. Governments are sometimes faced with situations where they need to act to prevent a possible risk despite insufficient scientific data regarding the existence and likelihood of the risk. Article 2.2 takes account of this fact by expressly referring to Article 5.7 which allows for provisional SPS measures to be taken. The relationship between Articles 2.2 and 5.7 was set out by the Appellate Body in *Japan – Agricultural Products II* as follows:

... it is clear that Article 5.7 of the *SPS Agreement*, to which Article 2.2 explicitly refers, is part of the context of the latter provision and should be considered in the interpretation of the obligation not to maintain an SPS measure without sufficient scientific evidence. Article 5.7 allows Members to adopt provisional SPS measures “in cases where relevant scientific evidence is insufficient” and certain other requirements are fulfilled. Article 5.7 operates as a *qualified* exemption from the obligation under Article 2.2 not to maintain SPS measures without sufficient scientific evidence. An overly broad and flexible interpretation of that obligation would render Article 5.7 meaningless.

The existence of Article 5.7 thus argues against an overly broad and flexible interpretation of the obligation of Article 2.2, that SPS measures should not be maintained without sufficient scientific evidence.

Note that the basic scientific disciplines contained in Article 2.2 are further specified in Articles 5.1 and 5.2 of the *SPS Agreement*, which require - as discussed below - that SPS measures be based on a risk assessment, taking into account certain factors.

3.3.4. No arbitrary or unjustifiable discrimination or disguised restriction on trade

A third basic limitation on a Member’s right to impose SPS measures can be found in Article 2.3 of the *SPS Agreement*. Article 2.3 reflects the familiar GATT non-discrimination obligations contained in Articles I:1 and III:4 of the GATT 1994 as well as the *chapeau* of Article XX thereof. Article 2.3 provides:

Members shall ensure that their sanitary and phytosanitary measures do not arbitrarily or unjustifiably discriminate between Members where identical or similar conditions prevail, including between their own territory and that of other Members. Sanitary and phytosanitary measures shall not be applied in a manner which would constitute a disguised restriction on international trade.

Article 2.3 was at issue in *Australia – Salmon (Article 21.5)*, where Canada claimed that Australia violated this provision by insisting on import requirements for salmonids from Canada but providing no internal control measures on the movement of dead Australian fish. The Panel identified three cumulative requirements that must be met for a violation of Article 2.3 to be established, namely that:

- the measure discriminates between the territories of Members other than the Member imposing the measure, or between the territory of the Member imposing the measure and another Member;
- the discrimination is arbitrary or unjustifiable; and
- identical or similar conditions prevail in the territory of the Members compared.

The basic discipline in Article 2.3 finds reflection in the more specific prohibition in Article 5.5 on arbitrary or unjustifiable distinctions in the levels of protection chosen by a Member in different situations, where these distinctions lead to discrimination or disguised restrictions on trade. A violation of Article 5.5 will necessarily imply a violation of Article 2.3, but the opposite is not true as Article 2.3 is broader than Article 5.5.

3.3.5. The goal of harmonisation

Due to the different factors that regulators take into account when enacting SPS measures (national consumer preferences, industry interests, geographic and climatic

conditions etc.) there are large differences in SPS measures across countries. The resulting wide variety of SPS measures that exporters face on their different export markets has a negative impact on market access for their products, as exporters will have to adjust products to the many different SPS measures. The *SPS Agreement* addresses this problem in Article 3 by encouraging, but not obliging, Members to harmonise their SPS measures around international standards.

The aim of Article 3 of the *SPS Agreement* was expressed as follows by the Appellate Body in *EC - Hormones*:

In generalized terms, the object and purpose of Article 3 is to promote the harmonization of the SPS measures of Members on as wide a basis as possible, while recognizing and safeguarding, at the same time, the right and duty of Members to protect the life and health of their people.

Under Article 3, Members have three autonomous options with regard to international harmonised standards, each with its own consequences. Members may choose to:

- *base* their SPS measures *on* international standards according to Article 3.1;
- *conform* their SPS measures to international standards under Article 3.2; or
- impose SPS measures resulting in a *higher level* of protection than would be achieved by the relevant international standard in terms of Article 3.3.

The *first* option is set out in Article 3.1 of the *SPS Agreement*. When Members choose this option, Article 3.1 obliges Members to base their SPS measures on international standards where they exist, except as provided for in Article 3.3.100 The

‘international standards’ to which Article 3.1 refers are standards set by international organisations, such as the Codex Alimentarius Commission with respect to food safety, the International Office of Epizootics for animal health, and the Secretariat of the International Plant Protection Convention with respect to plant health.

Where a relevant international standard exists, Members must, according to Article 3.1, ‘base’ their SPS measures thereon. With respect to the meaning of the ‘based on’ requirement, the Appellate Body made the following observations in *EC - Hormones*:

... To read Article 3.1 as requiring Members to harmonize their SPS measures *by conforming those measures with international standards, guidelines and recommendations, in the here and now*, is, in effect, to vest such international standards, guidelines and recommendations (which are by the terms of the Codex *recommendatory* in form and nature) with *obligatory* force and effect. The Panel's interpretation of Article 3.1 would, in other words, transform those standards, guidelines and recommendations into binding *norms*. But, as already noted, the *SPS Agreement* itself sets out no indication of any intent on the part of the Members to do so. We cannot lightly assume that sovereign states intended to impose upon themselves the more onerous, rather than the less burdensome, obligation by mandating *conformity* or *compliance with* such standards, guidelines and recommendations. To sustain such an assumption and to warrant such a far-reaching interpretation, treaty language far more specific and compelling than that found in Article 3 of the *SPS Agreement* would be necessary.

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Thus, the non-binding standards set by the international standard-setting organisations do not become binding through the operation of the *SPS Agreement*. According to the Appellate Body in *EC - Hormones* a measure that is ‘based on’ an international standard is one that ‘stands’ or ‘is founded’, or ‘built’ upon or ‘supported’ by the international standard. An SPS measure which is ‘based on’ an international

standard need not 'conform to' that standard, since not all of the elements of that standard may be incorporated into the measure.

The consequences of choosing the option under Article 3.1, by 'basing' an SPS measure on an international standard were set out by the Appellate Body in *EC - Hormones* as follows:

... The Member imposing this measure does not benefit from the presumption of consistency set up in Article 3.2; but, as earlier observed, the Member is not penalized by exemption of a complaining Member from the normal burden of showing a *prima facie* case of inconsistency with Article 3.1 or any other relevant article of the *SPS Agreement* or of the GATT 1994.

The *second* option available to Members under Article 3.2 is to 'conform' their SPS measures to the relevant international standard. To 'conform to' is obviously more demanding than to 'base' on. In *EC - Hormones* the Appellate Body interpreted this requirement as follows:

... Such a measure would embody the international standard completely and, for practical purposes, converts it into a municipal standard.

Article 3.2 provides that SPS measures which 'conform to' international standards are presumed to be consistent with the *SPS Agreement* and the GATT 1994. The implications of this presumption were addressed by the Appellate Body as follows:

The presumption of consistency with relevant provisions of the *SPS Agreement* that arises under Article 3.2 in respect of measures that conform to international standards may well be an *incentive* for Members so to conform their SPS measures

with such standards. It is clear, however, that a decision of a Member not to conform a particular measure with an international standard does not authorize imposition of a special or generalized burden of proof upon that Member, which may, more often than not, amount to a *penalty*.

Clearly, therefore, the burden of proof relies on the complaining party to demonstrate a violation of the *SPS Agreement*, under both the Article 3.1 option and the Article 3.2 option. However, the burden is heavier in the latter case as the complaining party has to overcome the presumption of consistency in Article 3.2. This provides an incentive for Members to conform their measures to international standards, thereby making their measures less vulnerable to challenges under the *SPS Agreement* and the GATT.

The *third* option that Members may choose, with respect to international standards, is to deviate from the international standard by choosing a measure resulting in a higher level of protection than that achieved by the international standard. This option, provided for in Article 3.3 of the *SPS Agreement* is important as it reflects the recognition of Members' right to choose the level of protection they deem appropriate in their territories. In respect of this option, the Appellate Body in *EC - Hormones* held:

The right of a Member to establish its own level of sanitary protection under Article 3.3 of the *SPS Agreement* is an autonomous right and *not* an 'exception' from a 'general obligation' under Article 3.1.

This right to choose measures that deviate from international standards is not an 'absolute or unqualified right', as confirmed by the Appellate Body in *EC - Hormones*. Two alternative conditions are laid down in Article 3.3, namely that:

- either there must be a scientific justification for the SPS measure (defined in a footnote as a scientific examination and evaluation in accordance with the rules of the *SPS Agreement*);
- or the measure must be a result of the level of protection chosen by the Member in accordance with Articles 5.1 through 5.8. The difference between these two conditions is not clear and the Appellate Body noted, in *EC – Hormones*, that ‘Article 3.3 is evidently not a model of clarity in drafting and communication.’ What is clear, however, is that in both cases a risk assessment in terms of Article 5.1 is required.

A Member who claims scientific justification for its deviation from the relevant international standard must base its claim on a proper risk assessment in the same way as a Member which claims its deviation is a result of the higher level of protection that it has chosen.

3.4. Risk Analysis Obligations

The national regulatory process by means of which SPS measures are imposed typically involves *risk analysis*. For the purposes of the *SPS Agreement*, two elements of risk analysis are relevant, namely risk assessment and risk management. The term ‘*risk assessment*’ refers to the scientific process of identifying the existence of a risk and establishing the likelihood that the risk may actually materialise according to the measures that could be applied to address the risk. ‘*Risk management*’, by contrast, is the policy-based process of determining the level of protection a country wants to ensure in its territory and choosing the measure that will be used to achieve that level of protection. In risk management decision-making, not only are the scientific results of the risk assessment taken into account but also societal value considerations such as consumer preferences, industry interests, relative costs, etc. The distinction

between these two elements of the risk analysis process is not absolute and nonscientific considerations do play some part in risk assessment. However, the distinction is a useful tool in enhancing the understanding of the regulatory process.

The risk assessment/risk management distinction is *implicitly* taken into account in those disciplines of the *SPS Agreement* that relate to the risk analysis process contained in Article 5. Articles 5.1 to 5.3 set strict scientific disciplines for risk assessments on which SPS measures must be based, whereas a Member's choice of an appropriate level of protection - an aspect of risk management - is largely respected by the provisions of Articles 5.4 to 5.5.

The choice of a measure to achieve this level of protection, another aspect of risk management, is subject to trade-related rather than scientific disciplines in Articles 5.3 and 5.6.

As noted by the Appellate Body in *EC – Hormones*, the *SPS Agreement* does not expressly use the term 'risk management'. However, it is undeniable that the *SPS Agreement* deals in different ways with Members' obligations with regard to risk assessment and those obligations applicable to what is commonly known as risk management.

Questions for Discussion

1. What does the Agreement on Technical Barriers to Trade (TBT) govern?
2. What does the Agreement on Sanitary and Phytosanitary Measures (SPS) govern?
3. What is the relationship between the TBT Agreement and SPS Agreement?
4. Explain the 'three-tier test' which is important for determining whether a measure is a 'technical regulation' under the TBT Agreement.
5. Explain risk analysis obligations under the SPS Agreement.
6. Discuss the purposes of taking TBT and SPS measures.
7. Discuss the obligation of member states to take or maintain SPS measures based on scientific principles and on sufficient scientific evidence (the 'scientific disciplines')

Unit Seven: General Agreement on Trade in Services (GATS)

Introduction

The interest in rules for trade in services comes largely as a result of two economic trends. First, many developed countries, and particularly the United States, came to recognize that, measured by percentage of gross domestic product their economies produce more services than goods. Hence, services viewed collectively have become the dominant sector of the major industrial economies. Second, countries that have lost their comparative advantage in the production of some goods now believe their advantage lies in trading certain services. A trade surplus in services can make up for any deficit in the merchandise balance of trade. To meet such ends, developed countries realized that trade in services should go beyond national borders. Therefore, many developed countries pushed for an agreement at the international level dealing with trading services.

It is important to note that not all services are tradeable across borders nonetheless. Waiters, taxi-drivers, etc provide services that are counted in gross domestic product but are not suitable for international exchange. On the other hand, engineering, banking, telecommunications, accounting, consulting and the like may well be suitable to international exchange whether by trade or investment. Despite such large area of tradeable services , trade in services accounted for only little amount of overall world trade. The reason for such a small share in the international exchange was that trade in services was inhibited by a variety of barriers which international community should endeavour to reduce. Hence, there came movements to come up with some agreement on how trading of services at the international level should be governed.

By the end of this chapter, students will be able:

- Know The scope of the General Agreement on Trade in Services(GATS)
- Understand the basic purposes of GATS
- Understand the basic differences between GATT and GATS
- Know the different modes of supply
- Know the basic principles of GATS and their exceptions
- Understand operation of GATS based on specific commitment.

Services in the GATT/WTO System

The exchange of services across national territories was not a big issue in international trade relations until recently. Services were not mentioned in the GATT. The broader Havana Charter, of which the GATT was originally supposed to be one component, noted as one of its purposes the encouragement of demand for services as well as for goods, but the Charter did not make substantive provision for exchange of services.

In some ways the GATT system seemed ill-suited to discussion of trade of services in that the initial focus of the GATT was on tariffs which virtually never apply to the supply of services. Through course of time there arose a need to deal with trade in services across national territories. It was also understood that though the area is sensitive one which needs a lot of negotiations, it was realized that it can be traded across borders with some regulations. Thus the overall teaching of the GATT, that international rules could and should moderate governmental restrictions on transborder economic activity and that these rules should be subject to multilateral negotiation and liberalization, might well be or adapted to trade in services. Hence, When the Uruguay Round was launched in Punta del Este in 1986, a separate group on Negotiations on Services was created with a view to expansion of such trade under conditions of transparency and progressive liberalization. However, such progressive realization was subject to respect for the policy objectives of national laws and regulations applying to services. Hence, When the Uruguay Round was launched in Punta del Este in 1986, a separate group on Negotiations on Services was created with a view to expansion of such trade under conditions of transparency and progressive liberalization. However, such progressive realization was subject to respect for the policy objectives of national laws and regulations applying to services.

In spite of the doubts in the outcome of the negotiations on services, the negotiations in the Uruguay Round achieved a General Agreement on Trade in Services (GATS). The agreement was not a complete success nonetheless. The agreement on exchange of services was partly successful because in looking at the GATS agreement, as well as at the significance of the specific services commitments undertaken by WTO members, the Uruguay Round services package is only a beginning. The GATS rules are not quite complete, and are largely untested.

Basic Purpose of GATS

As stated in its Preamble, the GATS is intended to contribute to trade expansion “under conditions of transparency and progressive liberalization and as a means of promoting the economic growth of all trading partners and the development of developing countries”. Trade expansion is thus not seen as an end in itself, as some critical voices allege, but as an instrument to promote growth and development. The link with development is further reinforced by explicit references in the Preamble to the objective of increasing participation of developing countries in services trade and to the special economic situation and the development, trade and financial needs of the least-developed countries.

The GATS’ contribution to world services trade rests on two main pillars: (a) ensuring increased transparency and predictability of relevant rules and regulations, and (b) promoting progressive liberalization through successive rounds of negotiations. Within the framework of the Agreement, the latter concept is tantamount to improving market access and extending national treatment to foreign services and service suppliers across an increasing range of sectors. It does not, however, entail deregulation. Rather, the Agreement explicitly recognizes governments’ right to regulate, and introduce new regulations, to meet national policy objectives and the particular need of developing countries to exercise this right.

To a considerable degree, the drafters of the GATS took inspiration from the GATT and used terms and concepts that had already been tested for decades in trade in goods. These include the principles of most-favoured-nation (MFN) treatment and national treatment. Comparable to its status under the GATT, MFN treatment — i.e. the obligation not to discriminate between fellow WTO Members — is an unconditional obligation, which applies across all services covered by GATS. The tariff schedules under the GATT, in which countries bind their tariff concessions on merchandise

imports, find their equivalent in schedules of specific commitments which define the relevant trade conditions for services.

However, there are also notable differences in scope and content between the two agreements.

- a. Unlike the GATT, the GATS covers measures affecting both the product (service) and the supplier.
- b. The definition of services trade covers not only cross-border supply, but three additional forms of transaction (“modes of supply” as will be discussed in the preceding discussions).
- c. While quota-free entry (“market access) and national treatment are generally applicable obligations under GATT, they apply under the GATS on a sector-by-sector basis and only to extent that no qualifications (“limitations”) have been scheduled.

Dear distance learner, are you getting some idea on differences between GATT and GATS? If Not, do not worry. You will be able to appreciate the differences after you study the following sections.

Scope and Application of GATS

Article I of GATS defines the scope and coverage of the GATS. The agreement applies to measures by WTO members which affect trade in services. As in the case of the GATT (where the relevant and similar rule is Article XXIV:12), the reach of this definition goes beyond central governments to include measures taken by regional and local governments, and includes those of non-governmental bodies exercising powers delegated to them by governments. It does not matter in this context whether a measure is taken at central, regional or local government level, or by non-governmental bodies exercising delegated powers. The relevant definition covers any measure, “whether in

the form of a law, regulation, rule, procedure, decision, administrative action, or any other form, ... in respect of:

- the purchase, payment or use of a service;
- the access to and use of, in connection with the supply of a service, services which are required by those Members to be offered to the public generally; the presence, including commercial presence, of persons of a Member for the supply of a service in the territory of another Member”.

Also as under the GATT, member governments are required to do their best to ensure that these sub-national governments observe GATS obligations and commitments as per Art.1(3)(a). All services are covered, except those supplied in the exercise of governmental authority., these being defined as services which are neither supplied on a commercial basis nor in competition with other service suppliers. Typical examples may include police, fire protection, monetary policy operations, mandatory social security, and tax and customs administration.

Modes of Supply

The definition of services trade under the GATS is four-pronged, depending on the territorial presence of the supplier and the consumer at the time of the transaction. Article I sets out a comprehensive definition of trade in services in terms of four different modes of supply: cross-border, consumption abroad, commercial presence in the consuming country, and temporary movement of natural persons. This definition is crucially important, and must be examined more closely. It helps in understanding the special problems and regulatory issues that arise in international trade in services, and that have shaped the principles and rules embodied in the GATS, as well as the specific commitments that WTO members have undertaken in their schedules. (It is also the key to much of the jargon habitually used by negotiators and others at home with the GATS.)

Pursuant to Article I:2, the GATS covers services supplied:

- a. from the territory of one Member into the territory of any other Member (otherwise known as :Mode 1 or Cross border supply of services). This service corresponds with the normal form of trade in goods. It is in many ways the most straightforward form of trade in services, because it resembles the familiar subject-matter of the GATT, not least in maintaining a clear geographical separation between seller and buyer: only the service itself crosses national frontiers.

Example: A user in country A receives services from abroad through its telecommunications or postal infrastructure. Such supplies may include consultancy or market research reports, tele-medical advice, distance training, or architectural drawings. In these types of services persons do not cross borders, only the service crosses the frontiers.

- b. Mode 2 is consumption abroad, or in the words of Article I, the supply of a service in the territory of one Member to the service consumer of another member. Typically, this will involve the consumer travelling to the supplying country, perhaps for tourism or to attend an educational establishment. Another example of consumption abroad would be the repair of a ship or aircraft outside its home country.

Example: some nationals of Italy move to Kenya as tourists to consume the tourism service in Kenya. Some nationals of Ethiopia move to USA to consume the education service in USA or some patients move to South Africa to consume the respective service.

- c. Mode 3 is the supply of a service through the commercial presence of the foreign supplier in the territory of another WTO member. Examples would be the establishment of branch offices or agencies to deliver such services as banking, legal advice or

communications. The service is provided within A by a locally-established affiliate, subsidiary, or representative office of a foreign-owned and — controlled company (bank, hotel group, construction company, etc.). For instance, Access Bank of Nigeria opens a branch in Nairobi to supply banking services in Kenya. The service of Access Bank in Kenya is through the commercial presence of a foreign supplier (Access Bank) in the territory of another WTO member(Kenya).

This is probably the most important mode of supply of services, at least in terms of future development, and also raises the most difficult issues for host governments and for GATS negotiations. A large proportion of service transactions require that the provider and the consumer be in the same place. But rules governing commercial presence are very different from the tariffs and other border measures that principally affect trade in goods. The GATT has only gradually become involved in some sensitive domestic policy issues such as subsidies and technical standards. Right from the beginning, however, the GATS has been forced to deal with internal policy issues such as rights of establishment that are inherent in the commercial presence of foreign interests. In doing so, and establishing multilateral rules that guarantee the opportunities for firms and individuals to establish themselves in a foreign market, the GATS has broken new ground.

- d. 4: the presence of natural persons or service supplied by a service supplier of one Member, through the presence of natural persons of a Member in the territory of any other Member.

Example: A foreign national provides a service within country A as an independent supplier (e.g., consultant, health worker) or employee of a service supplier (e.g. consultancy firm, hospital, construction company).

However, an annex to the GATS makes it clear that the agreement has nothing to do with individuals looking for employment in another country, or with citizenship, residence or employment requirements. Even if members undertake Mode 4 commitments to allow natural persons to provide services in their territories, they may still regulate the entry and stay of the persons concerned, for instance by requiring visas, as long as they do not prevent the commitments from being fulfilled.

General Obligations and Principles

The GATS consists of two main elements: general concepts, principles and rules that apply across the board to measures affecting trade in services, and commitments on national treatment and market access. The core GATT principles of non-discrimination (MFN and national treatment) apply also in GATS, with one big difference. GATT has a 'negative list approach' whereas non-discrimination applies generally, except in instances where explicit allowance is made for their violation as for example in preferential trade agreements. That is true only for MFN under GATS, and not for national treatment. GATS adopts a positive list approach to determining the coverage of national treatment rule: it applies only to services listed in a country's schedule of commitments, and then only in so far as measures that would violate the principle the principle are not exempted. GATS also introduces a commitment not found in GATT: a market access obligation. This also applies on a positive list basis to each member. Government services are excluded further narrowing the GATS coverage.

Part II of GATS sets out general obligations and disciplines. These are basic rules that apply to all members and, for the most part, to all services. Many of the key provisions of the GATT have a close equivalent in this part of the GATS.

GATS Article II, on most-favoured-nation treatment, thus directly parallels the centrally important Article I of the GATT. Its first paragraph states that with respect to any measure covered by this Agreement, (coverage which of course has just been defined very widely in Article I) each Member shall accord immediately and unconditionally to services and service suppliers of any other Member treatment no less favourable than it accords to like services and service suppliers of any other country. This classical statement of the MFN principle is, however, qualified. A member is permitted to maintain a measure inconsistent with the general MFN requirement if it has established an exception for this inconsistency. Article II(2) provides justification for giving more favourable treatment to the country or countries specified in the exemption. It does not give the right to deny certain countries treatment as favourable as specified in a member's schedule of commitments. Nevertheless, it is important to note that those listed exceptions are subject to some time limit. For instance, many of the exemptions should have been expired in 2004. Hence, MFN principle would apply without such qualification or exception.

Apart from services specified in individual MFN exemption lists, the only permitted departure from most-favoured-nation treatment under the GATS is among countries that are members of regional trading arrangements. The GATS rules on Economic Integration in Article V, are modelled on those in Article XXIV of the GATT, although the absence of services equivalent to import duties means that there is no distinction comparable to that between customs unions and free trade areas. Article V permits any WTO member to enter into an agreement to further liberalize trade in services only with the other countries that are parties to the agreement, provided the agreement has .substantial sectoral coverage., eliminates measures that discriminate against service suppliers of other countries in the group, and prohibits new or more discriminatory measures. Recognizing that action to open up services markets may well form part of a wider process of economic integration, the article allows the liberalization achieved to be judged in this light. Thus members of a free trade area or customs union recognized

under GATT could probably expect understanding if efforts to extend their relationship into trade in services were initially incomplete.

Some other provisions are carried over from Article XXIV with little change. An approved agreement must be designed to help trade among its members, and must not result, for non-members, in an overall increase in the barriers they face in trading with the group in the service sectors or sub-sectors covered. If the establishment of the agreement, or its subsequent enlargement, leads to the withdrawal of commitments made to non-members, there must be negotiations to provide appropriate compensation. No compensation, on the other hand, is due from non-members for any trade benefits they may gain from the agreement.

A second basic principle carried over from the GATT is that of transparency. Sufficient information about potentially relevant rules and regulations is critical to the effective implementation of an Agreement. Traders will be badly handicapped in doing business in a foreign country unless they know what laws and regulations they face. This problem is particularly serious for trade in services, because so many of the relevant government rules are domestic regulations.

Article III ensures that Members publish promptly all measures pertaining to or affecting the operation of the GATS. Moreover, there is an obligation to notify the Council for Trade in Services at least annually of all legal or regulatory changes that significantly affect trade in sectors where specific commitments have been made. Members are also required to establish enquiry points which provide specific information to other Members upon request. However, there is no requirement to disclose confidential information (Article IIIbis).

Given strong government involvement in many service markets — for various reasons, including social policy objectives or the existence of natural monopolies — the

Agreement seeks to ensure that relevant measures do not undermine general obligations, such as MFN treatment or specific commitments in individual sectors. Thus, each Member is required to ensure, in sectors where commitments exist, that measures of general application are administered impartially and in a reasonable and objective manner (Article VI:1). Service suppliers in all sectors must be able to use national tribunals or procedures in order to challenge administrative decisions affecting services trade (Article VI:2a).

Several more articles in Part II of the GATS have clear GATT parallels. Article VIII is close to GATT's Article XVII on state trading. A monopoly supplier of a service must not to be allowed to act inconsistently with a member's MFN obligations or its specific commitments, nor to abuse its monopoly position. If a country that has made specific commitments to allow supply of a service later grants monopoly rights for that supply, and thus negates or impairs the commitments, it will have to negotiate compensation.

Article XII, on restrictions to safeguard the balance of payments, sets out provisions similar to those in GATT Articles XII and XVIII:B. It permits members in serious balance-of-payments difficulties (or threatened by such difficulties) to restrict trade in services for which it has undertaken commitments. Developing countries, or countries in transition, may use such restrictions to maintain a level of reserves adequate for their development or transition programmes. However, such restrictions must not discriminate

among members, cause unnecessary damage to the interests of other members or be more restrictive than necessary in the circumstances, and must be temporary and phased out as the situation improves. Priority may be given to essential services, but the restrictions must not be adopted or maintained to protect a particular sector.

As under the GATT, governments are exempt from the basic GATS obligations in purchasing services for their own use. Hence, the purchase of services by -say Ministry of Foreign Affairs-a government body are exempt from the basic GATS obligations.

The GATS provisions on general and security exceptions are perhaps the closest of all to their GATT equivalents (Article XIV, General Exceptions, and Article XIV bis, Security Exceptions). This reflects the fact that the overriding considerations which are recognized as allowing a country to ignore specific international obligations will apply as strongly to one aspect of its trade as to another. The general exceptions are, as in the GATT, preceded by a headnote that makes the right of a member to adopt or enforce measures for the purposes listed subject to the condition that they not be applied as a means of arbitrary or unjustifiable discrimination between countries where like conditions prevail, or as a disguised restriction on trade in services.. The list that follows includes some purposes that apply also to trade in goods, such as the protection of public morals and human, animal or plant life or health, and some which are particularly applicable to services. Among the latter are the prevention of deceptive and fraudulent practices, the protection of individual privacy in the handling of personal data, and equitable and effective taxation. A lengthy footnote spells out a number of ways in which a country's taxation practices may treat foreigners differently from its own nationals. The security

exceptions are virtually identical with those of the GATT: nothing in the GATS requires a member to give information, or take action, against its essential security interests concerning services for a military establishment, related to fissionable or fashionable materials, or in time of war or international emergency or in pursuit of obligations under the United Nations Charter for peace and security.

Specific Commitments

The GATS is a very flexible agreement that allows each Member to adjust the conditions of market entry and participation to its sector-specific objectives and constraints. Two sets of legal obligations — governing, respectively, Market Access and National Treatment — are relevant in this context. As already noted, Members are free to designate the sectors, and list them in their schedules of commitments, in which they assume such obligations with regard to the four modes of supply. Moreover, limitations may be attached to commitments in order to reserve the right to operate measures inconsistent with full market access and/or national treatment.

Market access and national treatment are specific commitments under the Agreement. These obligations apply only to services included in the members' schedules and then are only subject to listed qualifications or conditions.

Article XVI deals with market access to services and service suppliers. It provides that each member shall accord to such services or service suppliers of any other member treatment no less favourable than that provided for under the terms, limitations and conditions agreed and specified in its schedule. The market access provisions of GATS, laid down in Article XVI, cover six types of restrictions that must not be maintained in the absence of limitations. The restrictions relate to

- a. the number of service suppliers
- b. the value of service transactions or assets
- c. the number of operations or quantity of output
- d. the number of natural persons supplying a service
- e. the type of legal entity or joint venture

Article XVII calls for national treatment by each member in respect of all measures affecting the sectors of supply of services inscribed in its schedule, no less favourable than it accords to its own like services and service suppliers. In other words national treatment implies the absence of all discriminatory measures that may modify the conditions of competition to the detriment of foreign services or service suppliers. Again, limitations may be listed to provide cover for inconsistent measures, such as discriminatory subsidies and tax measures, residency requirements, etc. It is for the individual Member to ensure that all potentially relevant measures are listed

In addition to specific commitments, countries also make horizontal commitments. These are usually laws and policies that restrict the use of mode of supply by foreign suppliers, independently of the sector involved. Laws and regulations may provide that foreign service providers may get into the local market only if domestic provider does not exist or satisfy the local market.

The examination of the above articles under the heading of the specific commitments (Articles XVI, XVII and XVIII) may be summed up thus: members may permit market access to the extent of their specific commitments. They may exclude certain sectors and modes from their commitments. Exceptions to MFN rule are allowed and the principle of national treatment can also be subject to qualifications.

Questions for Discussion

1. Discuss the reasons why some countries pushed for incorporation of the GATS Agreement into the WTO System.
2. How is GATS different from GATT?
3. Discuss the principle of most favoured nation treatment under GATS and show how such principle operates in a different manner from same principle under GATT.
4. Discuss Mode 1 and Mode 2.
5. A US citizen goes to Kenya in order to visit the wild life found in the country. Which mode of supply is it?
A Nigerian Bank opens a subsidiary in Uganda to give banking services. Which mode of supply is it?
6. Discuss the concept of specific commitments under GATS.

Unit Eight: Trade Related Intellectual Property Rights Agreement (TRIPS)

Introduction

The TRIPS Agreement was negotiated in the context of the Uruguay Round of multilateral trade negotiations under the General Agreement on Tariffs and Trade (GATT). The TRIPS Agreement is the most comprehensive multilateral agreement that sets detailed minimum standards for the protection and enforcement of intellectual property rights and as a result it is a significant step in harmonizing national intellectual property (IP) systems. The Agreement is one of the agreements annexed to the Final Act Embodying the Results of the Uruguay Round of Multilateral Trade Negotiations which came into force in 1995. This means that all members of WTO are bound by the obligations under the TRIPS Agreement.

The minimum standards relate to the protection of: products and processes by patents; literary, artistic, musical and other works by copyright and related rights; industrial designs; trademarks; geographical indications; layout designs of integrated circuits; and undisclosed information such as trade secrets. The Agreement sets the minimum standards - requirements for the grant of rights, the time limitations on protection, permitted exceptions to the use of rights and modes of enforcement - to be implemented by each WTO member. The permitted exceptions will be referred to in greater detail below, however, the Agreement allows member States to adopt measures to protect public health and nutrition, to promote socio-economic and technological development and to protect against the abuse of intellectual property rights in certain cases. The interpretation of these exceptions is, in large part, up to the member States. The Agreement includes special treatment for developing countries in certain circumstances, including transitional flexibility for implementation. While developed countries should have implemented the Agreement by 1996, developing countries and countries in transition had until 1 January 2000 and least developed countries have until 2006 to

complete implementation. The period for least developed countries has been extended to 2016. The TRIPS Agreement recognizes the economic, financial, administrative and technological constraints of the least developed countries. It therefore provides the possibility of further extension of the transitional period.

It should be noted that most WTO members already had some form of intellectual property protection in place prior to the TRIPS Agreement. The key difference is that the TRIPS Agreement provides comprehensive rules governing such protection which are subject to international legal interpretation and enforcement through an effective dispute settlement mechanism.

By the end of this chapter, students will be able to:

- Know the historical background of the TRIPS Agreement
- Understand the structures of the TRIPS Agreement
- Know objectives of the Agreement
- Know basic principles of the Agreement
- Understand some of the flexibilities in the Agreement

Historical Background

In the eighth Round of the Multilateral Trade Negotiations under GATT, which began in 1986 at Punta del Este, Uruguay, developed countries pressed and succeeded in incorporating Intellectual Property Rights(IPRs), *inter alia*, in the package of new rules and procedures to conduct international trade.

The introduction of Intellectual Property(IP) issues in the agenda of the Uruguay Round of Multilateral Trade Negotiations was principally an initiative of the USA. The USA first raised IP protection under GATT to clamp down on trade in counterfeit goods and

parallel imports. This issue first emerged in the 1970's and early 1980's when the world went into a severe recession and the USA experienced a dramatic shift in its balance of trade. A worsening balance of trade led the USA to examine structural changes to boost its competitiveness in world trade and the examination revealed that the USA was losing its technological lead over other industrialized countries, notably Japan and also newly industrializing countries (NICs), notably East Asian countries, mostly due to liberal technology transfer and generally lax import policies.

At this time, US industries mainly in the computer software and microelectronics, entertainment, pharmaceuticals, chemicals, and agro-chemical sectors claimed they were suffering heavy losses from the absence of adequate protection of their IPRs abroad. They were concerned about the loss of commercial opportunities abroad – brought about by the failure of foreign countries to recognize their IPRs based on US IP law which was different from or non-existent in those countries –and thus a loss to the US economy.

The non-recognition of IPRs granted in the USA meant that NICs would be in a position to imitate new technologies. The result was the production and export of “counterfeit” goods from NICs, which are cheaper than the IP protected counterparts from the industrialized countries. The NICs while closing their markets to exports from the US would gain access to the US market as a result of the liberal trade practices in the US. The increasing competitiveness of the NICs threatened the supremacy of US business as a result of increasing imitation of IP protected goods. Thus, to reverse this trend, a need to counter such unfair trade practices of NICs was identified.

At the multilateral level, the enforcement of IP protection under WIPO was very weak or non-existent. During the Uruguay Multilateral Trade Negotiations, the USA pointed out the failure of conferences in 1980-1984 to revise the Paris Convention to address these issues, and therefore preferred the GATT forum for negotiating effective enforcement of

IPRs at the international level. The USA stated that the GATT forum provided for effective enforcement of agreements and for dispute settlement mechanisms, which were practically lacking in the WIPO administered conventions. The USA continued with its efforts to introduce, in the GATT forum the protection of IPRs to address the problem of

counterfeit products and later of copyrights piracy, which had been increasing in the developing countries in the 1980s. At the Uruguay Negotiations, the debate on inclusion of IPRs under GATT pitted developed and developing countries against each other mainly due to different priorities faced by these two groups of countries. Developed countries favoured the IPRs debate under GATT so as to clamp down on trade in counterfeit goods which was undermining their own industrial production while developing countries were concerned about the implications of this for technology transfer and technological development of their countries.

Developing countries saw the concern being raised by the developed countries, particularly the USA as being expressed on behalf of US industries. They saw all efforts towards the establishment of an effective regime for the protection of IPRs as aimed at furthering the interests of western-based industries and not those of developing countries. Indeed, the US pharmaceutical industry, was already leading in the effort to link the protection of IPRs to trade.

Developing countries thus resisted the idea of making the issue of IPRs protection a subject for discussion under the Multilateral Trade Negotiations because of such strong industry influence and specific agenda. They considered IP an issue exclusively within the competence of WIPO. The EC also did not, at least at the beginning, endorse the link between IP to the negotiations under the GATT forum. However, later together with the USA, they attempted to introduce an Anti-Counterfeit Code (ACC) at the Tokyo Round of Negotiations but the code was never adopted. The USA did succeed in including the protection of IPRs in the agenda of the Multilateral Trade Negotiations, even beyond the

question of counterfeiting and piracy, to include substantive minimum IP protection standards to be adopted by all negotiating countries.

With intensive lobbying and discussions, the actual agreement to take TRIPs up for discussion began in 1989 by the Trade Negotiating Committee (TNC). It thus took three years between the decision to include TRIPs in the Uruguay Round in 1986 and the actual agreement to take it up for discussion in 1989.

The discussion on TRIPs began with a number of legal texts prepared, first in March 1990 by members of the EC. The submission of a complete text by the EC was an important phase of the negotiations, bearing in mind the earlier doubts. The USA, Switzerland and Japan, also submitted drafts all of which borrowed substantially from the EC text. Later, in addition to the above drafts, a group of twelve developing countries agreed to participate in the actual negotiations on TRIPs by producing their own detailed proposal.

Successive revisions of the composite text occurred as a result of further negotiations. The Ministerial Meeting held in Brussels in December 1990, produced tangible results leading to the tabling of the Draft Final Act in December 1991. This Final Act contained close to the complete TRIPs agreement. The TRIPS Agreement was then adopted in April 1994 and came into force on 1 January 1995.

Structure

The three main structures of the TRIPS Agreement are:

- **Standards.** In respect of each of the main areas of intellectual property covered by the TRIPS Agreement, the Agreement sets out the minimum standards of protection to be provided by each Member. Each of the main elements of protection is defined,

namely the subject-matter to be protected, the rights to be conferred and permissible exceptions to those rights, and the minimum duration of protection. The Agreement sets these standards by requiring, first, that the substantive obligations of the main conventions of the WIPO, the Paris Convention for the Protection of Industrial Property (Paris Convention) and the Berne Convention for the Protection of Literary and Artistic Works (Berne Convention) in their most recent versions, must be complied with. With the exception of the provisions of the Berne Convention on moral rights, all the main substantive provisions of these conventions are incorporated by reference and thus become obligations under the TRIPS Agreement between TRIPS Member countries. The relevant provisions are to be found in Articles 2.1 and 9.1 of the TRIPS Agreement, which relate, respectively, to the Paris Convention and to the Berne Convention. Secondly, the TRIPS Agreement adds a substantial number of additional obligations on matters where the pre-existing conventions are silent or were seen as being inadequate. The TRIPS Agreement is thus sometimes referred to as a Berne and Paris-plus agreement.

- **Enforcement.** The second main set of provisions deals with domestic procedures and remedies for the enforcement of intellectual property rights. The Agreement lays down certain general principles applicable to all IPR enforcement procedures. In addition, it contains provisions on civil and administrative procedures and remedies, provisional measures, special requirements related to border measures and criminal procedures, which specify, in a certain amount of detail, the procedures and remedies that must be available so that right holders can effectively enforce their rights.
- **Dispute settlement.** The Agreement makes disputes between WTO Members about the respect of the TRIPS obligations subject to the WTO's dispute settlement procedures.

In addition the Agreement provides for certain basic principles, such as national and most-favoured-nation treatment, and some general rules to ensure that procedural

difficulties in acquiring or maintaining Intellectual Property Rights do not nullify the substantive benefits that should flow from the Agreement. Dear distance learner we will thoroughly deal with these principles in the topics to come.

The obligations under the Agreement will apply equally to all Member countries, but developing countries will have a longer period to phase them in. Special transition arrangements operate in the situation where a developing country does not presently provide product patent protection in the area of pharmaceuticals.

General Provisions and Basic Principles

Part I of the TRIPS Agreement sets out some broad obligations and principles, and clarifies the relationship of the agreement with the Paris and Berne Conventions and other agreements on intellectual property.

The first point made has already been mentioned. Member countries must provide the intellectual property protection specified in the agreement, making it available to the nationals of all other WTO members. They are free to give greater protection either because of the domestic needs or because of other agreements they entered into, as long as this does not contravene the provisions of the agreement. How they choose to give protection, in terms of their national legal systems and practices, is up to them, provided they comply with the provisions of the agreement as provided under Article 1(1) of the Agreement.

The term “intellectual property” is defined to refer to all categories of intellectual property that are the subjects of sections 1 to 7 of part II of the agreement. Article 1(3) persons who shall be accorded the national treatment. They are ‘nationals’, both natural and juridical(legal) persons, that would meet the criteria or eligibility for protection. In the case of a separate customs territory, nationals are deemed to be persons, natural or legal, who are domiciled or who have a real and effective industrial or commercial

establishment i.e. close attachment to other members without necessarily being nationals. In other words that paragraph requires that nationals of other members shall be understood as those persons that would meet the criteria laid down under the main pre-existing intellectual property conventions of World Intellectual Property Organization(WIPO). The conventions referred to therein are the Paris Convention(1967), the Berne Convention(1971), the Rome Convention, and the Treaty on Intellectual Property in respect of Integrated Circuits (IPIC Treaty).

Article 2 provides that nothing in part I to IV of the TRIPS agreement shall derogate from the existing obligations of the members under the Paris Convention, the Rome Convention and Treaty on integrated Circuits. It is therefore clear that all the main substantive provisions of these conventions are incorporated by reference and thus become obligations under the TRIPS Agreement between TRIPS members. Even though the TRIPS Agreement incorporates the treaty by reference without restating the provisions under the agreement, it adds a substantial number of additional obligations on matters where the earlier agreements are silent or were seen as inadequate.

Articles 3, 4 and 5 include the fundamental rules on national and most favoured nation treatment of foreign nationals, which are common to all categories of intellectual property covered by the agreement. These obligations cover not only the substantive standards of protection but also matters affecting the availability, acquisition, scope, maintenance and enforcement of IPRs as well as the use of IPRs specifically addressed in the agreement.

Article 3 requires national treatment to all foreign nationals. Briefly stated, the national treatment principle requires each WTO Member to treat nationals of other Members at least as well as it treats its own nationals in relation to the protection of intellectual property. National treatment obligations in TRIPS differ from the national treatment obligations established by Article III, GATT 1994. The GATT addresses trade in goods,

and in that context national treatment requires non-discriminatory treatment of “like products”, or tangible things. Intellectual property rights are held by persons (whether natural or juridical), and TRIPS Agreement national treatment rules require non-discriminatory treatment of persons. In this regard, the national treatment principle of the TRIPS Agreement is analogous to that of the General Agreement on Trade in Services (GATS) (Article XVII) which applies to service suppliers (that is, persons providing services). Note, however, that the GATS national treatment rules operate in a different manner than those of TRIPS.

Article 4 deals with MFN treatment i.e. advantages, privileges granted by a member to the nationals of any other country, should be extended unconditionally to the nationals of all other members. In other words, The MFN principle requires each Member to treat nationals of all other Members on an equivalent basis in relation to intellectual property protection.

Article 6 provides that for purposes of dispute settlement, nothing in the agreement shall be used to address the issue of exhaustion of intellectual property. An issue in intellectual property protection is the question of exhaustion of rights. It is generally accepted in law that the holder of intellectual property rights in a product loses (exhausts) those rights over the further distribution in a particular market once he has sold the product: he has no control over whether the buyer re-sells the product in that market. There is less agreement over the issue of ‘parallel imports’. In this case, the question concerns the extent to which a right-holder in one jurisdiction can use his or her intellectual property right to prevent the import into, or sale in, that country of products that he or she has authorized for sale in another country. The TRIPS Agreement states that whatever a member does in this respect cannot be challenged under WTO dispute settlement procedures, provided that the TRIPS national treatment and MFN obligations have been complied with. The issue of exhaustion was so left out

because of the differences between member states whether the principle of exhaustion is limited to national exhaustion or international exhaustion.

Objectives of the Agreement (Framework for implementation)

The main approach to the Agreement as stated in its preamble is "to reduce distortions and impediments to international trade". The preamble also "recognizes the need for a multilateral framework of principles, rules and disciplines dealing with international trade in counterfeit goods". The preamble further explicitly "recognizes the underlying public policy objectives of national systems for the protection of intellectual property, including developmental and technological objectives". The implementation of the Agreement has to mainly revolve around the framework of these main provisions. No compromise as such is envisaged in respect of public policy objectives of the national system.

Article 7 (Objectives) and Article 8 (Principles) of the TRIPs Agreement also further stipulate the basic framework that should be applied while implementing the substantive sections covering the proposed patents system. Article 7 provides that the protection and enforcement of IPRs should contribute to the promotion of technological innovation and to the transfer and dissemination of technology. The basic concepts laid down in this article also are that the new regime should aim at balancing of rights and obligations for both producers and users of the technological knowledge in a manner conducive to social and economic welfare. The objectives of this article are crystal - clear and there should be no ambiguity in implementing them in the national patent laws.

Further, Article 8 of the Agreement stipulates that "Members may, in formulating or amending their (national) laws and regulations, adopt measures necessary to protect public health and nutrition". Experts believe that the proviso to this article requiring that the measures are supposed to be consistent with the provisions of the TRIPS Agreement do not actually restrict the operationalisation of substantive provisions of the proposed

patent system. The sub-article of this article also provides that "appropriate measures may be needed to prevent the abuse of intellectual property rights by the right holders or the resort to practices which unreasonably restraint trade or adversely affect the international transfer of technology." This stipulation also does not in any way restrict the Member Countries from providing for public interest provisions. In fact only the basic provisions of the patent system are required to be respected which could be identified as scope of patent to extend to product and processes; granting of exclusive rights to the patent holders, term of the patent, etc. However, it is important to note that such measures of member countries should be consistent with the substantive provisions of the Agreement.

These objectives thus recognize a need for a balance between mutual advantage of producers and users of technological knowledge and a balance of rights and obligations. Hence, the stated objectives lay an emphasis in promoting social and economic welfare. The objectives are important elements for framing national laws that respond to public interests.

Standards

Part II of the TRIPS agreement takes up in turn the minimum standards which WTO members are to accord in respect of the availability, scope and use of intellectual property rights in each of seven basic areas. The seven area are: copy right and related rights, trade marks, geographical indications, industrial designs, layout designs of integrated circuits and protection of undisclosed information. Dear distance learner, we are not going to These are: copy rights, trade marks and patents.

Copy Rights

During the Uruguay Round negotiations, it was recognized that the Berne Convention already has provisions that provided adequate basic standards of copy right protection. Hence, the TRIPS Agreement incorporated the Berne convention by way of reference. In addition the TRIPS Agreement proceeded to improve the existing level of protection under Berne Convention by clarifying or adding obligations on a number of specific parts.

A copy right is an exclusive right to reproduce an original work of authorship fixed in any tangible medium of expression, to prepare derivative works based upon the original works; and to perform or display the work in the case of musical, dramatic, or other related works. Copyright protection automatically subsists in all works of authorship from the moment of creation. The duration of copy right varies from country to country and depends on such factors as the subjective matter of the work, whether the work was made for hire, and whether the work is published.

Article 9 deals with copy right and related rights. The point of departure for protection of copyright and related rights is that WTO members are to comply with the substantive provisions (Articles 1 through 21) of the Berne Convention, and with its Appendix. These provisions deal with such questions as the subject matter to be protected, national treatment, minimum term of protection, the rights to be conferred, and protection of pre-existing works. An exception to the obligation to comply with the substantive provisions of the Berne Convention is that the TRIPS Agreement does not in itself give rights or set obligations with respect to Article 6 bis of the Convention, which deals with what are known as moral rights. These are the rights of authors to have their authorship acknowledged and to prevent their work from being changed in ways that distort or mutilate it.

Article 9(2) provides that copy right protection shall extend only to expressions and not ideas, procedures, methods of operation or mathematical concepts as such. In other words, the exclusive rights granted to the copy right owner do not include the right to prevent others from making 'fair use' of the owner's work. Such fair use may include use of the work for purposes of criticism, comment, news reporting, teaching or education, scholarship or research. The concept of 'fair use' seeks to balance granting authors sufficient incentives to create new works against. The balance is considered essential for maintaining a well functioning and efficient copy right system, one in which creativity of future authors is stimulated both by copy right's financial incentives and by access to the works of their predecessors. This also points out to the dangers of overprotection and the importance of limiting copy right to encourage the creation of a new authorship. However, where fair use is made of any copy righted work, mention shall be made of the source, and of the name of the author, if it appears thereon.

Article 10 deals with " computer programs and compilation of data". There under computer programs are protected as literary works under the Berne Convention, for the normal period of literary works, if the term is calculated on the basis of the life of the author. Compilation of data also protected under the agreement. Data bases are eligible for protection as copy right provided that they by reason of the selection or the arrangement of their contents constitute intellectual creations.

Article 12 deals with the term of protection. According to Article 7(1) of the Berne Convention as incorporated into the TRIPS Agreement, the term of protection shall be of the author and 50 years after his death. Paragraphs 2 to 7 of the article specifically allows shorter term in certain cases. These provisions are supplemented by Article 12 of the TRIPS agreement, which provides that whenever the term of protection of a work, other than photographic work or a work of applied art, is calculated on the basis other than the life of a natural person, such term shall be no less than 50 years from the end of the

calendar year of authorized publication or failing such authorized publication within 50 years from the end of the end of the calendar year of making.

Articles 13 and 14 deal with 'related rights' (known in some countries as " neighbouring rights"). These are the rights of performers, producers of sound recordings (phonogram) and broadcasters, when not covered by copyright. Although these rights were largely covered by the Rome Convention, that agreement had comparatively few signatories, particularly among the countries with a common law tradition. The TRIPS agreement thus provided the first truly multilateral recognition that performers, as well as authors, should benefit from protection, although it leaves substantial differences between countries in the amount of protection they give. Performers are required to have the possibility of preventing unauthorized sound recording or broadcasting of their performances, and of copying of such recordings. Producers of sound recordings must have exclusive rights over reproduction of these recordings, as well as exclusive rental rights for them. Broadcasters must have the right to prohibit unauthorized recording, copying of recordings, and rebroadcasting of their broadcasts, or, where this is not done, authors must have such rights over the subject matter of broadcasts. The rights of performers and producers must be protected for at least 50 years, and those of broadcasters for at least 20 years.

Trade Marks and Service Marks

Trade marks and service marks are commercial symbols used to identify the goods and services and the producers and to distinguish the trademarked goods and services from others. They also symbolize the quality of goods or services with which they are used. They are words, but they can almost be anything that distinguishes one product or service from another, such as symbols, logos, sounds, or designs. TRIPS Agreement extends the same level of recognition for service marks as for trademarks. The TRIPS agreement confirms and clarifies the disciplines of the Paris Convention of 1967.

The basic rule contained in Article 15 is that any sign, or any combination of signs, capable of distinguishing the goods and services of one undertaking from those of other undertakings, must be eligible for registration as a trademark, provided that it is visually perceptible. Such signs, in particular words including personal names, letters, numerals, figurative elements and combinations of colours as well as any combination of such signs, must be eligible for registration as trademarks.

Where signs are not inherently capable of distinguishing the relevant goods or services, Member countries are allowed to require, as an additional condition for eligibility for registration as a trademark, that distinctiveness has been acquired through use. Members are free to determine whether to allow the registration of signs that are not visually perceptible (e.g. sound or smell marks).

Members may make registrability depend on use. However, actual use of a trademark shall not be permitted as a condition for filing an application for registration, and at least three years must have passed after that filing date before failure to realize an intent to use is allowed as the ground for refusing the application (Article 14.3).

The Agreement requires service marks to be protected in the same way as marks distinguishing goods (see e.g. Articles 15.1, 16.2 and 62.3).

The owner of a registered trademark must be granted the exclusive right to prevent all third parties not having the owner's consent from using in the course of trade identical or similar signs for goods or services which are identical or similar to those in respect of which the trademark is registered where such use would result in a likelihood of confusion. In case of the use of an identical sign for identical goods or services, a likelihood of confusion must be presumed (Article 16.1).

The TRIPS Agreement contains certain provisions on well-known marks, which supplement the protection required by Article 6*bis* of the Paris Convention, as incorporated by reference into the TRIPS Agreement, which obliges Members to refuse or to cancel the registration, and to prohibit the use of a mark conflicting with a mark which is well known. First, the provisions of that Article must be applied also to services. Second, it is required that knowledge in the relevant sector of the public acquired not only as a result of the use of the mark but also by other means, including as a result of its promotion, be taken into account. Furthermore, the protection of registered well-known marks must extend to goods or services which are not similar to those in respect of which the trademark has been registered, provided that its use would indicate a connection between those goods or services and the owner of the registered trademark, and the interests of the owner are likely to be damaged by such use (Articles 16.2 and 3).

Members may provide limited exceptions to the rights conferred by a trademark, such as fair use of descriptive terms, provided that such exceptions take account of the legitimate interests of the owner of the trademark and of third parties (Article 17).

Initial registration, and each renewal of registration, of a trademark shall be for a term of no less than seven years. The registration of a trademark shall be renewable indefinitely (Article 18).

Cancellation of a mark on the grounds of non-use cannot take place before three years of uninterrupted non-use has elapsed unless valid reasons based on the existence of obstacles to such use are shown by the trademark owner. Circumstances arising independently of the will of the owner of the trademark, such as import restrictions or other government restrictions, shall be recognized as valid reasons of non-use. Use of a trademark by another person, when subject to the control of its owner, must be recognized as use of the trademark for the purpose of maintaining the registration (Article 19).

It is further required that use of the trademark in the course of trade shall not be unjustifiably encumbered by special requirements, such as use with another trademark, use in a special form, or use in a manner detrimental to its capability to distinguish the goods or services (Article 20).

Patents

As explained in the previous topic, the Uruguay Round negotiations started in 1986. At that time there were many countries which did not provide for patent protection for pharmaceutical products and even processes. This aspect was the essential aim of the USA and other technologically advanced countries to achieve extending of the scope of patentability to the pharmaceutical products and processes and also to all other fields of technology. The scope of patentability in the TRIPs Agreement has thus been greatly enhanced. According to Article 27 (Patentable Subject Matter): patents shall be available

- for any invention, whether products or processes, in all fields of technology,
- patent rights enjoyable without discrimination as to place of invention, and
- whether products are imported or locally produced.

The above stipulations are the major concessions agreed upon in the Uruguay Round negotiations by the developing countries for a global scope in favour of the patent holders which are mainly the large corporations in the industrialized countries. The scope has been extended to all fields of technology and also no discrimination has been made from the patent rights angle between the imported and domestically produced products for the first time in the history of the patent system. This provision absolves the patent holder from the obligation of local manufacturing of his patented product. It also debars the member countries for issuing compulsory licence on the ground of patent holder resorting to only imports and not working the product in the country granting the patent rights. Further the member countries will not be able to revoke the patent on

the grounds of continuous imports. These are per se the major concessions apart from the scope of patentability conceded by the developing countries in the negotiations.

Criteria of Patentability

Article 27(1) stipulates that patent shall be granted for any inventions provided they are "new, involve an inventive step and are capable of industrial application". A footnote under these stipulations allows member countries for the purposes of this article to interpret the terms 'inventive step' and 'capable of industrial application' as synonymous with the terms 'non-obvious' and 'useful' respectively. While applying these terms, the concept of "prior art" should be kept in view to ensure that patents are granted for truly new inventions. The idea is that any subject matter which falls under the category of 'prior disclosure', written or by use of the invention in any part of the world should be treated as having fallen in public domain and should not be covered by the criteria of patentability. TRIPS has not defined these criteria and as such they should be defined explicitly in the national legislation.

This requirement is subject to two kinds of exception. The first permits some types of inventions to be excluded from patentability. Members need not give patents for products the prevention of whose commercial exploitation is necessary to **protect public order or morality, including to protect human, animal or plant life or the environment**. Nor need members give patents for plants and animals other than micro-organisms, or for essentially biological processes for their production, other than microbiological processes.

Article 28 of the agreement sets out the basic rights of a patent-holder. These include the usual right, when the patent covers a product, to prevent unauthorized persons from making, using, selling or importing it. They also include protection, if the patent covers a process, not only against unauthorized use of the process but against unauthorized use, sale or importation of products directly obtained by that process. However, it is

important to note that the agreement provides some kind of flexibilities or exceptions to such right of a right holder.

Flexibilities in the TRIPS Agreement

The flexibilities available in TRIPS include the following:

- Government Use
- Compulsory Licences
- Parallel Importation
- Exceptions to patent rights (e.g. Bolar exception)

Government use: This pertains to the government's right to use a patented invention, without consent of the patent holder, and is allowed under TRIPS (Article 31). It permits government agencies or a party authorised by the government to use an invention, for public, non-commercial purposes. e.g., public sector production of generic medicines, or import of generics for use in public hospitals. Government use provisions are part of many country laws on patent protection, including broad provisions in the laws of developed countries, such as in the US and UK.

Compulsory licences are non-voluntary licences granted by the government to permit third parties to use a patented invention, without the patent holder's consent. Governments have the right to determine grounds for compulsory licence, and such grounds are not limited to emergencies. The main conditions for grant of a compulsory license are prior negotiations with the patent holder, payment of compensation and an appeals procedure.

Parallel import is the import and resale of a patented product in another country, without consent of patent holder. It involves the import of a patented medicine from

country A to country B, when the patented product is sold at a higher price in Country B than in Country A. TRIPS does not prohibit parallel imports, Article 6 allows countries to decide which regime for "exhaustion of rights" to adopt. The principle under which exhaustion of rights operates is that the rights of the patent holder are exhausted once the product is put for sale in the market, and a resale of the same does not constitute an infringement of the rights of the patent holder. Many countries, viz. S.Africa, Malaysia, Argentina, India, etc. have provisions in their national laws allowing for parallel imports.

Exceptions to patent rights allow limited use of a patent in specific circumstances. TRIPS allows for exceptions to patent rights under Article 30. For example, the "Bolar" exception allows the production of generic medicine for testing and regulatory approval, to enable speedy introduction of generic product once the patent expires. Other exceptions include exceptions for research, and experimental use. For a country to make use of this flexibility specific exceptions must be provided for in the national law.

Term of the Patent

Article 33 deals with the term, i.e. period of patent protection which 'shall not end before the expiration of a period of twenty years counted from the date of filing date of application. Under the TRIPS Agreement, this term of 20 years would be uniformly applicable in all countries and to all products and processes. There will be no possibility of varying the period of patent term as at present in the national laws in any member country.

ENFORCEMENT OF INTELLECTUAL PROPERTY RIGHTS

Part III of the TRIPS Agreement sets out in some detail the legal procedures and remedies that each WTO member country should make available to holders of intellectual property rights so that they can enforce these rights effectively. The rules in

this section of the agreement tread a narrow path, constrained on one side by the need to take account of the varied legal systems in operation in the WTO's worldwide membership, and on the other by the need to be precise enough to define meaningful requirements. The aim of effective enforcement has also to be balanced against the risk of creating barriers to legitimate trade and the need to discourage abuse of the procedures and remedies. To this end, Part III not only prescribes the procedures and remedies that must be provided by each member, expressed largely in terms of the authority to be available to the country's judges and courts, but also sets requirements for the effectiveness of these procedures and remedies in practice.

The five sections of the agreement dealing with enforcement cover, in turn, general obligations, civil and administrative procedures and remedies, provisional measures, border measures, and criminal procedures.

The first section lays down general obligations that all enforcement procedures must meet. These include the broad requirement that each member shall have procedures that permit effective action against infringement of intellectual property rights covered by the agreement, while avoiding the creation of barriers to legitimate trade and providing safeguards against abuse of the procedures. The procedures must meet the basic requirements of due process, such as being fair and equitable, not unduly complicated or costly, operating without unreasonable time-limits or delays, and offering the possibility of judicial review. (Article 41)

The second section, on civil and administrative procedures and remedies, requires that civil judicial procedures be available to right-holders to enforce any intellectual property right covered by the agreement. The features to be provided by such procedures are set out in some detail. One is the possibility, under certain conditions, of ordering the opposing party to produce relevant evidence. Another is that available remedies should include injunctions to prevent infringement of rights. There must be authority to order

infringers to pay damages adequate to compensate for the injury caused by the infringement of rights, as well as for legal costs. In appropriate circumstances, the remedies available through the judicial authorities should extend to the forfeiture of the infringing goods, and of materials and instruments used to produce them, and to their disposal or destruction. (Articles 42 to 46).

Each country must also ensure that its judicial authorities can take prompt and effective provisional measures, both to prevent any intellectual property right from being infringed, and to preserve evidence of the alleged infringement. Where appropriate, and particularly if delay is likely to cause irreparable harm to the right-holder or there is risk that evidence will be destroyed, the authorities must be able to take provisional measures without a prior hearing of the party said to be causing the infringement. These requirements are balanced by other provisions that call for prompt notice of the action to be given to the alleged infringer, for revocation of the provisional measures if proceedings for a decision on the case are not initiated upon request of the defendant, and for the applicant for the provisional measures to pay compensation to the defendant for any injury they have caused if they are subsequently revoked or no infringement is found. (Article 50).

The agreement contains special requirements on border measures aimed at preventing imports of goods which bear counterfeit trademarks or represent piracy of copyright material. Counterfeit trademark goods are defined as goods which, without authorization, bear a trademark identical to, or essentially indistinguishable from, a validly registered trademark. Counterfeiting of luxury goods and of well-known brands of clothing has been particularly rife, but has extended to other products as well, such as spare parts and pharmaceuticals. Pirated copyright goods are unauthorized copies, made directly or indirectly from an article, whose making would infringe the copyright or related rights laws of the importing country.

A final brief, but important, section on enforcement deals with criminal procedures for dealing with infringements of intellectual property rights. At least in the case of willful trademark counterfeiting or copyright piracy on a commercial scale, such infringements must be subject to criminal procedures and penalties, which are to include imprisonment and/or fines sufficient to provide a deterrent. When appropriate, the infringing goods, and any materials and equipment used to produce them, shall be subject to seizure, forfeiture and destruction.(Article 61)

A separate provision in the TRIPS Agreement supports its enforcement provisions by requiring members to nominate contact points in their administrations who are to exchange information on trade in infringing goods and, in particular, promote cooperation between customs authorities on trade in counterfeit and pirated goods. (Article 69).

IV. Dispute settlement

Disputes about matters under the TRIPS Agreement that may arise between WTO members are subject to the integrated dispute settlement procedures of the WTO, described in the final chapter of this module. However, as in the case of disputes involving trade in goods or services, it is only when a dispute reaches the stage of formal consultations, at which a subsequent request for a panel is clearly likely, that it moves beyond the area of responsibility of the specialized Council concerned -in this case, the Council for TRIPS. The basic task of maintaining transparency about each country's laws and other measures affecting intellectual property, and of monitoring compliance with the TRIPS Agreement is in the hands of the Council for TRIPS.

Questions for Discussion

1. What major efforts were made to incorporate the TRIPS Agreement into WTO legal texts?

2. What are the objectives of the TRIPS Agreement?
3. Explain the meaning of intellectual property in the context of the TRIPS Agreement.
4. Discuss the enforcement mechanisms of intellectual property rights under the Agreement.

Unit Nine: DISPUTE SETTLEMENT UNDERSTANDING

Dear Distance learner, we have now come to the last part of our discussion on international trade law. In this chapter we will be dealing with rules and procedures governing settlement of disputes.

An important aspect of the WTO's work is dispute settlement. Trade relations among contracting parties involve conflicting interests. The harmonious way to settle these differences is through some neutral procedure based on an agreed legal foundation. It is towards this end that the dispute settlement process is written into the WTO agreement.

After completing this chapter, you will be able to know;

- The Historical background of the WTO Dispute Settlement System
- The basic principles under the Dispute Settlement Understanding
- Institutional arrangements of the Dispute Settlement Understanding
- Different stages of the dispute settlement
- Provisions dealing with the dispute settlement and developing countries.

Introduction

The best international agreement is not worth very much of if its obligations cannot be enforced when one of the signatories fails to comply with such obligations. An effective mechanism to settle disputes thus increases the practical value of the commitments the signatories undertake in an international agreement. Settling disputes in a timely and structured manner is important. It helps to prevent the detrimental effects of unresolved international trade conflicts and to mitigate the imbalances between stronger and weaker players by having their disputes settled on the basis of rules rather than having power determine the outcome.

The current dispute settlement system was created as part of the WTO Agreement during the Uruguay Round. It is embodied in the understanding on Rules and Procedures Governing the Settlement of Disputes. Nevertheless, it is important to note that, to a large degree, the current dispute settlement system is the result of the evolution of rules, procedures and practices developed over almost half a century under the GATT 1947. Hence, it is important to start with the historical background of the dispute settlement system.

Historical Background

When GATT began in 1948, the GATT secretariat did not have a legal division, and when disputes came before panels or working groups it was the economists or diplomats and not lawyers who presented the positions of the parties. The GATT did provide a forum, however, as well as a code to entertain practices of one state challenged by another state. At first the complainants by contracting parties came in the form of requests for rulings by the chairman of the contracting parties. ?? Subsequently the practice developed of appointment of working parties to consider requests for rulings and to report back to the contracting parties. Representatives of the disputants would meet with representatives of countries not directly involved in the dispute, with the aim of reaching agreement on the relevant facts as well as on the legal question at issue. In some instances this technique was successful; in others the report of the working party simply set forth the views of the disputants plus the views of other members of the working party. Beginning with a complainant by Chile against Austria in 1949, the practice of working parties moved in the direction of third-party adjudication in that the report prepared by GATT secretariat reflected unanimous view of the neutral members that supported Chile's position and rejected that of Australia. On the basis of the report of the working party, the contracting parties recommended that Australia end the objectionable practice and report back to the next session. Though the

Australian representative wrote a dissent to the working party's report, Australia did follow the recommendation and abandon the challenged practice.

In 1952, a new chairman of the contracting parties decided to establish a panel on complaints to consider several cases that had been submitted to him. A significant difference between a panel and a working party was that whereas a working party included the disputants, and all members would meet together throughout the proceeding, a panel was distinct from disputants and its members would meet among themselves with the secretariat to prepare their report after having received the oral and written submissions of the parties. The procedure was not quite like a judicial or arbitral proceeding in that the panel members would meet with the parties to discuss the draft of their report; it became clear, however, that the panel was a decision-making body, subject of course to acceptance of its report by the contracting parties. Hence, since the 1950s the GATT practice had been to refer legal disputes to an ad hoc arbitration panel of three (or occasionally five) neutral individuals agreed to by the parties. The Panel report is then referred to the GATT Council and in due course, the Council adopts the report, thereby making it an official ruling of the GATT.

The GATT panels thus built up a body of jurisprudence, which remains important today, and followed an increasingly rules-based approach and juridical style of reasoning in their reports. Consequently, the contracting parties to GATT 1947 progressively codified and sometimes also modified the emerging procedural dispute settlement practices.

However, there were some problems in the GATT dispute settlement system. Therefore, at the outset of the Uruguay Round almost every GATT government subscribed to the view that GATT's settlement procedure need improvement. All governments spoke of the same goals to make it easier for governments to obtain GATT legal rulings and to increase the effectiveness of the follow up pressure for compliance.

The core problem is the GATT dispute settlement procedures are run by positive consensus. Positive consensus meant that there had to be no objection from any contracting party to the decision. In other words, no decision is adopted unless everyone, including the defendant country agrees; including consent to adoption of the ruling by GATT. In essence, the defendant has the power to block the dispute settlement process at any point.

The structural weaknesses of the old GATT dispute settlement system were significant even though many disputes were ultimately resolved. As noted in the late 1980s, when the Uruguay Round negotiations were ongoing, the situation deteriorated, especially in politically sensitive areas or because some contracting parties attempted to achieve trade-offs between ongoing disputes and matters being negotiated. This resulted in a decreasing confidence by the contracting parties in the ability of the GATT dispute settlement system to resolve the difficult cases. In turn, this also led to more unilateral action by individual contracting parties, who, instead of invoking the GATT dispute settlement system, would take direct action against other parties in order to enforce their rights.

Therefore, at the outset of Uruguay negotiations, the majority of governments felt that it would be sufficient to adopt more rigorous procedures that would make the exercise of the blocking powers more difficult (greater restrictions in the exercise of veto powers). Negotiations on dispute settlement were accordingly included and given high priority on the agenda of the Uruguay Round negotiations.

By 1989, midway through the Uruguay Round negotiations, the contracting parties were ready to implement some preliminary results of the negotiations on certain issues and accordingly adopted the Decision of 12 April 1989 on Improvements to the GATT Dispute Settlement Rules and Procedures. The decision was to apply on a trial basis

until the end of the Uruguay Round and already contained many of the rules later embodied in the DSU, such as a right to a panel and strict time-frames for panel proceedings.

Significant Changes in the Uruguay Round

As part of the results of the Uruguay Round, the Dispute Settlement Understanding introduced a significantly strengthened dispute settlement system. It provided more detailed procedures for the various stages of a dispute, including specific time-frames. As a result, the DSU contains many deadlines so as to ensure prompt settlement of disputes. The new dispute settlement system is also an integrated framework that applies to all covered agreements with only minor variations. Arguably, its most important innovation is that the DSU eliminated the right of individual parties, typically the one whose measure is being challenged, to block the establishment of panels or the adoption of a report. Now, the DSB automatically establishes panels and adopts panel and Appellate Body reports unless there is a consensus not to do so. This “negative” consensus rule contrasts sharply with the practice under the GATT 1947 and also applies, in addition to the establishment of panels and the adoption of panel and Appellate Body reports, to the authorization of countermeasures against a party which fails to implement a ruling. Other important new features of the dispute settlement system are the appellate review of panel reports and a formal surveillance of implementation following the adoption of panel appellate body reports. Unlike the current dispute settlement system, the previous GATT dispute settlement had not a system of appealing of panel reports.

Basic Principles and Institutions of the WTO Dispute Settlement System

Here is an excerpt taken from a material developed by the WTO secretariat

Basic principles

The dispute settlement system of the WTO is a central element in providing security and predictability to the multilateral trading system(Art.3(2)). The system serves to preserve rights and obligations under the agreements it covers, and to clarify (but not alter) those rights and obligations. Among other principles set out in the understanding are many based on GATT experience. These include the importance of prompt settlement of disputes to effective functioning of the WTO and a proper balance of rights and obligations; the objective of achieving a satisfactory settlement of disputes in accordance with those rights and obligations; and the understanding that requests to consult and use the dispute settlement procedures should not be considered contentious acts. Members are to use their judgment as to whether action under the procedures would be fruitful, and are reminded that the aim of the dispute settlement mechanism is to secure a positive solution to a dispute. The preferred solution to a dispute is usually withdrawal of measures found inconsistent with agreements under the WTO. Failing withdrawal, provision of compensation is a less satisfactory substitute. The least desirable outcome is retaliation, in which the injured member country may, after authorization, suspend trade concessions or obligations towards the other member concerned.

A further, very important, set of principles is set out in the understanding's Article 23, significantly titled 'Strengthening of the Multilateral System.' This effectively prohibits unilateral actions by member countries to redress what they see as violations of obligations, or nullification or impairment of benefits, under any of the WTO agreements. Members are required to use the WTO dispute settlement procedures to settle grievances related to these agreements. In particular, they may not determine that violations, nullification or impairment have taken place, except in accordance with approved panel or appellate findings, and must follow other rules in the understanding that give a reasonable time for panel recommendations to be followed and govern resort to retaliation.

Institutions

The WTO's dispute settlement arrangements are placed under the supervision of a single Dispute Settlement Body (DSB). As described in the preceding section on the WTO agreement, the DSB is in fact the WTO's General Council, sitting for this purpose under a different name and (normally but not necessarily) with a different chairman. The DSB has the sole authority to establish panels, adopt panel and Appellate Body reports, maintain surveillance of implementation of rulings and recommendations, and authorize suspension of concessions and obligations. Among the most important innovations in the new dispute settlement arrangements are the rules on how the DSB shall decide on these matters. These rules are discussed below under dispute settlement process.

The second institutional element in the dispute settlement system is the panel set up to examine a particular matter. A panel is brought into existence by the DSB to carry out a specific task, and ceases to exist when that task has been completed. The understanding includes elaborate provisions on the composition, mandate, tasks and procedures of panels. On composition, the understanding requires that panel members be well-qualified governmental or non-governmental individuals, listing as appropriate persons those who have previously been panel members, or have served as government representatives to the WTO or GATT, as senior trade policy officials or with the Secretariat, or have taught or published on international trade law or policy. A panel's three or five members are to be independent, of diverse background and wide experience; they are not to be drawn from the countries involved in the dispute under review unless those countries so agree, and if a developing country is involved in the dispute it can request that the panel include at least one member from a developing country. The Secretariat is to maintain an indicative list of potential panellists, and is to nominate the panel members, who are not to be opposed by parties to the dispute except for compelling reasons. Unless the parties agree otherwise, a panel will normally be

given standard terms of reference, which require it to examine the matter referred to it in the light of the relevant provisions of the agreements cited by the parties, and to make such findings as will assist the DSB in making recommendations or rulings under those agreements.

The panel will be expected to assess the facts of the case and the extent to which the agreements concerned apply and have been complied with. An important requirement, reflecting the traditional GATT priority of settling the trade problem at issue, is that panels should give parties to the dispute adequate opportunity to develop a mutually satisfactory solution. Panel procedures are set out in detail, with a set process to be followed, as well as guidance on establishing an overall timetable and on the points to be covered in panel reports, deadlines for each stage in the process, and a requirement of confidentiality. (The dispute settlement process discussed below describes more fully the stages in the work of a panel.)

Panels may seek information from any source, and on scientific or technical matters can request advice from an expert review group. In general, the understanding's provisions on panels reflect past GATT practice or differ from it only slightly. However, the Appellate Body, the third institutional element in the WTO dispute settlement system, is completely new. Parties to a dispute are given the right to appeal against a panel report, the appeal being limited to issues of law covered in the panel report and to legal interpretations developed by the panel. An appeal on a particular case will be heard by three members of the seven-person Appellate Body. They can uphold, modify or reverse the legal findings and conclusions of the panel, and their report, once adopted by the DSB, is to be unconditionally accepted by the parties to the dispute. The Appellate Body, established by the DSB, consists of persons of recognized authority, with demonstrated expertise in law, international trade and the subject matter of the covered agreements generally, and unaffiliated with any government, and its membership is to be broadly representative of the membership of the WTO itself. Members are appointed for four

years, except that to spread the rotation of members, appointments of three of the initial members were for two years only. The seven initial appointments were made in November 1995, before any WTO disputes had reached the appeal stage. The Appellate Body has its own staff in a secretariat that is institutionally distinct from the WTO Secretariat.

The Dispute Settlement Process

There are different stages and time limits that a dispute in the WTO is expected to follow. Such dispute settlement process has an important overall time-limit as provided under Article 20 of the understanding. Article 20 of the understanding sums up the procedures. This requires that, unless the parties to the dispute agree otherwise, not more than nine months should pass between establishment of a panel and the approval of its report by the DSB. If the report is appealed, the maximum period is extended to 12 months, to allow for the time taken by the appeal process. The normal course of a WTO dispute that goes the whole way from consultations through a panel and an appeal would be as follows.

Consultations: If a member state considers that a measure adopted by another member state has deprived it of a benefit accruing to it under the GATT or under one of the other covered agreements, it may call for consultations with the other member state. The other member should reply within 10 days, and enter into consultations within 30 days. The consultations are notified to the DSB.

Request for a Panel: If consultations fail to resolve the dispute within 60 days after receipt of the request for consultations, the complainant state may request the establishment of a panel as per Art. 4(7). If the complainant state so requests a panel shall be established at the latest at the meeting of the Dispute Settlement Body following the meeting where the request is first placed on the agenda, unless the DSB (i.e. the

membership of the WTO as a whole functioning under a separate chairman and with its own rules of procedure) by consensus decides otherwise at the meeting (Art. 6(1)). Thus it is not possible for the respondent state to prevent or delay establishment of a panel, even if its position could command a majority of other member states. Members of the panel are to be chosen within 30 days of its establishment.

Proceedings before the panel:

- The panel fixes its timetable within a week of its composition.
- The parties to the dispute transmit to the panel their submissions on the facts and arguments in the case.
- At the first substantive panel meeting, the complainant presents its case, the respondent presents its defence, and other members with an interest present their views; panel members may put questions and ask for clarifications.
- At the second substantive meeting, the respondent and then the complainant make formal rebuttals, and panel members may put questions and ask for clarifications.
- If necessary, the panel may consult experts or an expert review group to report on scientific or technical matters.
- The panel submits the factual and argument sections of its report to the parties, giving them two weeks to comment.
- The panel submits an interim report, including findings and conclusions. The parties have one week to request a review. The review, if requested, may take not more than two weeks, including possible further meetings with the parties.
- The panel submits its final report to the parties. Three weeks later, the report is circulated to all WTO members. If the measure complained of is found to be inconsistent with the WTO agreement concerned, the panel shall recommend that the measure be brought into conformity with the agreement, and may also suggest how this be done.

Adoption of the Panel Report: As in prior GATT practice, the report of the panel is in form a recommendation to the full membership, sitting as the Dispute Settlement Body. However, in sharp contrast with prior practice, the report shall be adopted at a meeting of the DSB within 60 days of its circulation of the report unless the DSB by consensus decides not to adopt the report or a party to the dispute gives notice of its intention to appeal (Art. 16(4)). The parties and other states may give their views on the report, apart from appeal, they cannot block its adoption even if the opponents command a majority of the DSB.

Appeal: Appeal proceedings, if requested, should as a rule not take more than 60 days. At most, they should take 90 days. The Appellate Body report should be adopted by the DSB, unless there is consensus not to adopt it, within 30 days of issuance, and should be unconditionally accepted by the parties.

Implementation: Article 21 of the Understanding sets out a sequence designed to impose a discipline on the process of compliance. The following sequences are expected after the adoption of a report of the panel or the appellate body.

- The party concerned must state its intentions on implementation of recommendations of a panel or the Appellate Body at a DSB meeting held within 30 days of adoption of the report concerned. If immediate compliance is impracticable, a reasonable period of time will be determined.
- If the member fails to act within this period of time, the complainant may request it to enter into consultations in order to determine mutually acceptable compensation.
- If after 20 days no satisfactory compensation is agreed, the complainant may request authorization from the DSB to suspend concessions or obligations against the other party. Unless there is consensus against the request, the DSB shall authorize the suspension within 30 days of expiry of the reasonable period of time.

- If the member concerned objects to the level of suspension requested, the matter will be referred to arbitration, which should be completed within 60 days of expiry of the reasonable period of time. The Arbitrator's decision is final.
- The DSB keeps under surveillance the implementation of the rulings and recommendations it has adopted, and the case remains on its agenda until it has been resolved. Any member can bring up the subject at a meeting of the DSB and even if no member state requests it, the subject is to be placed on the agenda of the DSB meeting after six months following the determination of the reasonable period and member concerned is to provide a written status report of its progress in implementation of the recommendations or rulings.

Compensation and Retaliation

Article 22 provides that if a member fails within the reasonable period as determined under Article 21 to carry out the recommendations and rulings, it may negotiate with the complaining state for mutually acceptable compensation. Compensation is not defined but may be expected to consist of the grant of concessions by the respondent state on a product or service of interest to the complainant state. Hence, compensation does not mean monetary payment; rather, the respondent is supposed to offer a benefit, for example a tariff reduction, which is equivalent to the benefit which the respondent has nullified or impaired by applying its measure.

The parties to the dispute must agree upon the compensation, which must also be consistent with the covered agreements (Article 22(1) of the DSU). This latter requirement is probably one of the reasons why (WTO) Members have hardly ever been able to work out compensation in cases reaching this stage. Conformity with the covered agreements implies, notably, consistency with the most-favoured-nation obligations (Article I of GATT 1994, among others). Therefore, WTO Members other than the complainant(s) would also benefit, if compensation is offered e.g. in the form of a tariff

reduction. This makes compensation less attractive to both the respondent, for whom this raises the “price”, and the complainant, who does not get an exclusive benefit. These obstacles could to some extent be overcome, however, if the parties were to select a trade benefit (e.g. tariff reduction) in a sector of particular export interest to the complainant and other Members had little export interest in that sector or product.

If no agreement on compensation is reached within twenty days of the expiry of the reasonable period, the prevailing party may request authorization from the DSB to suspend application to the member concerned i.e. in a departure from MFN of concessions or other obligations under the covered agreements (Art. 22(1)). The complainant is thus allowed to impose countermeasures that would otherwise be inconsistent with the WTO Agreement in response to a violation or to non-violation nullification or impairment. This is informally also called “retaliation” or “sanctions”. Such suspension of obligations takes place on a discriminatory basis only against the Member that failed to implement.

Retaliation is the final and most serious consequence a non-implementing Member faces in the WTO dispute settlement system (Article 3.7 of the DSU). To this effect, the DSU makes clear that retaliation is not favoured. Some rules should also be followed in order to use retaliation authorized by the DSB (Article 22(3) and (4)). The procedures and principles for retaliation are:

1) The general principle is that the complainant should first seek to suspend obligations in the same sector as that in which the violation or other nullification or impairment was found. This means that, for example, the response to a violation in the area of patents should also relate to patents. If the violation occurred in the area of distribution services, then the countermeasure should also be in this area. On the other hand, a WTO-inconsistent tariff on automobiles (a good) can be countered with a tariff surcharge on cheese, furniture or pyjamas (also goods).

However, if the complainant considers it impracticable or ineffective to remain within the same sector, the sanctions can be imposed in a different sector under the same agreement (Article 22.3(b) of the DSU). This option has no relevance in the area of goods, but, for example, a violation with regard to patents could be countered with countermeasures in the area of trademarks, and a violation in the area of distribution services could be countered in the area of health services.

In turn, if the complainant considers it impracticable or ineffective to remain within the same agreement, and the circumstances are serious enough, the countermeasures can be taken under another agreement (Article 22.3(c) of the DSU). The objective of this hierarchy is to minimize the chances of actions spilling over into unrelated sectors while at the same time allowing the actions to be effective. The possibility of suspending concessions in other sectors or under another agreement is often referred to as “cross-retaliation”.

Particularly for smaller and developing country Members, the possibility of suspending obligations under a different sector or different agreement can be quite important. First, smaller and developing countries do not always import goods and services or intellectual property rights (in sufficient quantities) in the same sectors as those in which the violation or other nullification or impairment took place. This may make it impossible to suspend obligations at a level equivalent to that of the nullification or impairment committed by the respondent, unless the complainant can suspend obligations in a different sector or under a different agreement. An example of cross-agreement retaliation occurred in the Banana case when Ecuador sought, and received, authorization to retaliate against the European Community’s restriction on its banana exports by suspending obligations under the TRIPS Agreement.

II) The level of suspension of concessions or other obligations shall be equivalent to the level of nullification or impairment without any element of punishment. This means that

the complainant's retaliatory response may not go beyond the level of the harm caused by the respondent.

Any suspension of a concession or other obligation is to be temporary. As soon as the inconsistent measure has been eliminated by the respondent state, the suspension must be eliminated as well (Art. 22(8)). Furthermore, the suspension of obligations is prospective rather than retroactive; it covers only the time-period after the DSB has granted authorization, not the whole period during which the measure in question was applied or the entire period of the dispute.

Settlement of Disputes Out of Panels and Appellate Body

Dear distance learner, our previous discussions have devoted much attention to the involvement of panels and the Appellate Body in the WTO dispute settlement system. However, it is important to stress that panels and the Appellate Body are not always involved in a WTO dispute and there are various other ways to solve disputes within the framework of the (WTO). Indeed, the parties often use these other ways and manage to solve their dispute in a cooperative manner and not through recourse to adjudication by panels and the Appellate Body. In this regard, parties can settle a dispute by finding a mutually agreed solution in bilateral negotiations or with the help of dispute resolution mechanisms such as good offices, conciliation or mediation. In addition, they can also agree to refer their dispute to an arbitrator.

Mutually agreed solutions: The DSU expresses a preference for the parties to settle their disputes through mutually agreed solutions (Article 3.7 of the DSU). However, unlike many other judicial systems, the DSU does not allow the parties to settle their dispute on whatever terms they wish. Solutions mutually acceptable to the parties to the dispute must also be consistent with the WTO Agreement and must not nullify or impair benefits accruing under the agreement to any other Member (Articles 3.5 and 3.7 of the DSU). If the matter has been formally raised in a request for consultations, the

mutually agreed solutions must be notified to the DSB and the relevant Councils and Committees (Article 3.6 of the DSU). This is meant to inform the other WTO Members and to give them an opportunity to raise whatever concern they may have with regard to the settlement. Implicit in these rules is an acknowledgement of the danger that the parties to a dispute might be tempted to settle on terms that are detrimental to a third Member not involved in the dispute, or in a way that is not entirely consistent with WTO law. Mutually agreed solutions must therefore be notified to the DSB with sufficient information for other Members.

Mediation, conciliation and good offices: Sometimes, the involvement of an outside, independent person unrelated to the parties of a dispute can help the parties find a mutually agreed solution. To allow such assistance, the DSU provides for good offices, conciliation and mediation on a voluntary basis if the parties to the dispute agree (Article 5.1 of the DSU). Good offices normally consist primarily of providing logistical support to help the parties negotiate in a productive atmosphere. Conciliation additionally involves the direct participation of an outside person in the discussions and negotiations between the parties. In a mediation process, the mediator does not only participate in and contribute to the discussions and negotiations, but may also propose a solution to the parties. The parties would not be obliged to accept this proposal.

Good offices, conciliation and mediation may begin at any time (Article 5.3 of the DSU), but not prior to a request for consultations because that request is necessary to trigger the application of the procedures of the DSU, including Article 5 (Article 1.1 of the DSU). For example, the parties can enter into these procedures during their consultations. If this happens within 60 days after the date of the request for consultations, the complainant must not request a panel before this 60-day period has expired, unless the parties jointly consider that the good offices, conciliation or mediation process has failed to settle the dispute (Article 5.4 of the DSU). However, these procedures can be terminated at any time (Article 5.3 of the DSU). If the parties so agree, these procedures

may continue while the panel proceeds with an examination of the matter (Article 5.5 of the DSU).

The proceedings of good offices, conciliation and mediation are strictly confidential, and do not diminish the position of either party in any following dispute settlement procedure (Article 5.2 of the DSU). This is important because, during such negotiations, a party may offer a compromise solution, admit certain facts or divulge to the mediator the outer limit of the terms on which it would be prepared to settle. If no mutually agreed solution emerges from the negotiations and the dispute goes to adjudication, this constructive kind of flexibility and openness must not be detrimental to the parties. As regards the independent person to be involved, the DSU states that the Director-General of the (WTO) may offer good offices, conciliation or mediation with a view to assisting Members to settle their dispute (Article 5.6 of the DSU).

Dispute Settlement and the Developing Countries

Like most of the agreements adopted in the Uruguay Round, the Understanding on dispute settlement contains several provisions directed to developing countries. Emphasis on the interests of the developing countries was important for the architects of the Uruguay Round not only in the context of achieving support for the large package of agreements, but also in the context of an effort to bring the developing countries to believe that the WTO is indeed a universal organization, not merely a forum for the United States and the European Community to air out their disputes.

The Understanding takes special notice of the interests of developing countries in several articles. For instance, the provision on consultations states that members should give special attention to the problems and interests of developing countries (Art. 4(10)). The provision on composition of panels states that if one party to a dispute is a developing country, that country is entitled to have at least one panelist who comes from a developing country (Art. 8(10)). Further, if a complaint is brought against a

developing country, the time for consultations may be extended, and if the dispute goes before a panel, the deadlines for the developing country to make its submissions may be relaxed (Art. 12(10)). In addition, the secretariat is authorized to make a qualified legal expert available to any developing country on request. Formal complaints against least developed countries are discouraged, and if consultations fail, the Director-General and the Chairman of the DSB stand ready to offer their good offices before a formal request for a panel is made (Art. 24).

As to substance, the Understanding provides that the report of panels shall explicitly indicate how account has been taken out of the differential and more favourable treatment provisions of the agreement under which the complaint is brought (Art. 12(11)). Whether or not a developing country is a party to a particular proceeding, particular attention is to be paid to the interests of developing countries in the course of implementing recommendations and rulings of panels if such decisions are going to affect developing countries.

Questions for Discussion

1. What were the reasons that necessitated major change for Dispute Settlement Body at the conclusion of the Uruguay Round?
2. Discuss the major changes made at the conclusion of the Uruguay Round concerning the power and institution of the Dispute Settlement Body.
3. Discuss the dispute settlement process.
4. Explain the meaning of retaliatory measures. Under what circumstances are member countries allowed to take retaliatory measures?
5. Is it possible to settle disputes out of Panel and Appellate Body in the WTO dispute settlement system? Explain.

